MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance · Question 4 of 5

PMI costs 0.5% of a $270,000 loan per year. What is the monthly PMI?

A. $11.25
B. $112.50
C. $135.00
D. $1,350.00

CORRECT ANSWER

B. $112.50

Feedback (shown after answering)

$270,000 × 0.005 = $1,350 a year ÷ 12 = $112.50.

Recomputed independently by the build: 112.5

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses 0.6%
D: Gives yearly PMI

Type: knowledge check

MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance · Question 5 of 5

Learn: Many lenders collect a monthly amount for taxes and insurance along with the mortgage payment and hold it in escrow, then pay those bills when due.

An escrow account is...

A. a savings account for the down payment
B. an account the lender uses to pay taxes and insurance
C. the seller's profit from the sale
D. a fee for the real estate agent

CORRECT ANSWER

B. an account the lender uses to pay taxes and insurance

Feedback (shown after answering)

Escrow collects and pays taxes and insurance on your behalf.

Why each other choice is wrong (misconception it represents)

A: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Yearly costs as monthly payments · Question 1 of 5

Learn: Monthly amount = yearly amount ÷ 12.

A yearly insurance bill is $1,800. What is the monthly amount?

A. $150
B. $180
C. $1,800
D. $21,600

CORRECT ANSWER

A. $150

Feedback (shown after answering)

$1,800 ÷ 12 = $150.

Recomputed independently by the build: 150

Why each other choice is wrong (misconception it represents)

B: Divides by 10
C: Yearly
D: Multiplies

Type: instruction

BACKWARD B1 · concept review — Yearly costs as monthly payments · Question 2 of 5

Monthly costs of $500 and $150 add to...

A. $350
B. $650
C. $5,150
D. $75,000

CORRECT ANSWER

B. $650

Feedback (shown after answering)

$500 + $150 = $650.

Recomputed independently by the build: 650

Why each other choice is wrong (misconception it represents)

A: Subtracts
C: Misreads
D: Multiplies

Type: knowledge check

BACKWARD B1 · concept review — Yearly costs as monthly payments · Question 3 of 5

Learn: PITI = principal, interest, taxes, insurance: the four parts of a typical monthly mortgage payment with escrow.

A lender's monthly PITI estimate includes $350 toward the town's yearly bill on the home. Which part of PITI is that?

A. Interest
B. Insurance
C. Taxes
D. Principal

CORRECT ANSWER

C. Taxes

Feedback (shown after answering)

The town's yearly bill on a home is the property tax: the T.

Why each other choice is wrong (misconception it represents)

A: Confuses the town's bill with the cost of borrowing
B: Confuses taxes with insurance
D: Confuses a tax with loan repayment

Type: instruction

BACKWARD B1 · concept review — Yearly costs as monthly payments · Question 4 of 5

Learn: Homeowners owe property taxes; lenders often collect them through escrow.

Who pays property taxes on an owned home?

A. The homeowner
B. The renter next door
C. The bank, free of charge
D. The seller, for as long as the buyer lives there

CORRECT ANSWER

A. The homeowner

Feedback (shown after answering)

The owner pays, often through escrow.

Why each other choice is wrong (misconception it represents)

B: Not responsible
C: Believes lenders pay taxes
D: Confuses closing prorations with ongoing taxes

Type: instruction

BACKWARD B1 · concept review — Yearly costs as monthly payments · Question 5 of 5

0.5% written as a decimal is...

A. 0.005
B. 0.05
C. 0.5
D. 5

CORRECT ANSWER

A. 0.005

Feedback (shown after answering)

0.5 ÷ 100 = 0.005.

Recomputed independently by the build: 0.005

Why each other choice is wrong (misconception it represents)

B: One place off
C: Not converted
D: Wrong direction

Type: knowledge check

GO DEEPER 1 — Property tax in practice · Question 1 of 5

Learn: Property tax = assessed value × tax rate. Rates vary widely by town and state; New Jersey has some of the highest property taxes in the country.

A town's property tax rate is 2.2% of assessed value. A home is assessed at $350,000. What is the yearly tax?

A. $641.67
B. $770
C. $7,700
D. $77,000

CORRECT ANSWER

C. $7,700

Feedback (shown after answering)

$350,000 × 0.022 = $7,700.

Recomputed independently by the build: 7700

Why each other choice is wrong (misconception it represents)

A: Gives the monthly amount
B: Uses 0.22%
D: Uses 22%

Type: instruction

GO DEEPER 1 — Property tax in practice · Question 2 of 5

Learn: Property tax = assessed value × tax rate. Assessed value can differ from the purchase price. Monthly difference = yearly difference ÷ 12.

Two similar homes are each assessed at $350,000 for property tax. Town X's tax rate is 2.2% of assessed value; Town Y's is 1.4%. How much more per month does Town X cost in taxes?

A. $28.00
B. $233.33
C. $641.67
D. $2,800.00

CORRECT ANSWER

B. $233.33

Feedback (shown after answering)

Difference 0.8% × $350,000 = $2,800 a year ÷ 12 ≈ $233.33.

Recomputed independently by the build: 233.33

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives Town X monthly tax
D: Gives the yearly difference

Type: instruction

GO DEEPER 1 — Property tax in practice · Question 3 of 5

Learn: Escrow payments are adjusted when taxes or insurance change, even with a fixed-rate mortgage.

Property taxes can rise after a home is purchased. Why does this matter for buyers?

A. The loan principal increases
B. The monthly payment through escrow can increase
C. The interest rate rises
D. Nothing changes

CORRECT ANSWER

B. The monthly payment through escrow can increase

Feedback (shown after answering)

Higher taxes raise escrow and the total payment.

Why each other choice is wrong (misconception it represents)

A: Confuses escrow with the loan balance
C: Untrue for fixed loans
D: Ignores escrow

Type: instruction

GO DEEPER 1 — Property tax in practice · Question 4 of 5

Learn: Escrow changes are spread across the year's monthly payments. (If the account came up short, the lender may also add an amount to make up the shortage.)

An escrow analysis finds property taxes rose $600 for the year. There is no shortage or surplus to make up and no insurance change. How much will the monthly payment rise?

A. $5
B. $50
C. $60
D. $600

CORRECT ANSWER

B. $50

Feedback (shown after answering)

$600 ÷ 12 = $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Divides by 10
D: Yearly

Type: instruction

GO DEEPER 1 — Property tax in practice · Question 5 of 5

Learn: Property tax records are public.

Where can a buyer find a home's past property taxes?

A. Public tax records or the listing's tax history
B. The buyer's credit report
C. The seller's own estimate of what the taxes might be
D. The mortgage preapproval letter

CORRECT ANSWER

A. Public tax records or the listing's tax history

Feedback (shown after answering)

Property tax history is public information.

Why each other choice is wrong (misconception it represents)

B: Confuses personal credit with property records
C: Unreliable
D: Preapproval does not list a home's taxes

Type: instruction · practical how-to

GO DEEPER 2 — Removing PMI and insurance choices · Question 1 of 5

Learn: For many conventional loans, borrowers can ask to remove PMI at 80% loan-to-value, and it ends automatically at 78% (based on the original value, under federal rules).

PMI on many conventional loans can be requested off when the balance falls to 80% of the original home value. The home cost $300,000. What balance is that?

A. $60,000
B. $240,000
C. $270,000
D. $300,000

CORRECT ANSWER

B. $240,000

Feedback (shown after answering)

80% × $300,000 = $240,000.

Recomputed independently by the build: 240000

Why each other choice is wrong (misconception it represents)

A: Gives 20%
C: Uses 90%
D: Uses 100%

Type: instruction

GO DEEPER 2 — Removing PMI and insurance choices · Question 2 of 5

Learn: Total PMI paid = monthly PMI × number of months.

PMI of $112.50 a month is removed after 5 years. How much did the borrower pay in PMI?

A. $562.50
B. $1,350
C. $6,750
D. $67,500

CORRECT ANSWER

C. $6,750

Feedback (shown after answering)

$112.50 × 60 = $6,750.

Recomputed independently by the build: 6750

Why each other choice is wrong (misconception it represents)

A: Five months
B: One year
D: Adds a zero

Type: instruction

GO DEEPER 2 — Removing PMI and insurance choices · Question 3 of 5

Learn: As with other insurance, a higher deductible usually means a lower premium.

Which homeowners insurance choice LOWERS the premium?

A. Lowering the deductible
B. Adding more coverage
C. Filing frequent small claims
D. Raising the deductible

CORRECT ANSWER

D. Raising the deductible

Feedback (shown after answering)

Higher deductible → lower premium.

Why each other choice is wrong (misconception it represents)

A: Raises premium
B: Raises premium
C: Can raise premium

Type: instruction

GO DEEPER 2 — Removing PMI and insurance choices · Question 4 of 5

Learn: Flood insurance is usually separate, through the National Flood Insurance Program or private insurers.

Standard homeowners insurance usually does NOT cover which risk?

A. Fire
B. Theft
C. Flood damage
D. Wind from a storm

CORRECT ANSWER

C. Flood damage

Feedback (shown after answering)

Floods generally require separate flood insurance.

Why each other choice is wrong (misconception it represents)

A: Usually covered
B: Usually covered
D: Often covered

Type: instruction

GO DEEPER 2 — Removing PMI and insurance choices · Question 5 of 5

A lender requires flood insurance for homes in high-risk flood zones. Why?

A. To protect the home that secures the loan
B. To lower the buyer's property taxes each year
C. Because all homes flood
D. Because homeowners insurance always covers floods

CORRECT ANSWER

A. To protect the home that secures the loan

Feedback (shown after answering)

Lenders protect their collateral.

Why each other choice is wrong (misconception it represents)

B: Confuses insurance with taxes
C: Overstates
D: Believes standard policies include flood

Type: knowledge check

SET 78 · Mortgages and Homeownership

Closing costs, the Loan Estimate, and the Closing Disclosure

MAIN skill: Estimate closing costs and use mortgage disclosures to compare and verify loans

Outcome FL.HOME.78 · National topic: Managing Credit · NJSLS 9.1.12: CDM, FI
Learning target: Explain mortgage disclosures and the costs of closing on a home

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Fees as percents of a loan (5 questions)
  Why: Closing cost estimates apply percents to large amounts.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Closing costs are often estimated as percents of the loan.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reading a Loan Estimate (5 questions)
- Go Deeper 2: Closing day (5 questions)

Practical skills beyond the standards: Comparing Loan Estimates; Preventing closing wire fraud

Content status: time-sensitive
Source: CFPB (Loan Estimate and Closing Disclosure) — Lenders must provide a Loan Estimate within 3 business days of a mortgage application and a Closing Disclosure at least 3 business days before closing. https://www.consumerfinance.gov/owning-a-home/loan-estimate/

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 C, M-Q4 B, M-Q5 C, B1-Q1 B, B1-Q2 B, B1-Q3 D, B1-Q4 C, B1-Q5 A, F1-Q1 D, F1-Q2 D, F1-Q3 B, F1-Q4 C, F1-Q5 A, F2-Q1 C, F2-Q2 D, F2-Q3 A, F2-Q4 C, F2-Q5 B

MAIN — Estimate closing costs and use mortgage disclosures to compare and verify loans · Question 1 of 5

Learn: Closing costs are fees paid to complete a home purchase: lender fees, appraisal, title insurance, recording fees, prepaid taxes and insurance, and more. They are in addition to the down payment.

Closing costs often run about 2% to 5% of the loan amount. For a $240,000 loan, what is the range?

A. $480 to $1,200
B. $48,000 to $120,000
C. $2,000 to $5,000
D. $4,800 to $12,000

CORRECT ANSWER

D. $4,800 to $12,000

Feedback (shown after answering)

2% × $240,000 = $4,800; 5% × $240,000 = $12,000.

Recomputed independently by the build: 4800

Why each other choice is wrong (misconception it represents)

A: Uses 0.2% to 0.5%
B: Uses 20% to 50%
C: Uses the percents as thousands

Type: instruction

MAIN — Estimate closing costs and use mortgage disclosures to compare and verify loans · Question 2 of 5

Learn: Federal rules require a standard three-page Loan Estimate within 3 business days of applying. It shows the rate, monthly payment, closing costs, and cash needed to close, making offers easy to compare.

The Lees apply for a mortgage on a Monday. The lender's offices are open Monday through Friday, and there are no holidays that week. By when must the lender deliver or mail their Loan Estimate?

A. Within 3 months
B. By Thursday of that week
C. Only at closing
D. Only after the home is appraised

CORRECT ANSWER

B. By Thursday of that week

Feedback (shown after answering)

Within 3 business days after Monday (Tuesday, Wednesday, Thursday): by Thursday.

Why each other choice is wrong (misconception it represents)

A: Too long
C: Too late
D: Confuses timing with the appraisal

Type: instruction · rule as of CFPB rules as of 2026

MAIN — Estimate closing costs and use mortgage disclosures to compare and verify loans · Question 3 of 5

Learn: The Closing Disclosure lists the final loan terms and costs. Borrowers must receive it at least 3 business days before closing so they can compare it with the Loan Estimate.

The Lees' closing is set for a Friday, with no holidays that week. By which day at the latest must they receive the Closing Disclosure? (For this rule, every day except Sundays and federal holidays counts as a business day.)

A. Thursday, the day before closing
B. Friday, at the closing table
C. Tuesday of that week
D. The Friday one month before

CORRECT ANSWER

C. Tuesday of that week

Feedback (shown after answering)

Counting back 3 business days from Friday: Thursday, Wednesday, Tuesday.

Why each other choice is wrong (misconception it represents)

A: Counts only 1 day
B: Too late to review before signing
D: Overstates the rule

Type: instruction · rule as of CFPB rules as of 2026

MAIN — Estimate closing costs and use mortgage disclosures to compare and verify loans · Question 4 of 5

Learn: Cash to close = down payment + closing costs − credits (such as a seller credit or deposit already paid).

Cash to close: down payment $60,000 + closing costs $7,200 − $2,000 seller credit. How much cash do the Lees need at closing?

A. $60,000
B. $65,200
C. $67,200
D. $69,200

CORRECT ANSWER

B. $65,200

Feedback (shown after answering)

$60,000 + $7,200 − $2,000 = $65,200.

Recomputed independently by the build: 65200

Why each other choice is wrong (misconception it represents)

A: Counts only the down payment
C: Ignores the seller credit
D: Adds the credit

Type: instruction

MAIN — Estimate closing costs and use mortgage disclosures to compare and verify loans · Question 5 of 5

Learn: Comparing the Closing Disclosure with the Loan Estimate catches changes or errors before you sign.

The Closing Disclosure shows a rate of 6.9%, but the Loan Estimate showed 6.5% with the rate locked. What should the Lees do?

A. Sign anyway, since small differences are normal and expected
B. Ignore it, since the Loan Estimate was only a guess
C. Ask the lender to explain or correct it before signing
D. Pay extra to speed up closing

CORRECT ANSWER

C. Ask the lender to explain or correct it before signing

Feedback (shown after answering)

A locked rate should not change; question any differences before closing.

Why each other choice is wrong (misconception it represents)

A: Accepts an error
B: Ignores the rate lock
D: Does not address the error

Type: instruction · practical how-to

BACKWARD B1 · concept review — Fees as percents of a loan · Question 1 of 5

Learn: Percent of an amount = amount × rate as a decimal.

3% of $200,000 is...

A. $600
B. $6,000
C. $60,000
D. $203,000

CORRECT ANSWER

B. $6,000

Feedback (shown after answering)

$200,000 × 0.03 = $6,000.

Recomputed independently by the build: 6000

Why each other choice is wrong (misconception it represents)

A: Uses 0.3%
C: Uses 30%
D: Adds

Type: instruction

BACKWARD B1 · concept review — Fees as percents of a loan · Question 2 of 5

Learn: Closing costs include appraisal, title, recording, lender fees, and prepaid items.

Which cost is a closing cost?

A. The monthly electric bill
B. An appraisal fee
C. Groceries for move-in day
D. The down payment itself

CORRECT ANSWER

B. An appraisal fee

Feedback (shown after answering)

Appraisal fees are a typical closing cost.

Why each other choice is wrong (misconception it represents)

A: Utility
C: Personal
D: Separate category

Type: instruction

BACKWARD B1 · concept review — Fees as percents of a loan · Question 3 of 5

Learn: An appraisal estimates value; a home inspection checks condition. Lenders require appraisals to protect their collateral.

What does an appraisal do?

A. Inspects the home only for needed repairs and safety issues
B. Sets the property tax rate
C. Guarantees the home will sell for that price later
D. Estimates the home's market value for the lender

CORRECT ANSWER

D. Estimates the home's market value for the lender

Feedback (shown after answering)

Appraisals estimate value for the lender.

Why each other choice is wrong (misconception it represents)

A: Describes an inspection
B: Confuses appraisal with tax assessment
C: Overstates an appraisal

Type: instruction

BACKWARD B1 · concept review — Fees as percents of a loan · Question 4 of 5

Learn: For an office open Monday through Friday, business days exclude weekends and holidays. (Mortgage rules use their own definitions: for the Closing Disclosure waiting period, Saturdays count as business days.)

An office is open Monday through Friday and closed weekends; there are no holidays in this period. Counting from a Monday, how many of its business days are there through the following Wednesday (Tuesday, Wednesday, Thursday, Friday, Monday, Tuesday, Wednesday)?

A. 3
B. 5
C. 7
D. 9

CORRECT ANSWER

C. 7

Feedback (shown after answering)

Seven weekdays from Tuesday to the next Wednesday.

Recomputed independently by the build: 7

Why each other choice is wrong (misconception it represents)

A: Undercounts
B: Undercounts
D: Counts weekend days

Type: instruction

BACKWARD B1 · concept review — Fees as percents of a loan · Question 5 of 5

Why are standard forms like the Loan Estimate helpful?

A. They make offers from different lenders easy to compare
B. They lower home prices
C. They replace the need to read anything else in the file
D. They guarantee approval

CORRECT ANSWER

A. They make offers from different lenders easy to compare

Feedback (shown after answering)

Standard layouts allow side-by-side comparison.

Why each other choice is wrong (misconception it represents)

B: Confuses disclosures with prices
C: Overstates the form
D: Confuses a disclosure with approval

Type: knowledge check

GO DEEPER 1 — Reading a Loan Estimate · Question 1 of 5

Learn: Page 1 of the Loan Estimate shows the projected monthly payment, including principal and interest and estimated escrow for taxes and insurance.

A Loan Estimate shows: loan $240,000; rate 6.5%; monthly principal and interest $1,516.96; estimated escrow $650. What is the estimated total monthly payment?

A. $650.00
B. $1,516.96
C. $1,560.00
D. $2,166.96

CORRECT ANSWER

D. $2,166.96

Feedback (shown after answering)

$1,516.96 + $650 = $2,166.96.

Recomputed independently by the build: 2166.96

Why each other choice is wrong (misconception it represents)

A: Gives escrow only
B: Leaves out escrow
C: Uses one year of interest ÷ 12

Type: instruction · practical how-to

GO DEEPER 1 — Reading a Loan Estimate · Question 2 of 5

Learn: Origination charges are the lender's own fees, which can be negotiated or compared across lenders.

Section A, "Origination Charges," lists $1,200 of lender fees on Estimate 1 and $2,900 on Estimate 2 for the same rate. Which lender charges less to make the loan?

A. Estimate 2, by $1,700
B. They are equal
C. Estimate 1, by $4,100
D. Estimate 1, by $1,700

CORRECT ANSWER

D. Estimate 1, by $1,700

Feedback (shown after answering)

$2,900 − $1,200 = $1,700 less with Estimate 1.

Recomputed independently by the build: 1700

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores fees
C: Adds

Type: instruction · practical how-to

GO DEEPER 1 — Reading a Loan Estimate · Question 3 of 5

Learn: A rate lock holds a quoted rate for a set period while the loan is processed. It depends on its terms: if the loan amount, the borrower's credit or income, or the property value changes, the rate can change.

A Loan Estimate shows "Rate Lock: YES, until 4/15." What does that mean?

A. The rate can never change for the full 30 years
B. The quoted rate is held until April 15, if the loan facts do not change
C. The rate changes daily until closing
D. The house price is locked

CORRECT ANSWER

B. The quoted rate is held until April 15, if the loan facts do not change

Feedback (shown after answering)

A lock holds the rate until its expiration date, as long as the loan and borrower facts stay the same.

Why each other choice is wrong (misconception it represents)

A: Confuses lock with fixed rate
C: Describes unlocked
D: Confuses rate and price

Type: instruction

GO DEEPER 1 — Reading a Loan Estimate · Question 4 of 5

Learn: The Loan Estimate includes comparison figures such as total paid in 5 years and APR.

Which number on page 3 of a Loan Estimate helps compare the total cost of loans over 5 years?

A. The monthly principal and interest only
B. The estimated property value
C. "In 5 Years: total you will have paid"
D. The amount of the down payment

CORRECT ANSWER

C. "In 5 Years: total you will have paid"

Feedback (shown after answering)

The 5-year total compares costs over a common period.

Why each other choice is wrong (misconception it represents)

A: Ignores fees and timing
B: Not a loan cost
D: Not a comparison of loan cost

Type: instruction

GO DEEPER 1 — Reading a Loan Estimate · Question 5 of 5

Learn: The Loan Estimate lists services you can shop for.

Some closing services, like title insurance, can be shopped for. Why does that matter?

A. Comparing providers can lower closing costs
B. It raises the interest rate
C. It is illegal to choose your own title company
D. It eliminates the down payment

CORRECT ANSWER

A. Comparing providers can lower closing costs

Feedback (shown after answering)

Shopping for allowed services can save money.

Why each other choice is wrong (misconception it represents)

B: Confuses services with the rate
C: Misses shopping rights
D: Confuses closing costs with down payment

Type: instruction · practical how-to

GO DEEPER 2 — Closing day · Question 1 of 5

Learn: Closings usually require certified funds or a wire. Wire fraud targeting homebuyers is common, so verify wiring instructions by phone using a known number.

Where does the Lees' cash to close usually need to come from?

A. A personal check written that morning, in all cases
B. Gift cards
C. A cashier's check or verified wire, following verified instructions
D. A credit card cash advance

CORRECT ANSWER

C. A cashier's check or verified wire, following verified instructions

Feedback (shown after answering)

Certified funds or verified wires are standard; verify instructions independently.

Why each other choice is wrong (misconception it represents)

A: Often not accepted
B: Not accepted; scam sign
D: Expensive and often not allowed

Type: instruction · practical how-to

GO DEEPER 2 — Closing day · Question 2 of 5

Learn: Changed wiring instructions are a major red flag for real estate wire fraud.

An email that appears to come from the title company changes the wiring instructions the day before closing. What should the Lees do?

A. Wire to the new account immediately
B. Reply to the email to confirm
C. Split the wire between both accounts to be safe, just in case
D. Call the title company at a known phone number to verify

CORRECT ANSWER

D. Call the title company at a known phone number to verify

Feedback (shown after answering)

Independent verification defeats changed-instruction scams.

Why each other choice is wrong (misconception it represents)

A: Common scam
B: Uses the hacked channel
C: Still risky

Type: instruction · practical how-to

GO DEEPER 2 — Closing day · Question 3 of 5

Learn: Title insurance protects against problems with ownership records, such as unknown liens or errors in the deed.

What is title insurance?

A. Protection against problems with who legally owns the property
B. Insurance against fire
C. Insurance that protects the lender if the buyer stops paying the loan
D. Insurance against defects found after moving in

CORRECT ANSWER

A. Protection against problems with who legally owns the property

Feedback (shown after answering)

Title insurance protects ownership rights.

Why each other choice is wrong (misconception it represents)

B: Homeowners insurance
C: Mortgage insurance
D: Confuses with a home warranty

Type: instruction

GO DEEPER 2 — Closing day · Question 4 of 5

Learn: Lenders often require prepaid amounts to start the escrow account.

At closing, the buyer prepays 6 months of property taxes at $500 a month into escrow. How much is that?

A. $83.33
B. $500
C. $3,000
D. $6,000

CORRECT ANSWER

C. $3,000

Feedback (shown after answering)

6 × $500 = $3,000.

Recomputed independently by the build: 3000

Why each other choice is wrong (misconception it represents)

A: Divides
B: One month
D: Twelve months

Type: instruction

GO DEEPER 2 — Closing day · Question 5 of 5

Learn: Closing documents: the promissory note is the promise to repay; the mortgage pledges the home as collateral; title insurance protects against ownership problems; the deed transfers ownership and is recorded with the local government.

Which document gives the buyer legal ownership of the home?

A. The promissory note
B. The deed
C. The appraisal
D. The title insurance policy

CORRECT ANSWER

B. The deed

Feedback (shown after answering)

The deed transfers ownership.

Why each other choice is wrong (misconception it represents)

A: The promise to repay the loan
C: An estimate of value
D: Protects ownership but does not transfer it

Type: instruction

SET 79 · Mortgages and Homeownership

Preapproval, creditworthiness, and debt-to-income

MAIN skill: Explain preapproval and calculate housing and total debt-to-income ratios

Outcome FL.HOME.79 · National topic: Managing Credit · NJSLS 9.1.12: CP, CDM

Learning target: Explain how lenders evaluate creditworthiness and how DTI affects borrowing

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Ratios of debt to income (5 questions)
  - Why: DTI questions are percent-of-income problems with a subtraction step.
- B2 · Math link → G6-S01-M (Grade 6 6.RP.A.1): Write a ratio that describes the relationship between two quantities
  - Why: DTI is a ratio of payments to income.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Limits are percents of income.
- B4 · Math link → G7-S34-M (Grade 7 7.EE.B.4.b): Solve word problems that lead to inequalities of the form $px + q > r$ or $px + q < r$
  - Why: Affordability rules are inequalities (payments ≤ a percent of income).

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: From payment limit to price range (5 questions)
- Go Deeper 2: Improving mortgage readiness (5 questions)

Practical skills beyond the standards: Turning a payment limit into a price range

Content status: time-sensitive

Source: CFPB — A preapproval is a lender's statement of how much it may lend after reviewing documents; it is not a final loan approval.
https://www.consumerfinance.gov/ask-cfpb/whats-the-difference-between-a-prequalification-letter-and-a-preapproval-letter-en-127/

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 A, B1-Q1 C, B1-Q2 B, B1-Q3 B, B1-Q4 A, B1-Q5 D, F1-Q1 B, F1-Q2 B, F1-Q3 C, F1-Q4 B, F1-Q5 C, F2-Q1 D, F2-Q2 B, F2-Q3 A, F2-Q4 D, F2-Q5 B

MAIN — Explain preapproval and calculate housing and total debt-to-income ratios · Question 1 of 5

Learn: A preapproval is a lender's statement, after checking income, assets, and credit, of how much it may lend. Sellers take offers with preapproval more seriously. Final approval still depends on the home's appraisal, verified information, and no major changes in finances.

The Lees receive a mortgage preapproval letter. What does it mean?

A. Their loan is now guaranteed, no matter what changes in their finances or the home's value
B. They must buy a home within one week
C. A lender reviewed their finances and may lend up to an amount, subject to final approval
D. The seller must accept their offer

CORRECT ANSWER

C. A lender reviewed their finances and may lend up to an amount, subject to final approval

Feedback (shown after answering)

Preapproval is conditional; final approval comes later.

Why each other choice is wrong (misconception it represents)

A: Confuses a preapproval with guaranteed final approval
B: Invents a rule
D: Overstates preapproval

Type: instruction

MAIN — Explain preapproval and calculate housing and total debt-to-income ratios · Question 2 of 5

Learn: Lenders look at debt-to-income (DTI). A common guideline: housing costs (PITI) ≤ about 28% of gross monthly income (the "front-end" ratio), and all monthly debt payments including housing ≤ about 36% (the "back-end" ratio). Actual limits vary by loan program.

A lender uses a 28% guideline for housing costs. The Lees' gross monthly income is $8,000. What is the most housing payment (PITI) under that guideline?

A. $800
B. $2,240
C. $2,880
D. $5,760

CORRECT ANSWER

B. $2,240

Feedback (shown after answering)

$8,000 × 0.28 = $2,240.

Recomputed independently by the build: 2240

Why each other choice is wrong (misconception it represents)

A: Uses 10%
C: Uses 36%
D: Gives what remains

Type: instruction

MAIN — Explain preapproval and calculate housing and total debt-to-income ratios · Question 3 of 5

Learn: Back-end limit: housing + other debt payments ≤ 36% of gross income. Housing allowed = 36% of income − other debt payments.

Using the 36% total-debt guideline on $8,000 gross monthly income, and the Lees' $500 car payment and $300 student loan payment, what is the most they could spend on PITI?

A. $800
B. $2,080
C. $2,240
D. $2,880

CORRECT ANSWER

B. $2,080

Feedback (shown after answering)

36% × $8,000 = $2,880; $2,880 − $800 = $2,080.

Recomputed independently by the build: 2080

Why each other choice is wrong (misconception it represents)

A: Gives other debts
C: Uses the 28% limit
D: Ignores other debts

Type: instruction

MAIN — Explain preapproval and calculate housing and total debt-to-income ratios · Question 4 of 5

Learn: Lenders price mortgages by risk: credit score, down payment, DTI, and loan type all affect the rate.

Which factor most improves the mortgage rate a borrower is offered?

A. A higher offer on the house
B. A home with many bedrooms
C. A longer closing date
D. A strong credit history and score

CORRECT ANSWER

D. A strong credit history and score

Feedback (shown after answering)

Better credit usually earns a lower rate.

Why each other choice is wrong (misconception it represents)

A: Price does not set the rate
B: Not a rate factor by itself
C: Timing alone does not improve risk

Type: instruction

MAIN — Explain preapproval and calculate housing and total debt-to-income ratios · Question 5 of 5

After preapproval, the Lees finance a new car before closing. What could happen?

A. Their DTI rises and the mortgage approval could change
B. Nothing, since a preapproval is final and cannot change
C. Their rate automatically drops
D. The car loan is ignored until after closing

CORRECT ANSWER

A. Their DTI rises and the mortgage approval could change

Feedback (shown after answering)

New debt before closing can change approval; lenders recheck finances.

Why each other choice is wrong (misconception it represents)

B: Confuses a preapproval with guaranteed final approval
C: Misreads new debt
D: Believes lenders do not recheck

Type: knowledge check

BACKWARD B1 · concept review — Ratios of debt to income · Question 1 of 5

Learn: DTI = monthly debt payments ÷ gross monthly income × 100.

Monthly debts of $1,500 on $6,000 gross income is what DTI?

A. 2.5%
B. 4%
C. 25%
D. 40%

CORRECT ANSWER

C. 25%

Feedback (shown after answering)

$1,500 ÷ $6,000 = 25%.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Divides the wrong way
D: Arithmetic error

Type: instruction

BACKWARD B1 · concept review — Ratios of debt to income · Question 2 of 5

36% of $5,000 is...

A. $180
B. $1,800
C. $3,200
D. $18,000

CORRECT ANSWER

B. $1,800

Feedback (shown after answering)

$5,000 × 0.36 = $1,800.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

A: Uses 3.6%
C: Gives the remainder
D: Uses 360%

Type: knowledge check

BACKWARD B1 · concept review — Ratios of debt to income · Question 3 of 5

Learn: DTI counts debt payments (loans, credit card minimums, the new housing payment), not everyday expenses.

Which is included in DTI?

A. Groceries
B. A monthly student loan payment
C. Gas for the car you drive each month
D. Streaming subscriptions

CORRECT ANSWER

B. A monthly student loan payment

Feedback (shown after answering)

Loan payments count in DTI.

Why each other choice is wrong (misconception it represents)

A: Living expense
C: Living expense
D: Living expense

Type: instruction

BACKWARD B1 · concept review — Ratios of debt to income · Question 4 of 5

If income stays the same and debts go down, what happens to DTI?

A. It goes down
B. It goes up
C. It stays the same
D. It becomes 100%

CORRECT ANSWER

A. It goes down

Feedback (shown after answering)

Smaller debts mean a smaller ratio.

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Ignores change
D: Misreads

Type: knowledge check

BACKWARD B1 · concept review — Ratios of debt to income · Question 5 of 5

Which income is used for DTI by most mortgage lenders?

A. Net income after a vacation
B. Yearly bonus only
C. Income from gifts
D. Gross monthly income

CORRECT ANSWER

D. Gross monthly income

Feedback (shown after answering)

Lenders use gross monthly income.

Why each other choice is wrong (misconception it represents)

A: Not used
B: Incomplete
C: Not income

Type: knowledge check

GO DEEPER 1 — From payment limit to price range · Question 1 of 5

Learn: To estimate a price range, subtract taxes and insurance from the PITI limit, then find what loan that principal-and-interest payment supports.

The Lees can afford $2,080 PITI. Taxes and insurance are $650 a month. How much is left for principal and interest?

A. $650
B. $1,430
C. $2,080
D. $2,730

CORRECT ANSWER

B. $1,430

Feedback (shown after answering)

$2,080 − $650 = $1,430.

Recomputed independently by the build: 1430

Why each other choice is wrong (misconception it represents)

A: Gives taxes and insurance
C: Ignores taxes and insurance
D: Adds

Type: instruction

GO DEEPER 1 — From payment limit to price range · Question 2 of 5

Learn: A payment factor gives the monthly cost per $1,000 borrowed. Loan supported ≈ payment ÷ factor × $1,000.

At 6.5% for 30 years, each $1,000 borrowed costs about $6.32 a month. About how large a loan does a $1,430 payment support?

A. About $9,000
B. About $226,000
C. About $143,000
D. About $350,000

CORRECT ANSWER

B. About $226,000

Feedback (shown after answering)

$1,430 ÷ $6.32 × $1,000 ≈ $226,000.

Recomputed independently by the build: 226265.822785

Why each other choice is wrong (misconception it represents)

A: Multiplies
C: Uses $10 per $1,000
D: Overestimates

Type: instruction

GO DEEPER 1 — From payment limit to price range · Question 3 of 5

Learn: Price ≈ loan + down payment.

With a $226,000 loan and $60,000 down, about what home price can the Lees consider?

A. About $226,000
B. About $166,000
C. About $286,000
D. About $60,000

CORRECT ANSWER

C. About $286,000

Feedback (shown after answering)

$226,000 + $60,000 ≈ $286,000.

Recomputed independently by the build: 286000

Why each other choice is wrong (misconception it represents)

A: Ignores the down payment
B: Subtracts
D: Down payment only

Type: instruction

GO DEEPER 1 — From payment limit to price range · Question 4 of 5

Learn: Lender approval shows what a lender will lend, not what fits your full budget and goals.

A lender approves the Lees for up to $350,000. Their own budget says about $286,000. Which is wiser?

A. Spend the full approval to get a bigger house
B. Shop within their own budget
C. Borrow more to furnish the house
D. Skip the emergency fund to afford more

CORRECT ANSWER

B. Shop within their own budget

Feedback (shown after answering)

Affordability depends on the whole budget, not just lender limits.

Why each other choice is wrong (misconception it represents)

A: Confuses approval with affordability
C: Adds debt
D: Removes protection

Type: instruction

GO DEEPER 1 — From payment limit to price range · Question 5 of 5

Learn: DTI covers debt payments only.

Which budget item do lender DTI limits ignore but buyers should include?

A. The mortgage payment
B. Property taxes
C. Child care, saving, and home maintenance
D. Student loan payments and the car payment

CORRECT ANSWER

C. Child care, saving, and home maintenance

Feedback (shown after answering)

Real budgets include many costs DTI does not count.

Why each other choice is wrong (misconception it represents)

A: Included
B: Included in PITI
D: Included

Type: instruction

GO DEEPER 2 — Improving mortgage readiness · Question 1 of 5

Learn: Paying off debts lowers monthly payments and DTI.

Which step most quickly improves DTI before applying?

A. Opening new credit cards to raise their total limit
B. Taking a cash advance
C. Financing furniture early
D. Paying off a small loan or credit card balance

CORRECT ANSWER

D. Paying off a small loan or credit card balance

Feedback (shown after answering)

Removing a monthly payment lowers DTI.

Why each other choice is wrong (misconception it represents)

A: Adds risk
B: Adds debt
C: Adds debt

Type: instruction

GO DEEPER 2 — Improving mortgage readiness · Question 2 of 5

Learn: DTI change = payment removed ÷ income × 100.

The Lees pay off a $300 monthly student loan. Their gross income is $8,000. By how many percentage points does their DTI fall?

A. 0.375
B. 3.75
C. 7.5
D. 30

CORRECT ANSWER

B. 3.75

Feedback (shown after answering)

$300 ÷ $8,000 = 3.75% of income.

Recomputed independently by the build: 3.75

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Doubles
D: Uses dollars

Type: instruction

GO DEEPER 2 — Improving mortgage readiness · Question 3 of 5

Learn: Lenders verify income, assets, and debts with documents.

Which documents do lenders typically request for preapproval?

A. Pay stubs, W-2s or tax returns, and bank statements
B. Screenshots of their banking app balances for one day
C. School report cards
D. Restaurant receipts

CORRECT ANSWER

A. Pay stubs, W-2s or tax returns, and bank statements

Feedback (shown after answering)

Income and asset documents support preapproval.

Why each other choice is wrong (misconception it represents)

B: Not used
C: Not used
D: Not used

Type: instruction · practical how-to

GO DEEPER 2 — Improving mortgage readiness · Question 4 of 5

Learn: State housing finance agencies (in New Jersey, the NJ Housing and Mortgage Finance Agency) offer programs for eligible first-time buyers.

Why might first-time buyers look into state housing finance agency programs?

A. They guarantee approval for anyone
B. They pay the whole mortgage for buyers with low income
C. They are for investors only
D. They may offer down payment help or lower-cost loans

CORRECT ANSWER

D. They may offer down payment help or lower-cost loans

Feedback (shown after answering)

State programs can help eligible first-time buyers.

Why each other choice is wrong (misconception it represents)

A: Overstates
B: Overstates
C: Misreads the programs

Type: instruction · practical how-to

GO DEEPER 2 — Improving mortgage readiness · Question 5 of 5

Learn: Prequalification is often based on self-reported information. Preapproval involves documentation and a credit check.

What is the difference between prequalification and preapproval?

A. They are identical
B. Prequalification is an estimate; preapproval checks documents
C. Preapproval is a final loan
D. Prequalification requires a down payment

CORRECT ANSWER

B. Prequalification is an estimate; preapproval checks documents

Feedback (shown after answering)

Preapproval is more thorough, though still not final approval.

Why each other choice is wrong (misconception it represents)

A: Ignores differences
C: Overstates
D: Misreads

Type: instruction

SET 80 · Mortgages and Homeownership

Amortization, extra payments, and refinancing

MAIN skill: Follow mortgage amortization and evaluate extra payments and refinancing

Outcome FL.HOME.80 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain mortgage amortization and evaluate prepayment and refinancing decisions

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Interest on a remaining balance (5 questions)
  Why: Amortization repeats "interest on what is still owed."
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Monthly interest is a percent of the balance.
- B3 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  Why: Amortization steps repeat multiply-subtract-update.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: When refinancing makes sense (5 questions)
- Go Deeper 2: Extra payment strategies (5 questions)

Practical skills beyond the standards: Refinance break-even analysis

Content status: stable

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 A, M-Q4 C, M-Q5 C, B1-Q1 B, B1-Q2 A, B1-Q3 A, B1-Q4 B, B1-Q5 D, F1-Q1 B, F1-Q2 D, F1-Q3 B, F1-Q4 C, F1-Q5 A, F2-Q1 B, F2-Q2 C, F2-Q3 D, F2-Q4 A, F2-Q5 B

MAIN — Follow mortgage amortization and evaluate extra payments and refinancing · Question 1 of 5

Learn: Mortgages amortize: each payment covers that month's interest (balance × annual rate ÷ 12), and the rest reduces the principal. Early payments are mostly interest.

On a $240,000 mortgage at 6.5%, how much of the FIRST monthly payment is interest?

A. $216.96
B. $1,300.00
C. $1,516.96
D. $15,600.00

CORRECT ANSWER

B. $1,300.00

Feedback (shown after answering)

$240,000 × 0.065 ÷ 12 = $1,300.00.

Recomputed independently by the build: 1300

Why each other choice is wrong (misconception it represents)

A: Gives the principal part
C: Gives the whole payment
D: Uses a full year

Type: instruction

MAIN — Follow mortgage amortization and evaluate extra payments and refinancing · Question 2 of 5

Learn: Principal paid = payment − interest.

The first payment is $1,516.96, and $1,300.00 of it is interest. How much reduces the principal?

A. $216.96
B. $1,300.00
C. $1,516.96
D. $2,816.96

CORRECT ANSWER

A. $216.96

Feedback (shown after answering)

$1,516.96 − $1,300.00 = $216.96.

Recomputed independently by the build: 216.96

Why each other choice is wrong (misconception it represents)

B: Gives interest
C: Whole payment
D: Adds

Type: instruction

MAIN — Follow mortgage amortization and evaluate extra payments and refinancing · Question 3 of 5

Learn: Extra payments go directly to principal (if the lender is told), shortening the loan and reducing interest.

Paying an extra $200 a month on a $240,000, 6.5%, 30-year mortgage pays it off in about 262 months instead of 360. About how many years sooner is that?

A. About 8 years sooner
B. About 2 years sooner
C. About 98 years sooner
D. No sooner

CORRECT ANSWER

A. About 8 years sooner

Feedback (shown after answering)

360 − 262 = 98 months ≈ 8.2 years sooner, saving about $96,000 of interest.

Recomputed independently by the build: 8.166667

Why each other choice is wrong (misconception it represents)

B: Arithmetic error
C: Uses months as years
D: Ignores extra payments

Type: instruction

MAIN — Follow mortgage amortization and evaluate extra payments and refinancing · Question 4 of 5

Learn: Refinancing pays off your current mortgage with a new one. It can lower the rate or payment but involves closing costs.

Refinancing means...

A. adding a second owner to the deed so two people share the payment
B. selling the home to the bank
C. replacing a mortgage with a new loan, often to get a lower rate
D. skipping payments for a year

CORRECT ANSWER

C. replacing a mortgage with a new loan, often to get a lower rate

Feedback (shown after answering)

A refinance is a new loan that replaces the old one.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
D: Misreads

Type: instruction

MAIN — Follow mortgage amortization and evaluate extra payments and refinancing · Question 5 of 5

Learn: Simple cash-flow break-even = refinancing costs ÷ monthly payment savings. A complete comparison also considers the new loan's term and balance, any costs rolled into the loan, and how long you will keep it.

A refinance costs $4,000 and lowers the monthly payment by $200. Using a simple cash-flow break-even, how many months until the savings cover the cost?

A. 200 months
B. 2 months
C. 20 months
D. 40 months

CORRECT ANSWER

C. 20 months

Feedback (shown after answering)

$4,000 ÷ $200 = 20 months.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Misplaces the decimal
D: Doubles

Type: instruction

BACKWARD B1 · concept review — Interest on a remaining balance · Question 1 of 5

Learn: Monthly interest = balance × annual rate ÷ 12.

A balance of $100,000 at 6% per year: what is one month's interest?

A. $50
B. $500
C. $600
D. $6,000

CORRECT ANSWER

B. $500

Feedback (shown after answering)

$100,000 × 0.06 ÷ 12 = $500.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses 0.6%
D: Uses a full year

Type: instruction

BACKWARD B1 · concept review — Interest on a remaining balance · Question 2 of 5

Learn: Payment − interest = principal reduction.

A $700 payment includes $500 of interest. How much reduces the balance?

A. $200
B. $500
C. $700
D. $1,200

CORRECT ANSWER

A. $200

Feedback (shown after answering)

$700 − $500 = $200.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

B: Gives interest
C: Ignores interest
D: Adds

Type: instruction

BACKWARD B1 · concept review — Interest on a remaining balance · Question 3 of 5

Learn: Interest is charged on the remaining balance.

After the principal falls, next month's interest is...

A. slightly smaller
B. slightly larger
C. exactly the same
D. zero

CORRECT ANSWER

A. slightly smaller

Feedback (shown after answering)

A smaller balance means less interest.

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Ignores the smaller balance
D: Overstates

Type: instruction

BACKWARD B1 · concept review — Interest on a remaining balance · Question 4 of 5

An extra $100 paid toward principal does what to future interest?

A. Raises it
B. Lowers it
C. Has no effect
D. Doubles it

CORRECT ANSWER

B. Lowers it

Feedback (shown after answering)

Less principal means less interest every month after.

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Ignores principal
D: Misreads

Type: knowledge check

BACKWARD B1 · concept review — Interest on a remaining balance · Question 5 of 5

Learn: With a fixed-rate mortgage, the principal-and-interest payment is constant; only the split between interest and principal changes.

Over the life of a fixed-rate mortgage, the monthly principal-and-interest payment…

A. rises every month
B. falls every month
C. changes with the stock market
D. stays the same

CORRECT ANSWER

D. stays the same

Feedback (shown after answering)

Fixed-rate P&I stays constant; the mix shifts toward principal.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Confuses interest part with payment
C: Confuses mortgages with investments

Type: instruction

GO DEEPER 1 — When refinancing makes sense · Question 1 of 5

Learn: Refinancing to a lower rate lowers the payment if the term is similar.

The Lees owe $220,000 with 25 years left at 7%, paying $1,554.91. A new 25-year loan at 6% would cost $1,417.46. What is the monthly savings?

A. $13.75
B. $137.45
C. $1,417.46
D. $2,200.00

CORRECT ANSWER

B. $137.45

Feedback (shown after answering)

$1,554.91 − $1,417.46 = $137.45.

Recomputed independently by the build: 137.45

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives the new payment
D: Uses 1% of the balance

Type: instruction

GO DEEPER 1 — When refinancing makes sense · Question 2 of 5

Learn: A simple cash-flow break-even = closing costs ÷ monthly payment savings. A full comparison also looks at the new loan's term, balance, and how long you will keep it.

A refinance lowers the Lees' monthly payment by $137.45 and has $5,500 of closing costs paid in cash. About how many months until the payment savings cover the closing costs?

A. About 4 months
B. About 137 months
C. About 400 months
D. About 40 months

CORRECT ANSWER

D. About 40 months

Feedback (shown after answering)

$5,500 ÷ $137.45 ≈ 40 months.

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses the savings as months
C: Adds a zero

Type: instruction

GO DEEPER 1 — When refinancing makes sense · Question 3 of 5

Learn: On a simple cash-flow basis, refinancing pays off only if you keep the new loan longer than the break-even time.

The Lees plan to move in 2 years. A refinance has a 40-month simple cash-flow break-even. Should they refinance?

A. Yes; refinancing always saves money
B. Probably not; they would leave before recovering the costs
C. Yes, because rates may fall even more next year, saving more
D. It makes no difference

CORRECT ANSWER

B. Probably not; they would leave before recovering the costs

Feedback (shown after answering)

24 months < 40 months, so they would not recover the costs.

Why each other choice is wrong (misconception it represents)

A: Ignores costs
C: Speculates
D: Ignores timing

Type: instruction

GO DEEPER 1 — When refinancing makes sense · Question 4 of 5

Learn: Restarting a long term lowers payments partly by stretching repayment.

Refinancing a 30-year loan with 22 years left into a NEW 30-year loan can lower the payment but...

A. always lowers the total interest paid over the whole loan
B. removes all closing costs
C. add years of payments and possibly more total interest
D. pays off the house sooner

CORRECT ANSWER

C. add years of payments and possibly more total interest

Feedback (shown after answering)

A longer new term can raise total interest even at a lower rate.

Why each other choice is wrong (misconception it represents)

A: Confuses a lower payment with less interest
B: Misses refinance costs
D: Reverses

Type: instruction

GO DEEPER 1 — When refinancing makes sense · Question 5 of 5

Learn: Cash-out refinancing turns home equity into cash by taking a larger loan.

A "cash-out" refinance borrows more than is owed and pays the difference in cash. What is a key risk?

A. More debt secured by the home
B. It lowers the balance automatically
C. It cannot affect the home
D. It is free money

CORRECT ANSWER

A. More debt secured by the home

Feedback (shown after answering)

Cash-out adds debt with the home as collateral.

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Misses that the home secures the debt
D: Misreads

Type: instruction

GO DEEPER 2 — Extra payment strategies · Question 1 of 5

Learn: Biweekly half-payments result in one extra full payment each year, which shortens the loan if applied to principal.

Paying half the monthly payment every two weeks (26 half-payments a year) adds up to how many full payments per year?

A. 12
B. 13
C. 14
D. 26

CORRECT ANSWER

B. 13

Feedback (shown after answering)

26 ÷ 2 = 13 full payments.

Recomputed independently by the build: 13

Why each other choice is wrong (misconception it represents)

A: Assumes no extra
C: Arithmetic error
D: Counts halves as full

Type: instruction

GO DEEPER 2 — Extra payment strategies · Question 2 of 5

Learn: Extra principal over several years = extra payment per year × number of years.

One extra payment of $1,516.96 a year goes to principal. Over 10 years, how much extra principal is that?

A. $1,516.96
B. $7,584.80
C. $15,169.60
D. $151,696.00

CORRECT ANSWER

C. $15,169.60

Feedback (shown after answering)

$1,516.96 × 10 = $15,169.60.

Recomputed independently by the build: 15169.6

Why each other choice is wrong (misconception it represents)

A: One year
B: Uses 5 years
D: Adds a zero

Type: instruction

GO DEEPER 2 — Extra payment strategies · Question 3 of 5

Learn: Extra mortgage payments "earn" the mortgage rate in saved interest, but money paid in is hard to access without selling or borrowing.

Which statement about prepaying a mortgage is TRUE?

A. It earns a guaranteed stock-market return every year
B. It is always better than any other goal
C. It increases the interest rate
D. It saves interest but ties up cash in the home

CORRECT ANSWER

D. It saves interest but ties up cash in the home

Feedback (shown after answering)

Prepaying is safe saving at the mortgage rate, but less liquid.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Overstates
C: Misunderstands prepayment

Type: instruction

GO DEEPER 2 — Extra payment strategies · Question 4 of 5

Learn: Planners often suggest building savings and paying off costlier debts before making extra mortgage payments.

Before prepaying a mortgage, which goals do many planners suggest covering first?

A. An emergency fund and costly debt
B. A new car
C. A vacation
D. Nothing else matters

CORRECT ANSWER

A. An emergency fund and costly debt

Feedback (shown after answering)

Emergency savings and high-rate debt usually come first.

Why each other choice is wrong (misconception it represents)

B: Want
C: Want
D: Ignores priorities

Type: instruction

GO DEEPER 2 — Extra payment strategies · Question 5 of 5

Learn: Biweekly half-payments add up to one extra monthly payment a year. Adding one-twelfth of a payment each month puts the same extra amount toward principal each year, for free. The exact interest saved can differ a little depending on when the servicer applies the money.

Some third-party "biweekly payment services" charge setup fees. What is a cheaper way to get a similar payoff benefit?

A. Paying the setup fee to a private biweekly payment service
B. Adding one-twelfth of a payment to each monthly payment
C. Skipping payments
D. Paying late

CORRECT ANSWER

B. Adding one-twelfth of a payment to each monthly payment

Feedback (shown after answering)

Adding 1/12 of a payment monthly pays the same extra amount each year without fees, for a similar payoff benefit.

Why each other choice is wrong (misconception it represents)

A: Costs money
C: Harmful
D: Harmful

Type: instruction · practical how-to

SET 81 · Mortgages and Homeownership

Fixed or adjustable rates, and the true cost of owning

MAIN skill: Compare fixed-rate and adjustable-rate mortgages and budget for the full cost of owning a home

Outcome FL.HOME.81 · National topic: Managing Credit · NJSLS 9.1.12: CDM, PB, RM

Learning target: Compare fixed-rate and adjustable-rate mortgages and the total cost of homeownership

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Fixed versus changing rates (5 questions)
  Why: Students must understand that a variable rate can change payments before comparing mortgage types.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Maintenance budgets and rate changes are percents.
- B3 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  Why: Total cost of owning adds many monthly costs.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Stress-testing an ARM (5 questions)
- Go Deeper 2: Affordability versus approval and long-term costs (5 questions)

Practical skills beyond the standards: Stress-testing an adjustable-rate mortgage; Budgeting for home maintenance

Content status: time-sensitive

Source: CFPB (Adjustable-rate mortgages) — An ARM has an initial fixed period, after which the rate adjusts based on an index plus a margin, subject to caps.
https://www.consumerfinance.gov/ask-cfpb/what-is-an-adjustable-rate-mortgage-arm-en-100/

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 C, M-Q4 B, M-Q5 D, B1-Q1 A, B1-Q2 D, B1-Q3 D, B1-Q4 A, B1-Q5 C, F1-Q1 C, F1-Q2 C, F1-Q3 B, F1-Q4 D, F1-Q5 C, F2-Q1 C, F2-Q2 D, F2-Q3 B, F2-Q4 D, F2-Q5 B

MAIN — Compare fixed-rate and adjustable-rate mortgages and budget for the full cost of owning a home · Question 1 of 5

Learn: A fixed-rate mortgage keeps the same interest rate (and principal-and-interest payment) for the whole loan. An adjustable-rate mortgage (ARM) has a fixed rate for an initial period (for example, 5 years in a "5/1" ARM) and then adjusts periodically based on a market index plus a margin, within limits called caps.

Which statement describes a FIXED-rate mortgage?

A. The rate changes every single year with the overall market
B. The payment changes when the Fed changes rates
C. The interest rate stays the same for the whole loan
D. Payments rise every month by law

CORRECT ANSWER

C. The interest rate stays the same for the whole loan

Feedback (shown after answering)

Fixed-rate means the rate never changes.

Why each other choice is wrong (misconception it represents)

A: Describes an ARM after its fixed period
B: Describes adjustable debt
D: Invents a rule

Type: instruction

MAIN — Compare fixed-rate and adjustable-rate mortgages and budget for the full cost of owning a home · Question 2 of 5

Learn: An ARM's payment can rise when its rate resets. Plan for the possible higher payment, not only the starting one.

A 5/1 ARM starts at 5.5% on $240,000, with a $1,362.69 payment. After 5 years, the balance is $221,905.45 and the rate rises to 7.5%; the new payment is $1,639.86. How much does the payment rise?

A. $2.00
B. $277.17
C. $1,639.86
D. $4,800.00

CORRECT ANSWER

B. $277.17

Feedback (shown after answering)

$1,639.86 − $1,362.69 = $277.17 more per month.

Recomputed independently by the build: 277.17

Why each other choice is wrong (misconception it represents)

A: Uses the rate change
C: Gives the new payment
D: Uses 2% of the loan

Type: instruction

MAIN — Compare fixed-rate and adjustable-rate mortgages and budget for the full cost of owning a home · Question 3 of 5

Who is an ARM most likely to suit?

A. A buyer who wants a monthly payment that will never change
B. A buyer on a tight budget who plans to stay 30 years
C. A buyer who expects to sell before the fixed period ends
D. A buyer who cannot afford any payment increase

CORRECT ANSWER

C. A buyer who expects to sell before the fixed period ends

Feedback (shown after answering)

ARMs can save money for short stays but carry risk for long stays.

Why each other choice is wrong (misconception it represents)

A: Fits fixed
B: Risky
D: Risky

Type: knowledge check

MAIN — Compare fixed-rate and adjustable-rate mortgages and budget for the full cost of owning a home · Question 4 of 5

Learn: Owners pay for repairs and upkeep: roofs, appliances, heating systems, painting. Budgeting for these prevents surprises.

A common guideline budgets 1% to 2% of a home's value each year for maintenance and repairs. For a $300,000 home, what yearly range is that?

A. $300 to $600
B. $3,000 to $6,000
C. $30,000 to $60,000
D. $1,000 to $2,000

CORRECT ANSWER

B. $3,000 to $6,000

Feedback (shown after answering)

1% × $300,000 = $3,000; 2% = $6,000.

Recomputed independently by the build: 3000

Why each other choice is wrong (misconception it represents)

A: Uses 0.1–0.2%
C: Uses 10–20%
D: Uses the percents as thousands

Type: instruction

MAIN — Compare fixed-rate and adjustable-rate mortgages and budget for the full cost of owning a home · Question 5 of 5

The Lees' PITI is $2,166.96. Maintenance is $400 a month, and utilities $300. What is their total monthly cost of owning?

A. $700.00
B. $2,166.96
C. $2,566.96
D. $2,866.96

CORRECT ANSWER

D. $2,866.96

Feedback (shown after answering)

$2,166.96 + $400 + $300 = $2,866.96.

Recomputed independently by the build: 2866.96

Why each other choice is wrong (misconception it represents)

A: Extras only
B: PITI only
C: Leaves out utilities

Type: knowledge check

BACKWARD B1 · concept review — Fixed versus changing rates · Question 1 of 5

Learn: Fixed rates stay the same; variable (adjustable) rates can change.

A savings account rate is "variable." What does that mean?

A. The rate can change over time
B. The rate is locked forever
C. The rate is zero
D. The rate is set by the customer

CORRECT ANSWER

A. The rate can change over time

Feedback (shown after answering)

Variable rates can change.

Why each other choice is wrong (misconception it represents)

B: Describes fixed
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Fixed versus changing rates · Question 2 of 5

Learn: When the payment is recalculated at a higher rate for the same balance and term, more interest is due each month, so the payment must rise to keep paying the loan off on time.

A fully amortizing loan's payment is recalculated when its rate rises, with the same balance and remaining term. What happens to the payment?

A. It falls
B. It stays the same
C. It disappears
D. It rises

CORRECT ANSWER

D. It rises

Feedback (shown after answering)

More interest at the same balance and term means a bigger payment.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores the recalculation
C: Misreads

Type: instruction

BACKWARD B1 · concept review — Fixed versus changing rates · Question 3 of 5

Learn: ARM caps limit how much the rate can change at each adjustment and over the life of the loan.

What is a rate "cap" on an ARM?

A. A fee for opening the loan
B. A guarantee that the rate will fall later
C. The down payment
D. A limit on how much the rate can rise

CORRECT ANSWER

D. A limit on how much the rate can rise

Feedback (shown after answering)

Caps limit rate increases.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
C: Misreads

Type: instruction

BACKWARD B1 · concept review — Fixed versus changing rates · Question 4 of 5

Learn: In "5/1," the first number is the fixed period in years; the second is how often (years) it adjusts after.

In a "5/1 ARM," what does the 5 mean?

A. The rate is fixed for the first 5 years
B. The rate is 5%
C. The loan lasts 5 years, then the balance is due
D. There are 5 payments

CORRECT ANSWER

A. The rate is fixed for the first 5 years

Feedback (shown after answering)

Fixed for 5 years, then adjusts every 1 year.

Why each other choice is wrong (misconception it represents)

B: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Fixed versus changing rates · Question 5 of 5

1% of $250,000 is...

A. $25
B. $250
C. $2,500
D. $25,000

CORRECT ANSWER

C. $2,500

Feedback (shown after answering)

$250,000 × 0.01 = $2,500.

Recomputed independently by the build: 2500

Why each other choice is wrong (misconception it represents)

A: Uses 0.01%
B: Uses 0.1%
D: Uses 10%

Type: knowledge check

GO DEEPER 1 — Stress-testing an ARM · Question 1 of 5

Learn: The lifetime cap sets the maximum rate: start rate + lifetime cap.

An ARM has a 2% cap per adjustment and a 5% lifetime cap over a 5.5% start rate. What is the highest rate it could ever reach?

A. 5.5%
B. 7.5%
C. 10.5%
D. 12.5%

CORRECT ANSWER

C. 10.5%

Feedback (shown after answering)

5.5% + 5% = 10.5%.

Recomputed independently by the build: 10.5

Why each other choice is wrong (misconception it represents)

A: Starting rate
B: Uses one adjustment
D: Adds both caps

Type: instruction

GO DEEPER 1 — Stress-testing an ARM · Question 2 of 5

Learn: The per-adjustment cap limits each change; the lifetime cap limits the total change over the loan.

An ARM starts at 5.5%. Its caps allow at most a 2 percentage point change at the first adjustment and 5 points over the life of the loan. What is the highest rate at the FIRST adjustment?

A. 5.5%
B. 6.5%
C. 7.5%
D. 10.5%

CORRECT ANSWER

C. 7.5%

Feedback (shown after answering)

5.5% + 2 points = 7.5%.

Recomputed independently by the build: 7.5

Why each other choice is wrong (misconception it represents)

A: Assumes no change
B: Uses 1 point
D: Uses the lifetime cap

Type: instruction

GO DEEPER 1 — Stress-testing an ARM · Question 3 of 5

Learn: A "stress test" checks the worst-case payment.

Which question helps decide whether an ARM is safe for a household?

A. Is the starting rate lower than today's 30-year fixed rate?
B. Could we afford the payment at the highest possible rate?
C. Will the lender approve the loan amount?
D. Will rates definitely fall?

CORRECT ANSWER

B. Could we afford the payment at the highest possible rate?

Feedback (shown after answering)

Planning for the worst case protects against payment shock.

Why each other choice is wrong (misconception it represents)

A: Too narrow
C: Approval is not affordability
D: Unknowable

Type: instruction

GO DEEPER 1 — Stress-testing an ARM · Question 4 of 5

Learn: Savings over a period = monthly savings × number of months.

An ARM saves $150 a month for 5 years compared with a fixed loan. How much does it save in that time?

A. $150
B. $750
C. $1,800
D. $9,000

CORRECT ANSWER

D. $9,000

Feedback (shown after answering)

$150 × 60 = $9,000.

Recomputed independently by the build: 9000

Why each other choice is wrong (misconception it represents)

A: One month
B: Five months
C: One year

Type: instruction

GO DEEPER 1 — Stress-testing an ARM · Question 5 of 5

Learn: Months to use up savings = savings ÷ extra monthly cost.

If rates rise and the ARM payment becomes $277 higher than the fixed payment after year 5, how long until the earlier $9,000 savings are used up?

A. About 3 months
B. About 277 months
C. About 32 months
D. Never

CORRECT ANSWER

C. About 32 months

Feedback (shown after answering)

$9,000 ÷ $277 ≈ 32 months.

Recomputed independently by the build: 32.490975

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses the difference as months
D: Ignores the higher payments

Type: instruction

GO DEEPER 2 — Affordability versus approval and long-term costs · Question 1 of 5

Learn: PITI covers the mortgage, taxes, and insurance. Owners also pay utilities, maintenance, and sometimes HOA dues.

Which costs of owning are NOT part of PITI?

A. Property taxes
B. Homeowners insurance
C. Repairs, utilities, and HOA dues
D. Principal and interest

CORRECT ANSWER

C. Repairs, utilities, and HOA dues

Feedback (shown after answering)

Utilities, upkeep, and HOA dues are extra.

Why each other choice is wrong (misconception it represents)

A: In PITI
B: In PITI
D: In PITI

Type: instruction

GO DEEPER 2 — Affordability versus approval and long-term costs · Question 2 of 5

Learn: Homeowners association dues pay for shared upkeep in condos and some neighborhoods.

A condo has HOA dues of $250 a month. How much is that per year?

A. $250
B. $300
C. $2,500
D. $3,000

CORRECT ANSWER

D. $3,000

Feedback (shown after answering)

$250 × 12 = $3,000.

Recomputed independently by the build: 3000

Why each other choice is wrong (misconception it represents)

A: One month
B: Misreads
C: Uses 10 months

Type: instruction

GO DEEPER 2 — Affordability versus approval and long-term costs · Question 3 of 5

Learn: Setting money aside for repairs avoids borrowing when big systems fail.

A furnace replacement costs $6,000 in year 3. Which fund should pay for it?

A. A credit card cash advance
B. A home maintenance reserve
C. The down payment
D. A payday loan

CORRECT ANSWER

B. A home maintenance reserve

Feedback (shown after answering)

Planned reserves cover big repairs without debt.

Why each other choice is wrong (misconception it represents)

A: Expensive
C: Already spent
D: Expensive

Type: instruction

GO DEEPER 2 — Affordability versus approval and long-term costs · Question 4 of 5

Which statement about lender approval is TRUE?

A. Approval guarantees the home is affordable within your full monthly budget
B. Approval sets property taxes
C. Approval includes maintenance costs
D. Approval shows what a lender will lend, not what fits your whole budget

CORRECT ANSWER

D. Approval shows what a lender will lend, not what fits your whole budget

Feedback (shown after answering)

Only your full budget shows true affordability.

Why each other choice is wrong (misconception it represents)

A: Confuses approval with affordability
B: Confuses lender and tax roles
C: Lenders do not count repairs

Type: knowledge check

GO DEEPER 2 — Affordability versus approval and long-term costs · Question 5 of 5

Learn: Home prices are not guaranteed to rise.

Home values can rise or fall. A home bought for $300,000 falls 10% in value. What is it worth?

A. $30,000
B. $270,000
C. $299,990
D. $330,000

CORRECT ANSWER

B. $270,000

Feedback (shown after answering)

$300,000 × 0.90 = $270,000.

Recomputed independently by the build: 270000

Why each other choice is wrong (misconception it represents)

A: Gives the loss
C: Subtracts 10 dollars
D: Adds

Type: instruction

SET 82 · Buying, Financing, and Owning a Vehicle

The total cost of buying a car

MAIN skill: Find the out-the-door price of a vehicle and check a car before buying

Outcome FL.CAR.82 · National topic: Spending · NJSLS 9.1.12: CDM, PB

Learning target: Calculate the total cost of buying a vehicle and evaluate a used car before purchase

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Taxes and fees on a purchase (5 questions)
  Why: The out-the-door price adds a percent tax and flat fees to the price.
- B2 · Math link → G7-S63-M (Grade 7 7.RP.A.3): Find sales tax and the final cost with tax
  Why: Sales tax on a car is a percent of the price.
- B3 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee
  Why: Fees and taxes are added to the price to get the out-the-door total.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: New, used, and certified pre-owned (5 questions)
- Go Deeper 2: Negotiating, add-ons, and trade-ins (5 questions)

Practical skills beyond the standards: Finding the out-the-door price; Checking a VIN for recalls; Declining add-ons

Content status: time-sensitive

Source: New Jersey Division of Taxation — The New Jersey sales tax rate has been 6.625% since January 1, 2018.
https://www.nj.gov/treasury/taxation/

Source: FTC (Buying a used car from a dealer) — Dealers must post a Buyers Guide on used cars that says whether the car is sold "as is" or with a warranty; some states add their own used-car warranty rules.
https://consumer.ftc.gov/articles/buying-used-car-dealer

Source: NHTSA (Recalls) — Anyone can check a vehicle identification number (VIN) for open safety recalls for free.
https://www.nhtsa.gov/recalls

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 A, M-Q4 C, M-Q5 A, B1-Q1 B, B1-Q2 C, B1-Q3 B, B1-Q4 D, B1-Q5 D, F1-Q1 B, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 B, F2-Q1 A, F2-Q2 D, F2-Q3 C, F2-Q4 A, F2-Q5 C

MAIN — Find the out-the-door price of a vehicle and check a car before buying · Question 1 of 5

Learn: Buying a car costs more than its price. Sales tax is a percent of the price: tax = price × rate as a decimal. New Jersey's rate is 6.625% (0.06625).

Maya buys a car priced at $24,000 in New Jersey, where sales tax is 6.625%. In this example, tax applies to the price only. How much is the sales tax?

A. $159
B. $1,590
C. $15,900
D. $25,590

CORRECT ANSWER

B. $1,590

Feedback (shown after answering)

$24,000 × 0.06625 = $1,590.

Recomputed independently by the build: 1590

Why each other choice is wrong (misconception it represents)

A: Uses 0.6625% instead of 6.625%
C: Uses 66.25% because the decimal moved the wrong way
D: Gives the price plus tax instead of the tax

Type: instruction · rule as of NJ rate 6.625% since 2018-01-01

MAIN — Find the out-the-door price of a vehicle and check a car before buying · Question 2 of 5

Learn: The out-the-door price is the total you pay to drive away: vehicle price + sales tax + dealer fees + title and registration + any add-ons.

A car is priced at $24,000. Tax is $1,590, the dealer documentation fee is $399, and title and registration cost $260. What is the out-the-door price?

A. $24,000
B. $24,659
C. $25,590
D. $26,249

CORRECT ANSWER

D. $26,249

Feedback (shown after answering)

$24,000 + $1,590 + $399 + $260 = $26,249.

Recomputed independently by the build: 26249

Why each other choice is wrong (misconception it represents)

A: Treats the price tag as the full cost
B: Adds the fees but leaves out the sales tax
C: Adds the tax but leaves out both fees

Type: instruction

MAIN — Find the out-the-door price of a vehicle and check a car before buying · Question 3 of 5

Learn: A payment depends on price, rate, and loan length. A dealer can meet any payment target by stretching the loan or raising the price, so agree on the total price first, then discuss financing.

A salesperson asks, "What monthly payment do you want?" Why is it smarter to negotiate the out-the-door price?

A. A low payment can hide a higher price
B. Monthly payments include no interest, so they show the true cost
C. Dealers are not allowed to change a price once a payment is named
D. Talking about price is rude, so the payment is a friendlier way to agree

CORRECT ANSWER

A. A low payment can hide a higher price

Feedback (shown after answering)

Negotiate the total price; a longer loan can make a higher price look affordable.

Why each other choice is wrong (misconception it represents)

B: Believes a payment contains no interest
C: Invents a rule that does not exist
D: Lets comfort replace comparison

Type: instruction · practical how-to

MAIN — Find the out-the-door price of a vehicle and check a car before buying · Question 4 of 5

Learn: Federal rules require dealers to post a Buyers Guide on used cars. It says whether the car comes with a warranty or is sold "as is." Some states, including New Jersey, require a limited warranty on many used cars, so check your state's rules.

In a state with no extra used-car warranty law, a used car's Buyers Guide is checked "AS IS - NO DEALER WARRANTY." What does that mean?

A. The dealer must fix any problem for one full year after the sale
B. The car has passed a state inspection that guarantees its condition
C. The buyer pays for repairs after the sale
D. The price is final and the dealer will not negotiate it at all

CORRECT ANSWER

C. The buyer pays for repairs after the sale

Feedback (shown after answering)

"As is" means no dealer warranty: repairs after the sale are the buyer's cost.

Why each other choice is wrong (misconception it represents)

A: Reverses the meaning of "as is"
B: Confuses a sticker with an inspection
D: Confuses warranty with price

Type: instruction · rule as of FTC Used Car Rule as of 2026

MAIN — Find the out-the-door price of a vehicle and check a car before buying · Question 5 of 5

Learn: A pre-purchase inspection by a mechanic you choose costs a little and can reveal expensive problems. Also take a test drive and check the vehicle history report.

Before buying a used car from a private seller, which step best protects Maya?

A. Pay for an independent mechanic's inspection
B. Trust the seller's description because they have owned it for years
C. Skip the test drive so the car does not get more miles on it
D. Judge the condition from the photos in the online listing

CORRECT ANSWER

A. Pay for an independent mechanic's inspection

Feedback (shown after answering)

An independent inspection finds problems the seller may not mention.

Why each other choice is wrong (misconception it represents)

B: Relies on the seller, who wants a sale
C: Gives up the chance to notice problems
D: Photos hide mechanical problems

Type: instruction · practical how-to

BACKWARD B1 · concept review — Taxes and fees on a purchase · Question 1 of 5

Learn: Tax = price × rate. Write the percent as a decimal: 6% = 0.06.

What is 6% sales tax on a $10,000 car?

A. $60
B. $600
C. $6,000
D. $10,600

CORRECT ANSWER

B. $600

Feedback (shown after answering)

$10,000 × 0.06 = $600.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
C: Uses 60%
D: Gives the total

Type: instruction

BACKWARD B1 · concept review — Taxes and fees on a purchase · Question 2 of 5

Learn: Price with tax = price + tax, or price × (1 + rate).

A $10,000 car has 6% sales tax. What is the price with tax?

A. $600
B. $10,060
C. $10,600
D. $16,000

CORRECT ANSWER

C. $10,600

Feedback (shown after answering)

$10,000 × 1.06 = $10,600.

Recomputed independently by the build: 10600

Why each other choice is wrong (misconception it represents)

A: Gives the tax only
B: Uses 0.6% tax
D: Uses 60% tax

Type: instruction

BACKWARD B1 · concept review — Taxes and fees on a purchase · Question 3 of 5

Learn: Buying costs are paid once (tax, title, registration at purchase, dealer fees). Owning costs repeat (insurance, fuel, maintenance).

Which is a one-time cost of buying a car?

A. The monthly insurance premium, paid as long as you drive
B. The title fee
C. Gasoline, bought every week or two
D. Oil changes every few thousand miles

CORRECT ANSWER

B. The title fee

Feedback (shown after answering)

The title fee is paid once when ownership transfers.

Why each other choice is wrong (misconception it represents)

A: Ongoing cost
C: Ongoing cost
D: Ongoing cost

Type: instruction

BACKWARD B1 · concept review — Taxes and fees on a purchase · Question 4 of 5

Learn: Doc fees are set by the dealer, not the government. Ask about them early and include them in the out-the-door price.

What is a dealer documentation ("doc") fee?

A. A government tax that every buyer must pay to the state
B. A refundable deposit returned after one year
C. A discount for buyers who bring their own documents
D. A dealer charge for paperwork

CORRECT ANSWER

D. A dealer charge for paperwork

Feedback (shown after answering)

A doc fee is the dealer's own charge for processing paperwork.

Why each other choice is wrong (misconception it represents)

A: Confuses a dealer fee with a tax
B: Invents a refund
C: Reverses a fee

Type: instruction

BACKWARD B1 · concept review — Taxes and fees on a purchase · Question 5 of 5

A $5,000 car has $350 tax and $300 in fees. What is the total cost?

A. $650
B. $5,300
C. $5,350
D. $5,650

CORRECT ANSWER

D. $5,650

Feedback (shown after answering)

$5,000 + $350 + $300 = $5,650.

Recomputed independently by the build: 5650

Why each other choice is wrong (misconception it represents)

A: Gives the extras only
B: Leaves out the tax
C: Leaves out the fees

Type: knowledge check

GO DEEPER 1 — New, used, and certified pre-owned · Question 1 of 5

Learn: New cars lose value (depreciate) fastest in the first years. That is why a lightly used car can cost much less than a new one.

A new $30,000 car loses 20% of its value in the first year. What is it worth after one year?

A. $6,000
B. $24,000
C. $29,400
D. $36,000

CORRECT ANSWER

B. $24,000

Feedback (shown after answering)

$30,000 × 0.80 = $24,000.

Recomputed independently by the build: 24000

Why each other choice is wrong (misconception it represents)

A: Gives the loss instead of the value
C: Uses 2% instead of 20%
D: Adds 20% instead of subtracting

Type: instruction

GO DEEPER 1 — New, used, and certified pre-owned · Question 2 of 5

Learn: CPO programs, usually run by manufacturers, inspect late-model used cars and add an extended warranty, at a higher price than a regular used car.

What is a certified pre-owned (CPO) car?

A. A brand-new car that has never been registered to anyone
B. A used car whose price is set by the government
C. A used car inspected and backed by a warranty
D. Any used car sold by a private seller with a receipt

CORRECT ANSWER

C. A used car inspected and backed by a warranty

Feedback (shown after answering)

CPO cars are inspected used cars with an added warranty.

Why each other choice is wrong (misconception it represents)

A: Describes a new car
B: Invents price control
D: Confuses a receipt with certification

Type: instruction

GO DEEPER 1 — New, used, and certified pre-owned · Question 3 of 5

Learn: History reports (from services such as Carfax or AutoCheck) show past accidents, title brands such as salvage or flood, and odometer readings.

A vehicle history report shows a "salvage" title. What does that mean?

A. An insurer once declared it a total loss
B. The car has had only one careful owner since it was new
C. The car was built with recycled parts to protect the environment
D. The car qualifies for a lower sales tax rate

CORRECT ANSWER

A. An insurer once declared it a total loss

Feedback (shown after answering)

A salvage title means the car was once a total loss; it may have hidden damage and lower resale value.

Why each other choice is wrong (misconception it represents)

B: Misreads a warning as a selling point
C: Takes the word literally
D: Invents a tax rule

Type: instruction · practical how-to

GO DEEPER 1 — New, used, and certified pre-owned · Question 4 of 5

Learn: The National Highway Traffic Safety Administration (NHTSA) lets anyone search a 17-character vehicle identification number (VIN) for unrepaired recalls. Recall repairs are free at a dealer.

Where can a buyer check a car's VIN for open safety recalls for free?

A. Only the seller's word, since recall records are private
B. The price on the car's window sticker
C. A paid membership site that sells recall lists
D. NHTSA's recall lookup

CORRECT ANSWER

D. NHTSA's recall lookup

Feedback (shown after answering)

NHTSA's free VIN lookup shows open recalls.

Why each other choice is wrong (misconception it represents)

A: Believes recall records are secret
B: A price is not a recall record
C: The government lookup is free

Type: instruction · practical how-to

GO DEEPER 1 — New, used, and certified pre-owned · Question 5 of 5

Car A: used, $15,000, expected 3-year repairs $2,400. Car B: certified pre-owned, $17,500, warranty limits repairs to about $400. Which has the lower expected 3-year cost?

A. Car B, by $500
B. Car A, by $500
C. Car A, by $2,500
D. Car B, by $2,000

CORRECT ANSWER

B. Car A, by $500

Feedback (shown after answering)

A: $15,000 + $2,400 = $17,400. B: $17,500 + $400 = $17,900. A costs $500 less.
Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
C: Compares only the prices
D: Compares only the repairs

Type: knowledge check

GO DEEPER 2 — Negotiating, add-ons, and trade-ins · Question 1 of 5

Learn: Pricing guides (such as Kelley Blue Book or Edmunds) and listings for similar cars show what buyers typically pay. Getting written quotes from several dealers also helps.

Before visiting a dealer, Maya looks up the car's typical selling price on several pricing guides. Why?

A. To know a fair offer before negotiating
B. Because dealers must sell at the price shown on any website
C. So she can skip reading the purchase contract
D. Because online prices already include her tax and fees

CORRECT ANSWER

A. To know a fair offer before negotiating

Feedback (shown after answering)

Research gives a fair target price to negotiate toward.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Research does not replace reading
D: Guides show vehicle prices, not her total

Type: instruction · practical how-to

GO DEEPER 2 — Negotiating, add-ons, and trade-ins · Question 2 of 5

Learn: Add-ons are extra products sold with a car. They raise the price, and if financed, you pay interest on them too.

The finance office adds an extended warranty ($1,800), VIN etching ($300), and paint protection ($600). How much do these add-ons add to the cost?

A. $1,800
B. $2,100
C. $2,400
D. $2,700

CORRECT ANSWER

D. $2,700

Feedback (shown after answering)

$1,800 + $300 + $600 = $2,700.

Recomputed independently by the build: 2700

Why each other choice is wrong (misconception it represents)

A: Counts only the warranty
B: Leaves out the VIN etching
C: Leaves out the paint protection

Type: instruction

GO DEEPER 2 — Negotiating, add-ons, and trade-ins · Question 3 of 5

Learn: Extended warranties, etching, and protection packages are optional. A dealer may not say they are required to get a loan if they are not.

Can Maya refuse the add-ons?

A. No; federal law requires every buyer to purchase them
B. Only if she pays the full price in cash with no loan
C. Yes; they are optional
D. No; once listed on the worksheet, they cannot be removed

CORRECT ANSWER

C. Yes; they are optional

Feedback (shown after answering)

Add-ons are optional; ask for them to be removed before signing.

Why each other choice is wrong (misconception it represents)

A: Invents a requirement
B: Invents a condition
D: Believes a draft is final

Type: instruction · practical how-to

GO DEEPER 2 — Negotiating, add-ons, and trade-ins · Question 4 of 5

Learn: Equity = value − amount owed. When you owe more than the car is worth, the difference is negative equity ("being underwater").

Sam's current car is worth $6,000 as a trade-in, but Sam still owes $8,000 on its loan. What is Sam's negative equity?

A. $2,000
B. $6,000
C. $8,000
D. $14,000

CORRECT ANSWER

A. $2,000

Feedback (shown after answering)

$8,000 − $6,000 = $2,000 owed beyond the car's value.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

B: Gives the trade-in value
C: Gives the loan balance
D: Adds the two amounts

Type: instruction

GO DEEPER 2 — Negotiating, add-ons, and trade-ins · Question 5 of 5

Learn: Rolling negative equity into a new loan adds the old debt to the new one, so you start the new loan even further underwater.

Sam rolls the $2,000 negative equity into a new $20,000 car loan. How much does Sam now borrow?

A. $18,000
B. $20,000
C. $22,000
D. $26,000

CORRECT ANSWER

C. $22,000

Feedback (shown after answering)

$20,000 + $2,000 = $22,000.

Recomputed independently by the build: 22000

Why each other choice is wrong (misconception it represents)

A: Subtracts the negative equity
B: Ignores the rolled-over balance
D: Adds the trade-in value

Type: instruction

SET 83 · Buying, Financing, and Owning a Vehicle

Auto loans

MAIN skill: Compare auto loans by payment, term, and total interest, and use a preapproval

Outcome FL.CAR.83 · National topic: Managing Credit · NJSLS 9.1.12: CDM, CP

Learning target: Compare the costs of auto financing options using APR, term, and total interest

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Loan basics: principal, APR, and term (5 questions)
  - Why: Comparing auto loans needs the parts of a loan and how they connect.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Total paid is a decimal payment times the number of months.
- B3 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Finding interest and comparing loans takes several steps.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing financing offers (5 questions)
- Go Deeper 2: When car loans go wrong (5 questions)

Practical skills beyond the standards: Getting preapproved for an auto loan; Reading a Truth in Lending disclosure

Content status: time-sensitive

Source: CFPB (Auto loans) — Getting preapproved and comparing the total cost of loans helps borrowers; dealers may arrange financing and can add to the rate a lender offers. https://www.consumerfinance.gov/consumer-tools/auto-loans/

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 D, M-Q4 B, M-Q5 B, B1-Q1 B, B1-Q2 B, B1-Q3 D, B1-Q4 A, B1-Q5 B, F1-Q1 C, F1-Q2 C, F1-Q3 B, F1-Q4 D, F1-Q5 D, F2-Q1 C, F2-Q2 D, F2-Q3 A, F2-Q4 C, F2-Q5 B

MAIN — Compare auto loans by payment, term, and total interest, and use a preapproval · Question 1 of 5

Learn: An auto loan is an installment loan. Total paid = monthly payment × number of months. Interest = total paid − amount borrowed.

A $20,000 auto loan at 6% interest (APR 6%; no other finance charges) for 60 months has a payment of $386.66. How much interest is paid over the loan?

A. $1,200.00
B. $3,199.60
C. $6,000.00
D. $23,199.60

CORRECT ANSWER

B. $3,199.60

Feedback (shown after answering)

$386.66 × 60 = $23,199.60; $23,199.60 − $20,000 = $3,199.60.

Recomputed independently by the build: 3199.6

Why each other choice is wrong (misconception it represents)

A: Takes 6% of $20,000 once
C: Uses 6% for 5 years as simple interest on the full amount
D: Gives the total paid instead of the interest

Type: instruction

MAIN — Compare auto loans by payment, term, and total interest, and use a preapproval · Question 2 of 5

Learn: A longer term lowers the payment but usually raises the total interest, because the balance is paid down more slowly.

A $20,000 loan at 6% for 72 months has a $331.46 payment and $3,865.12 of interest. The 60-month loan has $3,199.60 of interest. How much more interest does the longer loan cost?

A. $55.20
B. $665.52
C. $3,865.12
D. $7,064.72

CORRECT ANSWER

B. $665.52

Feedback (shown after answering)

$3,865.12 − $3,199.60 = $665.52 more.

Recomputed independently by the build: 665.52

Why each other choice is wrong (misconception it represents)

A: Subtracts the monthly payments
C: Gives the longer loan's interest
D: Adds the two interest amounts

Type: instruction

MAIN — Compare auto loans by payment, term, and total interest, and use a preapproval · Question 3 of 5

Learn: Dealers can arrange financing by sending your application to lenders, and may add to the rate a lender approves. A preapproval from your own bank or credit union gives you an offer to compare against.

Why should Maya get preapproved by a bank or credit union before visiting a dealer?

A. Because dealers are not allowed to offer any financing at all
B. Because a preapproval guarantees the lowest price on the car
C. Because preapproval removes the need for a credit check later
D. To have a rate to compare

CORRECT ANSWER

D. To have a rate to compare

Feedback (shown after answering)

A preapproval is a benchmark: take the dealer's offer only if it beats it.

Why each other choice is wrong (misconception it represents)

A: Dealers often arrange loans
B: Confuses financing with price
C: Lenders still verify credit

Type: instruction · practical how-to

MAIN — Compare auto loans by payment, term, and total interest, and use a preapproval · Question 4 of 5

Learn: Cars lose value quickly. On a long loan with little down, the balance falls more slowly than the car's value, so the borrower can be "underwater" for years.

Why can an 84-month loan with a small down payment be risky?

A. Long loans always have lower total interest than short ones
B. The loan can exceed the car's value
C. Lenders cannot repossess cars on loans longer than five years
D. Payments rise every year on a long fixed-rate auto loan

CORRECT ANSWER

B. The loan can exceed the car's value

Feedback (shown after answering)

Slow payoff plus fast depreciation can leave the borrower owing more than the car is worth.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect of term
C: Invents a rule
D: Fixed payments stay the same

Type: instruction

MAIN — Compare auto loans by payment, term, and total interest, and use a preapproval · Question 5 of 5

Learn: A down payment is cash paid up front. Amount borrowed = price − down payment. A larger down payment means a smaller loan and less interest.

Maya puts 20% down on a $25,000 car. How much does she need to borrow (ignoring tax and fees)?

A. $5,000
B. $20,000
C. $22,500
D. $30,000

CORRECT ANSWER

B. $20,000

Feedback (shown after answering)

20% of $25,000 = $5,000; $25,000 − $5,000 = $20,000.

Recomputed independently by the build: 20000

Why each other choice is wrong (misconception it represents)

A: Gives the down payment
C: Uses a 10% down payment
D: Adds 20% instead of subtracting

Type: instruction

BACKWARD B1 · concept review — Loan basics: principal, APR, and term · Question 1 of 5

Learn: Auto loan terms are given in months. Divide by 12 to get years.

A loan term of 60 months is how many years?

A. 3
B. 5
C. 6
D. 60

CORRECT ANSWER

B. 5

Feedback (shown after answering)

60 ÷ 12 = 5 years.

Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

A: Guesses a common term
C: Divides by 10
D: Gives the months

Type: instruction

BACKWARD B1 · concept review — Loan basics: principal, APR, and term · Question 2 of 5

Learn: Principal is the amount borrowed. Interest is the cost of borrowing it, shown as an annual percentage rate (APR).

Luis borrows $8,000 for a car and will repay $9,200 in total. What is the principal?

A. $1,200
B. $8,000
C. $9,200
D. $17,200

CORRECT ANSWER

B. $8,000

Feedback (shown after answering)

The principal is the $8,000 borrowed; $1,200 is interest.

Recomputed independently by the build: 8000

Why each other choice is wrong (misconception it represents)

A: Gives the interest
C: Gives the total repaid
D: Adds the amounts

Type: instruction

BACKWARD B1 · concept review — Loan basics: principal, APR, and term · Question 3 of 5

A loan has 48 payments of $300. What is the total paid?

A. $348
B. $1,440
C. $12,000
D. $14,400

CORRECT ANSWER

D. $14,400

Feedback (shown after answering)

48 × $300 = $14,400.

Recomputed independently by the build: 14400

Why each other choice is wrong (misconception it represents)

A: Adds instead of multiplying
B: Drops a zero
C: Guesses the amount borrowed

Type: knowledge check

BACKWARD B1 · concept review — Loan basics: principal, APR, and term · Question 4 of 5

Two loans have the same amount and term. Which costs less in interest?

A. The one with the lower APR
B. The one with the higher APR, since it pays off faster
C. They cost the same because the amount is the same
D. The one from the dealer that is closest to home

CORRECT ANSWER

A. The one with the lower APR

Feedback (shown after answering)

With the same amount and term, a lower APR means less interest.

Why each other choice is wrong (misconception it represents)

B: Believes a higher rate pays off faster
C: Ignores the rate
D: Location is not a cost

Type: knowledge check

BACKWARD B1 · concept review — Loan basics: principal, APR, and term · Question 5 of 5

Learn: Interest = total paid − amount borrowed.

A borrower pays $14,400 in total on a $12,000 loan. How much was interest?

A. $1,200
B. $2,400
C. $14,400
D. $26,400

CORRECT ANSWER

B. $2,400

Feedback (shown after answering)

$14,400 − $12,000 = $2,400.

Recomputed independently by the build: 2400

Why each other choice is wrong (misconception it represents)

A: Halves the difference
C: Gives the total paid
D: Adds

Type: instruction

GO DEEPER 1 — Comparing financing offers · Question 1 of 5

Learn: Dealers sometimes offer a choice: a low rate or a cash rebate. Compare the total paid under each.

Offer 1: 0% APR for 60 months on a $30,000 car. Offer 2: a $3,000 rebate, then $27,000 at 5% for 60 months ($509.52 a month). Which costs less in total?

A. Offer 2, by $571.20
B. Offer 2, by $3,000
C. Offer 1, by $571.20
D. Offer 1, by $3,000

CORRECT ANSWER

C. Offer 1, by $571.20

Feedback (shown after answering)

Offer 1: $30,000. Offer 2: $509.52 × 60 = $30,571.20. Offer 1 costs $571.20 less.

Recomputed independently by the build: 571.2

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
B: Counts the rebate but not the interest
D: Ignores the interest paid on Offer 2

Type: instruction

GO DEEPER 1 — Comparing financing offers · Question 2 of 5

Learn: Credit history strongly affects the rate offered. Total paid = payment × 60.

On $20,000 for 60 months with no finance charges other than interest, a 6% rate gives $386.66 a month and a 15% rate gives $475.80. How much more does the 15% borrower pay in total?

A. $89.14
B. $1,800.00
C. $5,348.40
D. $28,548.00

CORRECT ANSWER

C. $5,348.40

Feedback (shown after answering)

$475.80 × 60 = $28,548; $386.66 × 60 = $23,199.60; difference $5,348.40.

Recomputed independently by the build: 5348.4

Why each other choice is wrong (misconception it represents)

A: Gives the monthly difference
B: Takes 9% of $20,000 once
D: Gives the 15% total paid

Type: instruction

GO DEEPER 1 — Comparing financing offers · Question 3 of 5

Learn: Most auto loans charge interest on the remaining balance. Paying extra principal shrinks the balance, so later interest is smaller. Check the contract for a prepayment penalty.

On a simple-interest auto loan with no prepayment penalty, what does an extra $100 payment toward principal do?

A. Nothing, because interest is fixed when the loan starts
B. Reduces the interest charged later
C. Raises the next monthly payment by $100
D. Adds a $100 fee to the loan balance

CORRECT ANSWER

B. Reduces the interest charged later

Feedback (shown after answering)

A lower balance means less interest from then on.

Why each other choice is wrong (misconception it represents)

A: Believes interest is set in advance
C: Reverses the effect
D: Confuses a payment with a fee

Type: instruction

GO DEEPER 1 — Comparing financing offers · Question 4 of 5

Learn: Federal Truth in Lending rules require the APR, finance charge (total interest and certain fees), amount financed, and total of payments to be disclosed before you sign.

A Truth in Lending disclosure shows: amount financed $20,000; finance charge $3,199.60. What is the total of payments?

A. $3,199.60
B. $16,800.40
C. $20,000.00
D. $23,199.60

CORRECT ANSWER

D. $23,199.60

Feedback (shown after answering)

$20,000 + $3,199.60 = $23,199.60.

Recomputed independently by the build: 23199.6

Why each other choice is wrong (misconception it represents)

A: Gives the finance charge
B: Subtracts the finance charge
C: Gives the amount financed

Type: instruction · practical how-to

GO DEEPER 1 — Comparing financing offers · Question 5 of 5

A dealer offers 7.5% APR. Maya's credit union preapproved her at 5.9%. What should she do?

A. Accept 7.5% because dealer loans are always cheapest
B. Take both loans to have extra cash
C. Tell the dealer she has no other offer
D. Ask the dealer to beat 5.9% or use the credit union

CORRECT ANSWER

D. Ask the dealer to beat 5.9% or use the credit union

Feedback (shown after answering)

Use the preapproval as leverage or simply use the cheaper loan.

Why each other choice is wrong (misconception it represents)

A: Ignores the comparison
B: Doubles the debt
C: Gives away bargaining power

Type: knowledge check · practical how-to

GO DEEPER 2 — When car loans go wrong · Question 1 of 5

Learn: After a repossession, the lender sells the car. If the sale does not cover the balance plus costs, the borrower may owe the rest (a deficiency).

Jo stops paying and the car is repossessed. Jo owed $12,000; the car sells at auction for $8,000, and repossession costs are $1,000. What does Jo still owe?

A. $0
B. $4,000
C. $5,000
D. $13,000

CORRECT ANSWER

C. $5,000

Feedback (shown after answering)

$12,000 + $1,000 − $8,000 = $5,000.

Recomputed independently by the build: 5000

Why each other choice is wrong (misconception it represents)

A: Believes repossession ends the debt
B: Leaves out the repossession costs
D: Adds the costs without subtracting the sale

Type: instruction

GO DEEPER 2 — When car loans go wrong · Question 2 of 5

Learn: A cosigner promises to repay if the borrower does not. Missed payments appear on the cosigner's credit report too.

Alex cosigns a friend's car loan. If the friend stops paying, what happens?

A. Only the friend's credit is affected by any missed payment
B. The lender must forgive the loan because there are two signers
C. The car is transferred to Alex for free
D. Alex must pay

CORRECT ANSWER

D. Alex must pay

Feedback (shown after answering)

A cosigner is fully responsible for the debt.

Why each other choice is wrong (misconception it represents)

A: Ignores the cosigner's liability
B: Invents a rule
C: Confuses liability with ownership

Type: instruction

GO DEEPER 2 — When car loans go wrong · Question 3 of 5

Learn: GAP (guaranteed asset protection) covers the gap between the car's value and the loan balance if the car is totaled or stolen. It is optional and often cheaper from an insurer than a dealer.

A car is totaled. Insurance pays its value, $14,000, but the loan balance is $18,000. How much would GAP coverage pay?

A. $4,000
B. $14,000
C. $18,000
D. $32,000

CORRECT ANSWER

A. $4,000

Feedback (shown after answering)

$18,000 − $14,000 = $4,000.

Recomputed independently by the build: 4000

Why each other choice is wrong (misconception it represents)

B: Repeats the insurance payout
C: Pays the full loan
D: Adds the amounts

Type: instruction

GO DEEPER 2 — When car loans go wrong · Question 4 of 5

Learn: Lenders may offer a deferral or modified plan if contacted early.

Jo expects to miss a car payment next month. What is the best first step?

A. Hide the car so the lender cannot find it
B. Ignore the lender's letters until the problem passes
C. Call the lender before the payment is missed
D. Take a payday loan at very high cost

CORRECT ANSWER

C. Call the lender before the payment is missed

Feedback (shown after answering)

Early contact gives the most options.

Why each other choice is wrong (misconception it represents)

A: Can add costs and legal trouble
B: Lets fees and damage grow
D: Trades one problem for a costlier one

Type: instruction · practical how-to

GO DEEPER 2 — When car loans go wrong · Question 5 of 5

Learn: Total interest = payment × number of months − amount borrowed. The loan with the biggest payment or biggest total repaid is not always the one with the most interest.

Which loan has the highest total INTEREST cost?

A. $20,000 at 4% for 60 months, $368.33 a month
B. $15,000 at 12% for 48 months, $395.01 a month
C. $20,000 at 6% for 36 months, with $608.44 a month
D. $18,000 at 7% for 60 months, $356.42 a month

CORRECT ANSWER

B. $15,000 at 12% for 48 months, $395.01 a month

Feedback (shown after answering)

$395.01 × 48 = $18,960.48; − $15,000 = $3,960.48 of interest, the most of the four.

Why each other choice is wrong (misconception it represents)

A: Largest total repayment ($22,099.80) but interest only $2,099.80
C: Highest payment, but interest only $1,903.84
D: Interest $3,385.20

Type: instruction

SET 84 · Buying, Financing, and Owning a Vehicle

The cost of owning a car

MAIN skill: Estimate fuel, maintenance, and depreciation, and find the monthly cost of owning a car

Outcome FL.CAR.84 · National topic: Spending · NJSLS 9.1.12: PB, CDM

Learning target: Estimate the total cost of owning and operating a vehicle, including depreciation

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Unit costs of driving (5 questions)
Why: Ownership costs use rates: miles per gallon, cost per gallon, and cost per month.

B2 · Math link → G7-S01-M (Grade 7 7.RP.A.1): Compute unit rates associated with ratios of fractions
Why: Fuel economy and cost per mile are unit rates.

B3 · Math link → ALG1-S55-M (Algebra 1 HSF-LE.A.1.c): Recognize situations in which a quantity grows or decays by a constant percent rate per unit interval
Why: Depreciation is often modeled as a constant percent decrease each year.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Modeling depreciation (5 questions)

Go Deeper 2: Comparing total cost of ownership (5 questions)

Practical skills beyond the standards: Building a car repair fund; Comparing fuel and electric costs

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 D, M-Q4 B, M-Q5 A, B1-Q1 A, B1-Q2 D, B1-Q3 C, B1-Q4 A, B1-Q5 D, F1-Q1 B, F1-Q2 B, F1-Q3 B, F1-Q4 C, F1-Q5 B, F2-Q1 C, F2-Q2 A, F2-Q3 B, F2-Q4 D, F2-Q5 A

MAIN — Estimate fuel, maintenance, and depreciation, and find the monthly cost of owning a car · Question 1 of 5

Learn: Fuel cost = (miles ÷ miles per gallon) × price per gallon. First find the gallons used, then multiply by the price.

Maya drives 12,000 miles a year in a car that gets 30 miles per gallon. Gas costs $3.50 a gallon. What is her yearly fuel cost?

A. $400
B. $1,050
C. $1,400
D. $42,000

CORRECT ANSWER

C. $1,400

Feedback (shown after answering)

12,000 ÷ 30 = 400 gallons; 400 × $3.50 = $1,400.

Recomputed independently by the build: 1400

Why each other choice is wrong (misconception it represents)

A: Gives the gallons, not the dollars
B: Uses 40 miles per gallon
D: Multiplies miles by price

Type: instruction

MAIN — Estimate fuel, maintenance, and depreciation, and find the monthly cost of owning a car · Question 2 of 5

Learn: Depreciation is the loss in a car's value. A common model takes the same percent each year: value = price × (1 − rate)^years.

A car bought for $30,000 loses 15% of its value each year. What is it worth after 2 years?

A. $8,325
B. $21,000
C. $21,675
D. $25,500

CORRECT ANSWER

C. $21,675

Feedback (shown after answering)

$30,000 × 0.85 = $25,500; $25,500 × 0.85 = $21,675.

Recomputed independently by the build: 21675

Why each other choice is wrong (misconception it represents)

A: Gives the total loss
B: Subtracts 15% of the original price each year
D: Stops after one year

Type: instruction

MAIN — Estimate fuel, maintenance, and depreciation, and find the monthly cost of owning a car · Question 3 of 5

Learn: The true cost of a car is much more than the loan payment. Add every regular cost: payment, insurance, fuel, maintenance, parking, and tolls.

Maya's monthly costs: loan payment $386.66, insurance $150, fuel $117, maintenance $60. What is her monthly cost of owning the car?

A. $327.00
B. $386.66
C. $536.66
D. $713.66

CORRECT ANSWER

D. $713.66

Feedback (shown after answering)

$386.66 + $150 + $117 + $60 = $713.66.

Recomputed independently by the build: 713.66

Why each other choice is wrong (misconception it represents)

A: Leaves out the loan payment
B: Counts only the loan payment
C: Leaves out fuel and maintenance

Type: instruction

MAIN — Estimate fuel, maintenance, and depreciation, and find the monthly cost of owning a car · Question 4 of 5

Learn: Fuel cost = miles ÷ mpg × price. Compare the two totals.

Car A gets 40 mpg and Car B gets 20 mpg. Each drives 10,000 miles a year with gas at $3.60. How much more does Car B spend on fuel each year?

A. $250
B. $900
C. $1,800
D. $2,700

CORRECT ANSWER

B. $900

Feedback (shown after answering)

A: 250 gallons × $3.60 = $900. B: 500 × $3.60 = $1,800. Difference $900.

Recomputed independently by the build: 900

Why each other choice is wrong (misconception it represents)

A: Gives Car A's gallons
C: Gives Car B's total fuel cost
D: Adds both cars' costs

Type: instruction

MAIN — Estimate fuel, maintenance, and depreciation, and find the monthly cost of owning a car · Question 5 of 5

Learn: The owner's manual lists a maintenance schedule. Small regular costs (oil, filters, tires, brakes) prevent large repair bills.

What usually happens when an owner skips scheduled maintenance such as oil changes?

A. Costlier repairs later
B. The car runs better because parts are not disturbed
C. Insurance pays for repairs caused by neglect
D. The warranty covers it no matter what

CORRECT ANSWER

A. Costlier repairs later

Feedback (shown after answering)

Skipped maintenance often leads to bigger, more expensive repairs.

Why each other choice is wrong (misconception it represents)

B: Believes service causes harm
C: Insurance usually excludes wear and neglect
D: Warranties can require maintenance records

Type: instruction

BACKWARD B1 · concept review — Unit costs of driving · Question 1 of 5

Learn: Miles per gallon (mpg) = miles ÷ gallons.

A car goes 300 miles on 10 gallons. What is its fuel economy?

A. 30 miles per gallon
B. 3,000 miles per gallon
C. 0.03 miles per gallon
D. 310 miles per gallon

CORRECT ANSWER

A. 30 miles per gallon

Feedback (shown after answering)

300 ÷ 10 = 30 mpg.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

B: Multiplies
C: Divides the wrong way and shifts the decimal
D: Adds

Type: instruction

BACKWARD B1 · concept review — Unit costs of driving · Question 2 of 5

Gas is $3.40 a gallon. How much do 12 gallons cost?

A. $4.08
B. $15.40
C. $36.00
D. $40.80

CORRECT ANSWER

D. $40.80

Feedback (shown after answering)

12 × $3.40 = $40.80.

Recomputed independently by the build: 40.8

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Adds
C: Uses $3.00 a gallon

Type: knowledge check

BACKWARD B1 · concept review — Unit costs of driving · Question 3 of 5

Learn: Fixed costs (insurance, loan payment, registration) do not change with miles. Variable costs (fuel, tolls, wear) rise as you drive more.

Which car cost stays the same each month no matter how much you drive?

A. Gasoline, which depends on miles driven
B. Tolls, paid on each trip
C. An insurance premium
D. Tire wear, which grows with miles

CORRECT ANSWER

C. An insurance premium

Feedback (shown after answering)

A premium is a fixed cost.

Why each other choice is wrong (misconception it represents)

A: Variable cost
B: Variable cost
D: Variable cost

Type: instruction

BACKWARD B1 · concept review — Unit costs of driving · Question 4 of 5

Insurance costs $1,200 a year. How much is that per month?

A. $100
B. $120
C. $1,200
D. $14,400

CORRECT ANSWER

A. $100

Feedback (shown after answering)

$1,200 ÷ 12 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

B: Divides by 10
C: Gives the yearly amount
D: Multiplies by 12

Type: knowledge check

BACKWARD B1 · concept review — Unit costs of driving · Question 5 of 5

What is depreciation?

A. The interest charged on a car loan
B. A tax paid when a car is registered
C. The rise in a car's price because of inflation
D. The drop in a car's value over time

CORRECT ANSWER

D. The drop in a car's value over time

Feedback (shown after answering)

Depreciation is the loss of value as a car ages.

Why each other choice is wrong (misconception it represents)

A: Confuses with interest
B: Confuses with a fee
C: Reverses direction

Type: knowledge check

GO DEEPER 1 — Modeling depreciation · Question 1 of 5

Learn: In a constant-percent model, each year's value is 85% of the year before.

Using value = 30,000 × 0.85^t, what is the car worth after 3 years?

A. $16,500.00
B. $18,423.75
C. $21,675.00
D. $25,500.00

CORRECT ANSWER

B. $18,423.75

Feedback (shown after answering)

30,000 × 0.85 × 0.85 × 0.85 = 18,423.75.

Recomputed independently by the build: 18423.75

Why each other choice is wrong (misconception it represents)

A: Subtracts 15% of the original price three times
C: Stops after 2 years
D: Stops after 1 year

Type: instruction

GO DEEPER 1 — Modeling depreciation · Question 2 of 5

Learn: Percent loss = (original − new) ÷ original × 100.

A $30,000 car is worth $18,000 after 3 years. What percent of its value did it lose?

A. 12%
B. 40%
C. 60%
D. 67%

CORRECT ANSWER

B. 40%

Feedback (shown after answering)

$12,000 ÷ $30,000 = 40%.

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Uses the dollar loss in thousands
C: Gives the percent kept
D: Divides the loss by the new value

Type: instruction

GO DEEPER 1 — Modeling depreciation · Question 3 of 5

Learn: The same percent of a smaller value is a smaller dollar amount. Year 1: $4,500 lost. Year 2: $3,825 lost.

Under a 15%-per-year model, how does the dollar drop in year 2 compare with year 1?

A. It is larger, because cars lose value faster as they age
B. It is smaller
C. It is the same, because the rate is the same every year
D. It is zero, because cars stop losing value after one year

CORRECT ANSWER

B. It is smaller

Feedback (shown after answering)

15% of a smaller value is fewer dollars.

Why each other choice is wrong (misconception it represents)

A: Confuses percent and dollars
C: Treats percent decay as linear
D: Believes depreciation stops

Type: instruction

GO DEEPER 1 — Modeling depreciation · Question 4 of 5

Why can a 2- or 3-year-old car be a good value?

A. Older cars never need any repairs at all
B. Used cars are exempt from sales tax everywhere
C. The steepest value loss has already happened
D. Insurance costs nothing on cars over two years old

CORRECT ANSWER

C. The steepest value loss has already happened

Feedback (shown after answering)

A buyer of a lightly used car avoids the largest early depreciation.

Why each other choice is wrong (misconception it represents)

A: Overstates reliability
B: Invents a tax rule
D: Invents an insurance rule

Type: knowledge check

GO DEEPER 1 — Modeling depreciation · Question 5 of 5

Learn: Cost per mile = total yearly cost ÷ miles driven. It helps compare driving with other ways of getting around.

Owning a car costs $7,200 a year, and Maya drives 12,000 miles. What is her cost per mile?

A. $0.06
B. $0.60
C. $1.67
D. $6.00

CORRECT ANSWER

B. $0.60

Feedback (shown after answering)

$7,200 ÷ 12,000 = $0.60 per mile.

Recomputed independently by the build: 0.6

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal the other way
C: Divides miles by cost
D: Misplaces the decimal

Type: instruction

GO DEEPER 2 — Comparing total cost of ownership · Question 1 of 5

Learn: A car repair sinking fund spreads unexpected costs into small monthly amounts.

Maya sets aside $50 a month for repairs. How much is saved in a year?

A. $50
B. $500
C. $600
D. $6,000

CORRECT ANSWER

C. $600

Feedback (shown after answering)

$50 × 12 = $600.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

A: One month
B: Uses 10 months
D: Multiplies by 120

Type: instruction

GO DEEPER 2 — Comparing total cost of ownership · Question 2 of 5

A set of tires costs $640 and lasts 4 years. What should Maya set aside each month?

A. $13.33
B. $53.33
C. $160.00
D. $2,560.00

CORRECT ANSWER

A. $13.33

Feedback (shown after answering)

$640 ÷ 4 = $160 a year; $160 ÷ 12 = $13.33.

Recomputed independently by the build: 13.33

Why each other choice is wrong (misconception it represents)

B: Divides by 12 only
C: Gives the yearly amount
D: Multiplies

Type: knowledge check

GO DEEPER 2 — Comparing total cost of ownership · Question 3 of 5

Learn: Electric cost = miles × kWh per mile × price per kWh.

An electric car uses 0.3 kWh per mile; electricity costs $0.18 per kWh. A gas car costs $1,400 a year in fuel. For 12,000 miles, how much does the electric car save on fuel?

A. $648
B. $752
C. $1,400
D. $2,048

CORRECT ANSWER

B. $752

Feedback (shown after answering)

12,000 × 0.3 = 3,600 kWh; × $0.18 = $648; $1,400 − $648 = $752.

Recomputed independently by the build: 752

Why each other choice is wrong (misconception it represents)

A: Gives the electric car's cost
C: Gives the gas car's cost
D: Adds the two costs

Type: instruction

GO DEEPER 2 — Comparing total cost of ownership · Question 4 of 5

Car X: $22,000, 25 mpg. Car Y: $24,000, 40 mpg. Over 5 years of 12,000 miles a year with gas at $3.50, which costs less for price plus fuel?

A. Car X, by $2,000
B. Car X, by $1,150
C. Car Y, by $3,150
D. Car Y, by $1,150

CORRECT ANSWER

D. Car Y, by $1,150

Feedback (shown after answering)

X: $22,000 + 5 × (480 × $3.50) = $30,400. Y: $24,000 + 5 × (300 × $3.50) = $29,250. Y is $1,150 less.

Recomputed independently by the build: 1150

Why each other choice is wrong (misconception it represents)

A: Compares only the prices
B: Reverses the comparison
C: Compares only the fuel

Type: knowledge check

GO DEEPER 2 — Comparing total cost of ownership · Question 5 of 5

Learn: Many auto parts stores and mechanics can read the warning code, which points to the problem. A flashing light or serious symptoms usually means stop driving and get help right away.

A steady (not flashing) "check engine" light comes on, and the car is running normally with no warning signs such as smoke, overheating, or strange noises. What is the best first step?

A. Have the code read soon
B. Ignore it until the car stops running completely
C. Disconnect the light so it stops bothering you
D. Sell the car right away at any price

CORRECT ANSWER

A. Have the code read soon

Feedback (shown after answering)

Checking the code early can catch a problem before it gets worse and more expensive.

Why each other choice is wrong (misconception it represents)

B: Lets a small problem grow
C: Hides a warning
D: Overreacts before knowing the problem

Type: instruction · practical how-to

SET 85 · Buying, Financing, and Owning a Vehicle

Leasing vs buying a car

MAIN skill: Explain lease terms and compare the cost of leasing with buying

Outcome FL.CAR.85 · National topic: Spending · NJSLS 9.1.12: CDM, PB

Learning target: Compare the costs and benefits of leasing and buying a vehicle

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Using vs owning (5 questions)
  - Why: A lease is paying to use; a loan is paying to own. The difference explains every lease term.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Lease costs combine payments, fees, and charges.
- B3 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  - Why: Lease payments spread a dollar amount over months.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Inside the lease payment (5 questions)
- Go Deeper 2: Lease or buy: the three-year comparison (5 questions)

Practical skills beyond the standards: Reading a lease; Comparing lease and buy over 3 years

Content status: stable

Source: FTC (Financing or leasing a car) — A lease lets a consumer use a vehicle for a set term; leases have mileage limits, wear-and-tear charges, and early termination costs. https://consumer.ftc.gov/articles/financing-or-leasing-car

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 A, M-Q4 C, M-Q5 D, B1-Q1 A, B1-Q2 B, B1-Q3 C, B1-Q4 D, B1-Q5 C, F1-Q1 C, F1-Q2 D, F1-Q3 C, F1-Q4 B, F1-Q5 A, F2-Q1 B, F2-Q2 A, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Explain lease terms and compare the cost of leasing with buying · Question 1 of 5

Learn: A lease is a long-term rental, often 2 to 4 years. You pay for the car's expected loss in value plus a finance charge, then return it or buy it at a set price.

What does it mean to lease a car?

A. Buying the car outright with one cash payment
B. Paying to use it for a set term, then returning it
C. Borrowing to buy the car and keeping it after payoff
D. Renting a car for one weekend trip

CORRECT ANSWER

B. Paying to use it for a set term, then returning it

Feedback (shown after answering)

A lease pays for use over a term; ownership stays with the leasing company.

Why each other choice is wrong (misconception it represents)

A: Describes a cash purchase
C: Describes a loan
D: Describes a short rental

Type: instruction

MAIN — Explain lease terms and compare the cost of leasing with buying · Question 2 of 5

Learn: Leases have mileage limits. Extra miles are charged at a set rate when the car is returned.

A lease allows 10,000 miles a year for 3 years and charges $0.25 for each extra mile. Maya drives 36,000 miles. What is the charge?

A. $1,500
B. $2,500
C. $6,000
D. $9,000

CORRECT ANSWER

A. $1,500

Feedback (shown after answering)

Allowed 30,000; extra 6,000 × $0.25 = $1,500.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

B: Charges for one year's allowance
C: Gives the extra miles, not dollars
D: Charges for every mile driven

Type: instruction

MAIN — Explain lease terms and compare the cost of leasing with buying · Question 3 of 5

Learn: Capitalized cost is the lease's agreed price. Residual value is the predicted value at the end. The payment covers the depreciation (cap cost − residual) spread over the months, plus a finance charge and tax.

A car has a capitalized cost of $30,000 and a residual value of $18,000 after 36 months. What is the monthly depreciation part of the payment?

A. $333.33
B. $500.00
C. $833.33
D. $12,000.00

CORRECT ANSWER

A. $333.33

Feedback (shown after answering)

($30,000 − $18,000) ÷ 36 = $333.33.

Recomputed independently by the build: 333.33

Why each other choice is wrong (misconception it represents)

B: Divides the residual by 36
C: Divides the full cost by 36
D: Gives the total depreciation

Type: instruction

MAIN — Explain lease terms and compare the cost of leasing with buying · Question 4 of 5

Learn: Total lease cost = amount due at signing + all monthly payments + any other charges. Check whether the amount due at signing already includes the first payment, so it is not counted twice.

A lease needs $2,000 at signing, an upfront charge separate from the payments, plus 36 monthly payments of $399. Counting only these amounts, what is the total cost of the lease?

A. $2,399
B. $14,364
C. $16,364
D. $18,364

CORRECT ANSWER

C. $16,364

Feedback (shown after answering)

$2,000 + 36 × $399 = $2,000 + $14,364 = $16,364.

Recomputed independently by the build: 16364

Why each other choice is wrong (misconception it represents)

A: Adds one payment
B: Leaves out the amount due at signing
D: Counts the signing amount twice

Type: instruction

MAIN — Explain lease terms and compare the cost of leasing with buying · Question 5 of 5

Learn: Leasing tends to fit drivers who stay under mileage limits, keep the car in good shape, and like changing cars every few years. Buying fits drivers who keep cars a long time.

Who is usually a better fit for leasing?

A. A driver who goes 25,000 miles a year and keeps cars a decade
B. A buyer who wants to customize the car and own it outright
C. A person who wants never to have a monthly car payment
D. A low-mileage driver who wants a new car often

CORRECT ANSWER

D. A low-mileage driver who wants a new car often

Feedback (shown after answering)

Leasing fits low mileage and frequent upgrades.

Why each other choice is wrong (misconception it represents)

A: Mileage charges and no ownership
B: Leases limit changes
C: Leases always have payments

Type: instruction

BACKWARD B1 · concept review — Using vs owning · Question 1 of 5

Learn: The lease contract states a purchase option price, often equal to the residual value.

At the end of a lease, what can the driver usually do?

A. Return the car or buy it at the set price
B. Keep the car free of charge forever
C. Sell the car and keep the money
D. Stop paying and drive it until it finally breaks

CORRECT ANSWER

A. Return the car or buy it at the set price

Feedback (shown after answering)

Return the car or buy it at the contract price.

Why each other choice is wrong (misconception it represents)

B: Ignores the end-of-lease terms
C: The driver does not own it
D: Breaks the contract

Type: instruction

BACKWARD B1 · concept review — Using vs owning · Question 2 of 5

In a lease, what is the residual value?

A. The amount paid up front at signing
B. The predicted value at the end
C. The monthly finance charge
D. The car's price when new

CORRECT ANSWER

B. The predicted value at the end

Feedback (shown after answering)

Residual value is the expected value when the lease ends.

Why each other choice is wrong (misconception it represents)

A: Confuses with the down payment
C: Confuses with the rent charge
D: Confuses with the cap cost

Type: knowledge check

BACKWARD B1 · concept review — Using vs owning · Question 3 of 5

Learn: Lessees return the car in the condition the lease requires. Dents, stains, and worn tires beyond the standard can be charged.

What are "excess wear and tear" charges?

A. Monthly fees for routine oil changes
B. Taxes on the car's registration
C. Fees for damage beyond normal use
D. Charges for driving under the mileage limit

CORRECT ANSWER

C. Fees for damage beyond normal use

Feedback (shown after answering)

Damage beyond normal wear is charged at return.

Why each other choice is wrong (misconception it represents)

A: Confuses with maintenance
B: Confuses with a tax
D: Reverses the mileage rule

Type: instruction

BACKWARD B1 · concept review — Using vs owning · Question 4 of 5

A lease costs $350 a month for 36 months. How much are the payments in total?

A. $386
B. $4,200
C. $10,500
D. $12,600

CORRECT ANSWER

D. $12,600

Feedback (shown after answering)

36 × $350 = $12,600.

Recomputed independently by the build: 12600

Why each other choice is wrong (misconception it represents)

A: Adds
B: Uses 12 months
C: Uses 30 months

Type: knowledge check

BACKWARD B1 · concept review — Using vs owning · Question 5 of 5

Learn: Equity is the value you own. Loan payments build equity; lease payments do not.

After paying off a car loan, the owner has the car. After a lease ends, what does the driver own?

A. Half of the car's value
B. The car, with no further cost
C. Nothing, unless they buy the car
D. A credit toward any future purchase

CORRECT ANSWER

C. Nothing, unless they buy the car

Feedback (shown after answering)

A lease builds no ownership; a paid-off loan does.

Why each other choice is wrong (misconception it represents)

A: Invents shared ownership
B: Confuses with a paid-off loan
D: Invents a credit

Type: instruction

GO DEEPER 1 — Inside the lease payment · Question 1 of 5

Learn: Leases state the finance charge as a money factor, a small decimal. Money factor × 2,400 is roughly the equivalent APR.

A lease has a money factor of 0.0025. Multiply by 2,400 to compare with an APR. What APR does it equal?

A. 0.25%
B. 2.5%
C. 6%
D. 24%

CORRECT ANSWER

C. 6%

Feedback (shown after answering)

0.0025 × 2,400 = 6, about 6% APR.

Recomputed independently by the build: 6

Why each other choice is wrong (misconception it represents)

A: Reads the money factor as a percent
B: Multiplies by 1,000
D: Multiplies by 9,600

Type: instruction

GO DEEPER 1 — Inside the lease payment · Question 2 of 5

The monthly finance charge is (cap cost + residual) × money factor. For $30,000 and $18,000 with a money factor of 0.0025, what is it?

A. $30
B. $45
C. $75
D. $120

CORRECT ANSWER

D. $120

Feedback (shown after answering)

($30,000 + $18,000) × 0.0025 = $120.
Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

A: Subtracts instead of adding
B: Uses only the residual
C: Uses only the cap cost

Type: knowledge check

GO DEEPER 1 — Inside the lease payment · Question 3 of 5

Depreciation is $333.33 a month and the finance charge is $120. What is the monthly payment before tax?

A. $213.33
B. $333.33
C. $453.33
D. $573.33

CORRECT ANSWER

C. $453.33

Feedback (shown after answering)

$333.33 + $120 = $453.33.

Recomputed independently by the build: 453.33

Why each other choice is wrong (misconception it represents)

A: Subtracts the finance charge
B: Leaves out the finance charge
D: Counts the finance charge twice

Type: knowledge check

GO DEEPER 1 — Inside the lease payment · Question 4 of 5

Learn: If a leased car is totaled early, insurance and GAP coverage pay the leasing company; money paid up front is usually not returned.

Why do some experts advise against a large down payment on a lease?

A. Down payments on leases earn very high interest
B. It may be lost if the car is totaled
C. Leasing companies are not allowed to accept them
D. It always raises the monthly payment

CORRECT ANSWER

B. It may be lost if the car is totaled

Feedback (shown after answering)

Cash paid up front on a lease can be lost if the car is totaled.

Why each other choice is wrong (misconception it represents)

A: Confuses a down payment with savings
C: Invents a rule
D: Reverses the effect

Type: instruction

GO DEEPER 1 — Inside the lease payment · Question 5 of 5

Learn: Ending a lease early often triggers large fees, sometimes most of the remaining payments.

Maya wants to end her lease after 18 of 36 months. What should she expect?

A. Early termination charges
B. A refund of every payment made so far
C. No cost, since leases can end at any time
D. Ownership of half the car

CORRECT ANSWER

A. Early termination charges

Feedback (shown after answering)

Early termination usually costs a lot; read that section before signing.

Why each other choice is wrong (misconception it represents)

B: Invents a refund
C: Ignores the contract
D: Invents shared ownership

Type: instruction · practical how-to

GO DEEPER 2 — Lease or buy: the three-year comparison · Question 1 of 5

Learn: Equity = value − amount owed.

After 3 years of buying, Maya's car is worth $18,000 and she still owes $6,000. What is her equity?

A. $6,000
B. $12,000
C. $18,000
D. $24,000

CORRECT ANSWER

B. $12,000

Feedback (shown after answering)

$18,000 − $6,000 = $12,000.

Recomputed independently by the build: 12000

Why each other choice is wrong (misconception it represents)

A: Gives the amount owed
C: Gives the car's value
D: Adds the amounts

Type: instruction

GO DEEPER 2 — Lease or buy: the three-year comparison · Question 2 of 5

Learn: Net cost = total paid − equity kept, because the equity is value she still owns.

Over 3 years, buying cost Maya $3,000 down plus 36 payments of $500. Her equity is $12,000. What is the net cost of buying for those 3 years?

A. $9,000
B. $18,000
C. $21,000
D. $33,000

CORRECT ANSWER

A. $9,000

Feedback (shown after answering)

$3,000 + 36 × $500 = $21,000; $21,000 − $12,000 = $9,000.

Recomputed independently by the build: 9000

Why each other choice is wrong (misconception it represents)

B: Leaves out the down payment
C: Ignores the equity
D: Adds the equity

Type: instruction

GO DEEPER 2 — Lease or buy: the three-year comparison · Question 3 of 5

Leasing a car for 3 years costs $16,364 in total. Buying has a net cost of $9,000. Which costs less, and by how much?

A. Leasing, by $7,364
B. Buying, by $25,364
C. Leasing, by $9,000
D. Buying, by $7,364

CORRECT ANSWER

D. Buying, by $7,364

Feedback (shown after answering)

$16,364 − $9,000 = $7,364 less by buying.
Recomputed independently by the build: 7364

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
B: Adds the costs
C: Uses only buying's cost

Type: knowledge check

GO DEEPER 2 — Lease or buy: the three-year comparison · Question 4 of 5

Learn: A lease payment covers the car's expected loss in value over the lease, a finance (rent) charge, and taxes and fees. A loan payment repays the full purchase price plus interest.

Why are lease payments often lower than loan payments on the same car?

A. Leasing companies do not charge any interest
B. Leased cars are exempt from every tax
C. You pay for expected depreciation plus a finance charge, not the full price
D. Leases last longer than loans

CORRECT ANSWER

C. You pay for expected depreciation plus a finance charge, not the full price

Feedback (shown after answering)

A lease covers depreciation, a rent charge, and taxes and fees, not the whole price, so payments are often lower.

Why each other choice is wrong (misconception it represents)

A: Leases have a finance (rent) charge
B: Invents a tax rule
D: Usually the reverse

Type: instruction

GO DEEPER 2 — Lease or buy: the three-year comparison · Question 5 of 5

Maya drives 20,000 miles a year and keeps cars for 8 years. Which choice likely costs her less?

A. Buying
B. Leasing, since mileage charges are always waived
C. Leasing a new car every year for eight years
D. Renting daily for eight years

CORRECT ANSWER

A. Buying

Feedback (shown after answering)

High mileage and long ownership favor buying.

Why each other choice is wrong (misconception it represents)

B: Ignores mileage charges
C: Repeats the costliest early years
D: Daily rentals cost far more

Type: knowledge check

SET 86 · Managing Risk with Insurance

Risk and the purpose of insurance

MAIN skill: Identify risk management strategies and explain how insurance transfers financial risk

Outcome FL.INS.86 · National topic: Managing Risk · NJSLS 9.1.12: RM

Learning target: Explain risk management strategies and how insurance pools and transfers risk

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Risk, probability, and loss (5 questions)

Why: Insurance decisions compare how likely a loss is with how large it would be.

B2 · Math link → G7-S54-M (Grade 7 7.SP.C.5): Understand probability as a number from 0 to 1 that shows how likely an event is

Why: Risk is described with probabilities.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Reading a policy (5 questions)

Practical skills beyond the standards: Reading a declarations page; Filing a claim

Content status: stable

Source: NAIC (Consumer insurance guides) — Explains auto, home, renters, life, and disability insurance and how deductibles affect premiums. https://content.naic.org/consumer

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 B, M-Q4 C, M-Q5 D, B1-Q1 B, B1-Q2 A, B1-Q3 B, B1-Q4 B, B1-Q5 C, F1-Q1 B, F1-Q2 A, F1-Q3 D, F1-Q4 A, F1-Q5 C

MAIN — Identify risk management strategies and explain how insurance transfers financial risk · Question 1 of 5

Learn: Four ways to manage risk: avoid it (do not do the risky thing), reduce it (make a loss less likely or smaller), retain it (pay for losses yourself), or transfer it (pay someone else, usually an insurer, to take the loss). Insurance is risk transfer.

Luis pays a company $40 a month so that if his phone is stolen, the company pays for a replacement. Which risk strategy is this?

A. Avoiding the risk by never owning a phone at all
B. Transferring the risk
C. Reducing the risk by using a stronger case
D. Keeping the risk and paying for losses himself

CORRECT ANSWER

B. Transferring the risk

Feedback (shown after answering)

Insurance moves the cost of a loss to the insurer in exchange for a premium.

Why each other choice is wrong (misconception it represents)

A: Avoiding means not doing the risky thing
C: Reducing lowers the chance or size of a loss
D: Retaining means bearing the loss

Type: instruction

MAIN — Identify risk management strategies and explain how insurance transfers financial risk · Question 2 of 5

Learn: Key terms: the premium is what you pay for coverage (monthly or yearly). A claim is your request for payment after a loss. The deductible is the part of a covered loss you pay before the insurer pays.

In insurance, what does the word "premium" mean?

A. The money the insurer pays after a covered loss
B. The part of a loss the policyholder pays first
C. A bonus paid to drivers with no accidents
D. The price paid for coverage

CORRECT ANSWER

D. The price paid for coverage

Feedback (shown after answering)

The premium is the cost of the policy.

Why each other choice is wrong (misconception it represents)

A: Confuses premium with a claim payment
B: Confuses premium with a deductible
C: Invents a payment

Type: instruction

MAIN — Identify risk management strategies and explain how insurance transfers financial risk · Question 3 of 5

Learn: For most property losses, the policyholder pays the deductible and the insurer pays the rest, up to the policy limit.

A covered loss costs $3,000. Luis's deductible is $500. How much does the insurer pay?

A. $500
B. $2,500
C. $3,000
D. $3,500

CORRECT ANSWER

B. $2,500

Feedback (shown after answering)

$3,000 − $500 = $2,500.

Recomputed independently by the build: 2500

Why each other choice is wrong (misconception it represents)

A: Gives the deductible
C: Ignores the deductible
D: Adds the deductible

Type: instruction

MAIN — Identify risk management strategies and explain how insurance transfers financial risk · Question 4 of 5

Learn: Insurance pools risk: many people each pay a small, predictable premium, and the pool pays the few who have large losses.

How can insurers afford to pay large losses?

A. The government refunds every claim the insurer pays
B. Insurers only sell to people who never have losses
C. Many people's premiums pool together
D. Policyholders repay the claim later with interest

CORRECT ANSWER

C. Many people's premiums pool together

Feedback (shown after answering)

Pooling many premiums covers the few large losses.

Why each other choice is wrong (misconception it represents)

A: Invents a subsidy
B: Ignores how risk works
D: Confuses insurance with a loan

Type: instruction

MAIN — Identify risk management strategies and explain how insurance transfers financial risk · Question 5 of 5

Learn: Insurance matters most for losses that are unlikely but too large to afford. Small, affordable losses are often cheaper to retain, especially with an emergency fund.

Which loss is most sensible to retain (pay yourself) rather than insure?

A. A house fire that destroys everything you own
B. A crash that injures another driver badly
C. A long illness with large hospital bills
D. A $15 phone charger that breaks

CORRECT ANSWER

D. A $15 phone charger that breaks

Feedback (shown after answering)

Retain small losses; insure the ones that could be financially devastating.

Why each other choice is wrong (misconception it represents)

A: A catastrophic loss; insure it
B: A huge liability; insure it
C: A huge cost; insure it

Type: instruction

BACKWARD B1 · concept review — Risk, probability, and loss · Question 1 of 5

Which word describes a chance of losing money or something of value?

A. Equity
B. Risk
C. Liquidity
D. Principal

CORRECT ANSWER

B. Risk

Feedback (shown after answering)

Risk is the chance of loss.

Why each other choice is wrong (misconception it represents)

A: Value owned
C: Ease of using money
D: An amount borrowed or invested

Type: knowledge check

BACKWARD B1 · concept review — Risk, probability, and loss · Question 2 of 5

Learn: Reducing risk makes a loss less likely or less severe, such as seat belts, smoke alarms, or locks.

Wearing a seat belt is which risk strategy?

A. Reducing the risk
B. Transferring the risk to another person
C. Avoiding the risk entirely
D. Retaining the risk on purpose

CORRECT ANSWER

A. Reducing the risk

Feedback (shown after answering)

Seat belts make injuries less severe: risk reduction.

Why each other choice is wrong (misconception it represents)

B: No one else takes the loss
C: You still ride in the car
D: You are actively making the loss smaller

Type: instruction

BACKWARD B1 · concept review — Risk, probability, and loss · Question 3 of 5

An event has a 1 in 50 chance of happening each year. What is that as a percent?

A. 0.02%
B. 2%
C. 20%
D. 50%

CORRECT ANSWER

B. 2%

Feedback (shown after answering)

1 ÷ 50 = 0.02 = 2%.

Recomputed independently by the build: 2

Why each other choice is wrong (misconception it represents)

A: Leaves it as a decimal and adds a percent sign
C: Misplaces the decimal
D: Uses the denominator

Type: knowledge check

BACKWARD B1 · concept review — Risk, probability, and loss · Question 4 of 5

Which situation is risk avoidance?

A. Buying a helmet before riding
B. Choosing not to ride a motorcycle
C. Buying motorcycle insurance before riding
D. Saving to pay for any damage

CORRECT ANSWER

B. Choosing not to ride a motorcycle

Feedback (shown after answering)

Not doing the activity avoids its risk.

Why each other choice is wrong (misconception it represents)

A: Reduction
C: Transfer
D: Retention

Type: knowledge check

BACKWARD B1 · concept review — Risk, probability, and loss · Question 5 of 5

Why does an emergency fund help with risk?

A. It replaces the need for any insurance at all
B. It lowers the chance an accident happens
C. It covers small losses and deductibles
D. It earns enough to pay any lawsuit

CORRECT ANSWER

C. It covers small losses and deductibles

Feedback (shown after answering)

Cash on hand lets you retain small losses and pay deductibles.

Why each other choice is wrong (misconception it represents)

A: Cannot cover catastrophic losses
B: Money does not change the odds
D: Overstates its size

Type: knowledge check

GO DEEPER 1 — Reading a policy · Question 1 of 5

Learn: A policy limit is the most an insurer will pay for a covered loss. The deductible is subtracted from the loss first; the insurer then pays the result, but never more than the limit.

A renters policy has a $20,000 limit for personal property. A fire destroys $26,000 of belongings, and the deductible is $500. How much does the insurer pay?

A. $19,500
B. $20,000
C. $25,500
D. $26,000

CORRECT ANSWER

B. $20,000

Feedback (shown after answering)

$26,000 − $500 = $25,500, capped at the $20,000 limit.

Recomputed independently by the build: 20000

Why each other choice is wrong (misconception it represents)

A: Subtracts the deductible from the limit
C: Ignores the policy limit
D: Ignores the limit and the deductible

Type: instruction

GO DEEPER 1 — Reading a policy · Question 2 of 5

Learn: Exclusions list what a policy does not cover. Flood insurance, for example, is usually a separate policy.

A policy lists "Exclusions: flood, earthquake." What does that mean?

A. Those losses are not covered
B. Those losses are covered with no deductible
C. Those losses are covered only on weekends
D. Those losses are paid at double the limit

CORRECT ANSWER

A. Those losses are not covered

Feedback (shown after answering)

Excluded losses are not covered.

Why each other choice is wrong (misconception it represents)

B: Reverses the meaning
C: Invents a condition
D: Invents a benefit

Type: instruction · practical how-to

GO DEEPER 1 — Reading a policy · Question 3 of 5

Learn: The declarations ("dec") page shows who and what is covered, the limits, deductibles, and the premium.

What is the declarations page of a policy?

A. A letter saying a claim was denied
B. A form to cancel the policy
C. A list of every claim you have filed
D. A summary of coverage, limits, and premium

CORRECT ANSWER

D. A summary of coverage, limits, and premium

Feedback (shown after answering)

The dec page summarizes the policy.

Why each other choice is wrong (misconception it represents)

A: Confuses with a denial letter
B: Confuses with a cancellation form
C: Confuses with a claims history

Type: instruction · practical how-to

GO DEEPER 1 — Reading a policy · Question 4 of 5

Learn: Replacement cost policies cost more but pay enough to replace items new.

Replacement cost coverage pays to buy a new item; actual cash value pays the item's value minus depreciation. A 4-year-old TV cost $800 and is now worth $300. Under actual cash value, before any deductible, what is paid?

A. $300
B. $500
C. $800
D. $1,100

CORRECT ANSWER

A. $300

Feedback (shown after answering)

Actual cash value pays the depreciated value, $300.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

B: Gives the depreciation
C: Describes replacement cost
D: Adds the amounts

Type: instruction

GO DEEPER 1 — Reading a policy · Question 5 of 5

Learn: Contact the insurer promptly, take photos, keep receipts, and prevent further damage.

After a covered loss, what is a sound first step in filing a claim?

A. Throw away damaged items before anyone sees them
B. Wait a year to see if more damage appears
C. Document the damage with photos
D. Exaggerate the loss to cover the deductible

CORRECT ANSWER

C. Document the damage with photos

Feedback (shown after answering)

Photos and receipts support a claim.

Why each other choice is wrong (misconception it represents)

A: Destroys evidence
B: Claims have deadlines
D: Insurance fraud

Type: instruction · practical how-to

SET 87 · Managing Risk with Insurance

Health insurance

MAIN skill: Calculate costs under a health plan and compare plans using premium, deductible, coinsurance, and out-of-pocket maximum

Outcome FL.INS.87 · National topic: Managing Risk · NJSLS 9.1.12: RM

Learning target: Calculate costs under health insurance plans and compare plans using premiums and cost sharing

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Health plan vocabulary (5 questions)
  Why: Plan costs depend on knowing which term means what.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Coinsurance is a percent of the bill.
- B3 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  Why: Out-of-pocket costs combine a deductible, a percent, and a cap.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing health plans (5 questions)
- Go Deeper 2: Using health insurance well (5 questions)

Practical skills beyond the standards: Reading an Explanation of Benefits; Shopping on the state marketplace

Content status: time-sensitive

Source: HealthCare.gov (Glossary) — Defines premium, deductible, copayment, coinsurance, and out-of-pocket maximum; after the out-of-pocket maximum, the plan pays 100% of covered in-network costs for the rest of the plan year. https://www.healthcare.gov/glossary/

Source: HealthCare.gov (Young adults) — Young adults can generally stay on a parent's health plan until age 26. https://www.healthcare.gov/young-adults/children-under-26/

Source: Get Covered New Jersey — New Jersey runs its own health insurance marketplace for individual coverage and financial help. https://nj.gov/getcoverednj/

Source: IRS (Working Families Tax Cuts) — Beginning in 2026, bronze and catastrophic marketplace plans are treated as HSA-compatible. https://www.irs.gov/newsroom/working-families-tax-cuts

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 A, M-Q4 C, M-Q5 B, B1-Q1 D, B1-Q2 C, B1-Q3 A, B1-Q4 C, B1-Q5 A, F1-Q1 B, F1-Q2 D, F1-Q3 B, F1-Q4 D, F1-Q5 A, F2-Q1 A, F2-Q2 B, F2-Q3 B, F2-Q4 C, F2-Q5 C

MAIN — Calculate costs under a health plan and compare plans using premium, deductible, coinsurance, and out-of-pocket maximum · Question 1 of 5

Learn: Health plans share costs based on the allowed (negotiated) in-network amount. You pay the deductible first. After that, coinsurance means you pay a percent and the plan pays the rest, until you reach the out-of-pocket maximum; then the plan pays 100% of covered in-network costs for the rest of the plan year.

Ana's plan has a $1,500 deductible and 20% coinsurance after it, with a $5,000 out-of-pocket maximum. She has spent nothing yet this plan year. A hospital stay has an allowed in-network charge of $10,000 that follows these rules. How much does Ana pay?

A. $1,500
B. $2,000
C. $3,200
D. $5,000

CORRECT ANSWER

C. $3,200

Feedback (shown after answering)

$1,500 + 20% × ($10,000 − $1,500) = $1,500 + $1,700 = $3,200, below the $5,000 maximum.

Recomputed independently by the build: 3200

Why each other choice is wrong (misconception it represents)

A: Pays only the deductible
B: Takes 20% of the whole bill
D: Assumes she reaches the maximum

Type: instruction

MAIN — Calculate costs under a health plan and compare plans using premium, deductible, coinsurance, and out-of-pocket maximum · Question 2 of 5

Learn: The out-of-pocket maximum caps what you pay for covered in-network care in a plan year (premiums not included).

Ana's plan: $1,500 deductible, 20% coinsurance, $5,000 out-of-pocket maximum. In a separate example, with no earlier spending this plan year, a covered in-network stay has an allowed charge of $40,000. How much does Ana pay?

A. $1,500
B. $5,000
C. $8,000
D. $9,200

CORRECT ANSWER

B. $5,000

Feedback (shown after answering)

$1,500 + 20% × $38,500 = $9,200, but the cap limits her share to $5,000.

Recomputed independently by the build: 5000

Why each other choice is wrong (misconception it represents)

A: Pays only the deductible
C: Takes 20% of the bill and ignores the maximum
D: Ignores the out-of-pocket maximum

Type: instruction

MAIN — Calculate costs under a health plan and compare plans using premium, deductible, coinsurance, and out-of-pocket maximum · Question 3 of 5

Learn: A copay is a flat amount, such as $30 for a doctor visit or $10 for a generic prescription.

What is a copay?

A. A set dollar amount for a service
B. A percent of the bill paid after the deductible
C. The monthly price of the plan
D. The yearly limit on what you pay

CORRECT ANSWER

A. A set dollar amount for a service

Feedback (shown after answering)

A copay is a fixed fee per service.

Why each other choice is wrong (misconception it represents)

B: Describes coinsurance
C: Describes the premium
D: Describes the out-of-pocket maximum

Type: instruction

MAIN — Calculate costs under a health plan and compare plans using premium, deductible, coinsurance, and out-of-pocket maximum · Question 4 of 5

Learn: Under the Affordable Care Act, young adults can generally stay on a parent's plan until age 26, even if married, not living at home, or not a dependent for taxes.

Ana is 22 and her parent has a family health plan. Under federal rules, until what age can she generally stay on it?

A. 18
B. 21
C. 26
D. 30

CORRECT ANSWER

C. 26

Feedback (shown after answering)

Coverage on a parent's plan generally lasts until 26.

Recomputed independently by the build: 26

Why each other choice is wrong (misconception it represents)

A: Uses the age of adulthood
B: Uses the drinking age
D: Invents a later age

Type: instruction · rule as of ACA rule as of 2026

MAIN — Calculate costs under a health plan and compare plans using premium, deductible, coinsurance, and out-of-pocket maximum · Question 5 of 5

Learn: Insurers negotiate lower prices with in-network providers. Out-of-network care may cost much more or not be covered.

Why does staying in network usually matter?

A. Out-of-network doctors are not licensed to treat patients
B. In-network care costs the patient less
C. In-network care never needs any deductible
D. Network rules only matter for dental care

CORRECT ANSWER

B. In-network care costs the patient less

Feedback (shown after answering)

Network providers have negotiated rates, so patients pay less.

Why each other choice is wrong (misconception it represents)

A: Confuses network with licensing
C: Deductibles still apply
D: Applies to medical plans too

Type: instruction

BACKWARD B1 · concept review — Health plan vocabulary · Question 1 of 5

Which health plan cost is paid every month, even if you never see a doctor?

A. The deductible, paid before coverage starts
B. Coinsurance, a percent of bills after the deductible
C. A copay, charged per visit
D. The premium

CORRECT ANSWER

D. The premium

Feedback (shown after answering)

Premiums are paid whether or not you use care.

Why each other choice is wrong (misconception it represents)

A: Paid only when you get care
B: Paid only with care
C: Paid only with care

Type: knowledge check

BACKWARD B1 · concept review — Health plan vocabulary · Question 2 of 5

20% of a $500 bill is...

A. $10
B. $20
C. $100
D. $400

CORRECT ANSWER

C. $100

Feedback (shown after answering)

$500 × 0.20 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Uses 2%
B: Uses 20 dollars
D: Gives the plan's 80%

Type: knowledge check

BACKWARD B1 · concept review — Health plan vocabulary · Question 3 of 5

Ana has paid $900 of her $1,500 deductible. How much more must she pay before coinsurance starts?

A. $600
B. $900
C. $1,500
D. $2,400

CORRECT ANSWER

A. $600

Feedback (shown after answering)

$1,500 − $900 = $600 left.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

B: Gives what she has paid
C: Ignores what she has paid
D: Adds the amounts

Type: knowledge check

BACKWARD B1 · concept review — Health plan vocabulary · Question 4 of 5

Learn: Once you reach the out-of-pocket maximum, the plan pays 100% of covered in-network costs for the rest of the plan year. Premiums are still owed.

After Ana reaches her out-of-pocket maximum, what does she pay for covered in-network care that year?

A. The full price of each visit
B. 20% of each bill as before
C. $0
D. The deductible again for each visit

CORRECT ANSWER

C. $0

Feedback (shown after answering)

After the maximum, the plan pays 100% of covered costs.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

A: Reverses the rule
B: Ignores the cap
D: Invents a reset

Type: instruction

BACKWARD B1 · concept review — Health plan vocabulary · Question 5 of 5

A plan has a high deductible but a low premium. Who might it suit?

A. A healthy person with savings
B. Someone expecting surgery soon with no savings
C. Someone with frequent specialist visits
D. Someone who cannot afford any surprise bill

CORRECT ANSWER

A. A healthy person with savings

Feedback (shown after answering)

Low use plus savings to cover the deductible makes a high-deductible plan reasonable.

Why each other choice is wrong (misconception it represents)

B: Would face large costs
C: Would pay a lot before coverage
D: High deductible is risky

Type: knowledge check

GO DEEPER 1 — Comparing health plans · Question 1 of 5

Learn: Compare plans by total yearly cost: 12 × premium + what you pay for care.

Plan A: $100 a month, $3,000 deductible. Plan B: $250 a month, $500 deductible. With no medical bills all year, how much less does Plan A cost?

A. $150
B. $1,800
C. $2,500
D. $4,200

CORRECT ANSWER

B. $1,800

Feedback (shown after answering)

A: $1,200. B: $3,000. A costs $1,800 less.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

A: Compares one month
C: Compares the deductibles
D: Adds the yearly premiums

Type: instruction

GO DEEPER 1 — Comparing health plans · Question 2 of 5

Learn: Compare plans by total yearly cost: premiums + what you pay toward allowed charges.

Plan A: $1,200 a year in premiums, $3,000 deductible, then 20% coinsurance. Plan B: $3,000 a year in premiums, $500 deductible, then 10% coinsurance. Ana expects $2,000 of allowed in-network charges for the year, all subject to these rules (below both out-of-pocket maximums). Which costs less in total?

A. Plan B, by $450
B. Plan A, by $1,800
C. Plan B, by $1,500
D. Plan A, by $450

CORRECT ANSWER

D. Plan A, by $450

Feedback (shown after answering)

A: $1,200 + $2,000 (all within the deductible) = $3,200. B: $3,000 + $500 + 10% × $1,500 = $3,650. A is $450 less.

Recomputed independently by the build: 450

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
B: Compares premiums only
C: Compares the bill costs only

Type: instruction

GO DEEPER 1 — Comparing health plans · Question 3 of 5

Learn: Compare plans by total yearly cost: premiums + what you pay toward allowed charges.

Plan A: $1,200 premiums, $3,000 deductible, then 20%. Plan B: $3,000 premiums, $500 deductible, then 10%. Ana expects $10,000 of allowed in-network charges for the year, all subject to these rules and below both out-of-pocket maximums. Which costs less?

A. Plan A, by $1,150
B. Plan B, by $1,150
C. Plan A, by $1,800
D. Plan B, by $2,950

CORRECT ANSWER

B. Plan B, by $1,150

Feedback (shown after answering)

A: $1,200 + $3,000 + 20% × $7,000 = $5,600. B: $3,000 + $500 + 10% × $9,500 = $4,450. B is $1,150 less.

Recomputed independently by the build: 1150

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
C: Compares premiums only
D: Compares bill costs only

Type: instruction

GO DEEPER 1 — Comparing health plans · Question 4 of 5

Learn: You can contribute to a health savings account (HSA) only while covered by an HSA-compatible plan. Traditionally that meant a qualifying high-deductible health plan; starting in 2026, bronze and catastrophic plans also count. Money in an HSA is pre-tax and carries over year to year.

In 2026 Ana's health plan has a $500 deductible. It is not an HSA-compatible plan: it is not a qualifying high-deductible plan, a bronze plan, or a catastrophic plan. May she contribute to a health savings account (HSA) for that time?

A. Yes; anyone with any health plan may contribute
B. Yes, once she turns 65
C. Yes, if she adds a dental plan
D. No; her plan is not HSA-compatible

CORRECT ANSWER

D. No; her plan is not HSA-compatible

Feedback (shown after answering)

Her plan is none of the HSA-compatible types, so she cannot contribute for that time.

Why each other choice is wrong (misconception it represents)

A: HSAs need an HSA-compatible plan
B: Invents an age rule; Medicare enrollment actually ends contributions
C: Confuses plan types

Type: instruction · rule as of HSA rules for 2026

GO DEEPER 1 — Comparing health plans · Question 5 of 5

Learn: Some states run their own health insurance marketplace, such as Get Covered New Jersey; others use HealthCare.gov. Open enrollment is once a year; life events such as losing coverage open a special enrollment period.

Ana's job does not offer health insurance. Which statement about shopping for an individual plan in New Jersey is accurate?

A. New Jersey runs its own state marketplace
B. Only HealthCare.gov serves New Jersey residents
C. Individual plans can be bought only through social media ads
D. She must wait until she turns 65

CORRECT ANSWER

A. New Jersey runs its own state marketplace

Feedback (shown after answering)

New Jersey residents use Get Covered New Jersey, the state marketplace.

Why each other choice is wrong (misconception it represents)

B: Applies to states without their own marketplace
C: Scam risk
D: Confuses with Medicare

Type: instruction · practical how-to · rule as of As of 2026

GO DEEPER 2 — Using health insurance well · Question 1 of 5

Learn: An EOB is not a bill; it explains what the plan paid and what you may owe. Pay the provider's actual bill after checking that it matches the EOB.

An Explanation of Benefits (EOB) says: billed $400; plan discount $150; plan paid $200; patient responsibility $50. What amount does it show Ana is expected to owe the provider?

A. $50
B. $200
C. $250
D. $400

CORRECT ANSWER

A. $50

Feedback (shown after answering)

$400 − $150 − $200 = $50; pay when the provider's bill arrives and matches.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

B: Gives the plan's payment
C: Subtracts only the discount
D: Uses the billed amount

Type: instruction · practical how-to

GO DEEPER 2 — Using health insurance well · Question 2 of 5

A generic drug costs $10 and the brand-name version costs $45 a month. How much does choosing generic save in a year?

A. $35
B. $420
C. $540
D. $660

CORRECT ANSWER

B. $420

Feedback (shown after answering)

($45 − $10) × 12 = $420.

Recomputed independently by the build: 420

Why each other choice is wrong (misconception it represents)

A: Compares one month
C: Gives the brand-name yearly cost
D: Adds the yearly costs

Type: knowledge check

GO DEEPER 2 — Using health insurance well · Question 3 of 5

Ana has a sore throat on a weekend. Which choice is usually cheapest for a non-emergency?

A. The hospital emergency room for every minor illness
B. An urgent care or telehealth visit
C. Waiting until it becomes an emergency
D. Buying antibiotics online without a prescription

CORRECT ANSWER

B. An urgent care or telehealth visit

Feedback (shown after answering)

Use urgent care or telehealth for minor problems; the ER is for emergencies.

Why each other choice is wrong (misconception it represents)

A: Highest cost
C: Raises cost and risk
D: Unsafe and illegal

Type: knowledge check · practical how-to

GO DEEPER 2 — Using health insurance well · Question 4 of 5

Learn: Most plans cover listed preventive services in network with no cost sharing.

Preventive care such as a yearly checkup is often covered at what cost to the patient in network?

A. The full price, since it is optional
B. Double the usual copay
C. $0
D. The whole deductible

CORRECT ANSWER

C. $0

Feedback (shown after answering)

Many preventive services cost $0 in network.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

A: Ignores preventive coverage
B: Invents a fee
D: Preventive care is often exempt

Type: instruction · rule as of ACA rule as of 2026

GO DEEPER 2 — Using health insurance well · Question 5 of 5

A bill shows a charge for a test Ana never had. What should she do?

A. Pay it so her credit is protected
B. Ignore it, since errors fix themselves
C. Ask the provider for an itemized bill
D. Ask the insurer to pay it again

CORRECT ANSWER

C. Ask the provider for an itemized bill

Feedback (shown after answering)

Request an itemized bill and dispute errors with the provider and insurer.

Why each other choice is wrong (misconception it represents)

A: Pays for an error
B: Lets it go to collections
D: Does not fix the error

Type: knowledge check · practical how-to

SET 88 · Managing Risk with Insurance

Auto insurance

MAIN skill: Explain auto coverages and calculate what liability limits pay

Outcome FL.INS.88 · National topic: Managing Risk · NJSLS 9.1.12: RM

Learning target: Explain types of auto insurance coverage and how limits and deductibles affect costs

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Who and what each coverage protects (5 questions)
  - Why: Auto policies combine coverages that protect different people and property.
- B2 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Coverage questions subtract deductibles and compare amounts with limits.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Choosing auto coverage (5 questions)

Practical skills beyond the standards: What to do after a crash; Comparing auto quotes

Content status: time-sensitive

Source: New Jersey Department of Banking and Insurance — New Jersey requires auto liability coverage and personal injury protection (PIP); minimum required limits are set by state law and have changed in recent years. https://www.nj.gov/dobi/

Source: NAIC (Consumer insurance guides) — Explains auto, home, renters, life, and disability insurance and how deductibles affect premiums. https://content.naic.org/consumer

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 D, M-Q4 B, M-Q5 A, B1-Q1 C, B1-Q2 D, B1-Q3 B, B1-Q4 B, B1-Q5 D, F1-Q1 B, F1-Q2 B, F1-Q3 A, F1-Q4 C, F1-Q5 A

MAIN — Explain auto coverages and calculate what liability limits pay · Question 1 of 5

Learn: Liability coverage pays for injuries and damage you cause to others. Limits like 25/50/25 mean $25,000 per injured person, $50,000 for all injuries in one crash, and $25,000 for property damage. The driver can owe anything above the limits.

A policy has liability limits of 25/50/25 (thousands). Luis causes a crash that injures one person with $40,000 of medical bills. How much might Luis owe himself?

A. $0
B. $10,000
C. $15,000
D. $40,000

CORRECT ANSWER

C. $15,000

Feedback (shown after answering)

The policy pays $25,000 per person; $40,000 − $25,000 = $15,000.

Recomputed independently by the build: 15000

Why each other choice is wrong (misconception it represents)

A: Ignores the per-person limit
B: Subtracts the bill from the $50,000 per-accident limit
D: Ignores the coverage

Type: instruction

MAIN — Explain auto coverages and calculate what liability limits pay · Question 2 of 5

Learn: Collision pays for damage to your car from a crash, minus the deductible. Comprehensive covers non-crash damage (theft, fire, storms, hitting a deer).

Which coverage pays to fix Luis's own car after he hits a pole?

A. Collision
B. Liability, which pays for damage to others
C. Comprehensive, which covers theft, fire, and hail
D. Uninsured motorist, for crashes with uninsured drivers

CORRECT ANSWER

A. Collision

Feedback (shown after answering)

Collision covers your car in a crash you cause.

Why each other choice is wrong (misconception it represents)

B: Pays others, not you
C: Non-collision events
D: Other driver at fault

Type: instruction

MAIN — Explain auto coverages and calculate what liability limits pay · Question 3 of 5

Learn: Comprehensive coverage pays for damage to your car that is not from a crash: theft, fire, falling objects, storms, and hitting an animal.

A tree branch falls on Luis's parked car in a storm. Which coverage applies?

A. Collision, because the car was hit by something
B. Liability, because someone owns the tree
C. Personal injury protection
D. Comprehensive

CORRECT ANSWER

D. Comprehensive

Feedback (shown after answering)

Storm damage falls under comprehensive.

Why each other choice is wrong (misconception it represents)

A: Collision is for crashes
B: Liability pays others
C: Medical coverage

Type: instruction

MAIN — Explain auto coverages and calculate what liability limits pay · Question 4 of 5

Learn: Auto coverages: liability pays for harm you cause to others; collision repairs your car after a crash; personal injury protection (PIP), required in no-fault states such as New Jersey, pays your own medical costs no matter who caused the crash.

New Jersey is a "no-fault" state. Which coverage pays the medical bills of Luis and his passengers after a crash, regardless of fault?

A. Collision, which pays to fix his own car
B. Personal injury protection (PIP)
C. Liability, which pays for harm he causes to others
D. Gap coverage, which pays a loan balance

CORRECT ANSWER

B. Personal injury protection (PIP)

Feedback (shown after answering)

PIP pays medical bills for you and your passengers in no-fault states.

Why each other choice is wrong (misconception it represents)

A: Covers the car, not people
C: Pays other people, not Luis
D: Covers a loan

Type: instruction · rule as of NJ rules as of 2026

MAIN — Explain auto coverages and calculate what liability limits pay · Question 5 of 5

Learn: Premiums depend on age, driving record, the car, where you live, coverage chosen, and discounts (good student, safe driver courses, bundling).

Which choice usually lowers a teen driver's premium?

A. Good grades and a clean driving record
B. Driving a powerful sports car
C. Letting the policy lapse for a few months
D. Getting a speeding ticket early

CORRECT ANSWER

A. Good grades and a clean driving record

Feedback (shown after answering)

Good-student and safe-driver discounts lower premiums.

Why each other choice is wrong (misconception it represents)

B: Raises premiums
C: Lapses raise rates
D: Raises rates

Type: instruction · practical how-to

BACKWARD B1 · concept review — Who and what each coverage protects · Question 1 of 5

Liability coverage pays for…

A. Repairs to your own car only
B. Your own phone if stolen from the car
C. Harm you cause to others
D. Routine oil changes

CORRECT ANSWER

C. Harm you cause to others

Feedback (shown after answering)

Liability covers injuries and damage you cause to others.

Why each other choice is wrong (misconception it represents)

A: Collision
B: Usually renters or home
D: Maintenance

Type: knowledge check

BACKWARD B1 · concept review — Who and what each coverage protects · Question 2 of 5

In 25/50/25, what does the last 25 mean?

A. $25 deductible for any claim
B. 25 days to report a claim
C. $25,000 per injured person
D. $25,000 for property damage

CORRECT ANSWER

D. $25,000 for property damage

Feedback (shown after answering)

The third number is the property damage limit, in thousands.

Why each other choice is wrong (misconception it represents)

A: Misreads thousands
B: Invents a deadline
C: That is the first number

Type: knowledge check

BACKWARD B1 · concept review — Who and what each coverage protects · Question 3 of 5

Luis's collision deductible is $1,000. Repairs cost $3,800. What does insurance pay?

A. $1,000
B. $2,800
C. $3,800
D. $4,800

CORRECT ANSWER

B. $2,800

Feedback (shown after answering)

$3,800 − $1,000 = $2,800.

Recomputed independently by the build: 2800

Why each other choice is wrong (misconception it represents)

A: Gives the deductible
C: Ignores the deductible
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Who and what each coverage protects · Question 4 of 5

Why is driving without required insurance a serious problem?

A. It is allowed if you drive carefully
B. It is illegal and leaves you personally liable
C. It matters only if you cause a crash
D. Other drivers must pay for the crashes you cause

CORRECT ANSWER

B. It is illegal and leaves you personally liable

Feedback (shown after answering)

Required coverage protects others; driving uninsured brings penalties and personal liability.

Why each other choice is wrong (misconception it represents)

A: Believes careful driving replaces coverage
C: Ignores the legal requirement
D: Misunderstands liability

Type: knowledge check

BACKWARD B1 · concept review — Who and what each coverage protects · Question 5 of 5

An uninsured driver hits Luis. Which coverage helps him?

A. His liability coverage, which pays others
B. Comprehensive, for theft and storms
C. Collision, which waives the deductible
D. Uninsured motorist coverage

CORRECT ANSWER

D. Uninsured motorist coverage

Feedback (shown after answering)

Uninsured motorist coverage protects you when the at-fault driver has no insurance.

Why each other choice is wrong (misconception it represents)

A: Pays others
B: Non-crash
C: Confuses coverages

Type: knowledge check

GO DEEPER 1 — Choosing auto coverage · Question 1 of 5

Learn: Collision pays up to the car's actual cash value minus the deductible. On an older car, it can cost close to what it could ever pay.

Luis's car is worth $2,000. Collision coverage costs $600 a year with a $500 deductible. What is the most collision would pay in a total loss?

A. $600
B. $1,500
C. $2,000
D. $2,500

CORRECT ANSWER

B. $1,500

Feedback (shown after answering)

$2,000 − $500 = $1,500.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

A: Gives the premium
C: Ignores the deductible
D: Adds the deductible

Type: instruction

GO DEEPER 1 — Choosing auto coverage · Question 2 of 5

Learn: A higher deductible lowers the premium. Break-even years = extra deductible ÷ yearly savings.

Raising the deductible from $500 to $1,000 lowers Luis's premium by $150 a year. How many claim-free years until the savings cover the extra $500 risk?

A. About 0.3 years
B. About 3.3 years
C. About 6.7 years
D. About 1.5 years

CORRECT ANSWER

B. About 3.3 years

Feedback (shown after answering)

$500 ÷ $150 ≈ 3.3 years.

Recomputed independently by the build: 3.3

Why each other choice is wrong (misconception it represents)

A: Divides savings by the extra deductible
C: Divides $1,000 by $150
D: Misplaces a decimal

Type: instruction

GO DEEPER 1 — Choosing auto coverage · Question 3 of 5

Why do many experts suggest liability limits above the state minimum?

A. A serious crash can cost far more
B. Minimum limits are illegal in most states
C. Higher limits always cost double
D. Liability only matters for commercial drivers

CORRECT ANSWER

A. A serious crash can cost far more

Feedback (shown after answering)

Injury costs can exceed minimum limits, leaving the driver to pay the rest.

Why each other choice is wrong (misconception it represents)

B: Misreads the law
C: Overstates the price
D: Misunderstands liability

Type: knowledge check

GO DEEPER 1 — Choosing auto coverage · Question 4 of 5

Learn: Check for injuries, call police if required, exchange names, insurance, and plate numbers, and take photos.

After a minor crash, which step should Luis take?

A. Leave without stopping if no one seems hurt
B. Admit fault for everything right away
C. Exchange insurance information
D. Agree to pay in cash without documenting anything

CORRECT ANSWER

C. Exchange insurance information

Feedback (shown after answering)

Exchange information and document the scene.

Why each other choice is wrong (misconception it represents)

A: Illegal
B: Let insurers decide fault
D: Risky

Type: instruction · practical how-to

GO DEEPER 1 — Choosing auto coverage · Question 5 of 5

Two quotes: $1,800 a year with $50,000/$100,000 limits, and $1,560 with state minimums. How much more does the higher coverage cost per month?

A. $20
B. $130
C. $150
D. $240

CORRECT ANSWER

A. $20

Feedback (shown after answering)

($1,800 − $1,560) ÷ 12 = $20 a month.
Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

B: Divides the other premium by 12
C: Divides one premium by 12
D: Gives the yearly difference

Type: knowledge check

SET 89 · Managing Risk with Insurance

Property, life, and disability insurance

MAIN skill: Explain property, life, and disability insurance and estimate coverage needs

Outcome FL.INS.89 · National topic: Managing Risk · NJSLS 9.1.12: RM

Learning target: Compare property, life, and disability insurance and estimate coverage needs

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Matching insurance to the risk (5 questions)
  - Why: Each type of insurance protects against one kind of loss.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Benefits are often a percent of income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Estimating coverage needs (5 questions)

Practical skills beyond the standards: Estimating life insurance needs

Content status: stable

Source: NAIC (Consumer insurance guides) — Explains auto, home, renters, life, and disability insurance and how deductibles affect premiums. https://content.naic.org/consumer

Source: Social Security Administration (Disability benefits) — Social Security disability benefits have strict eligibility rules and a waiting period, so many workers also rely on private or employer disability insurance. https://www.ssa.gov/disability

Answer key for this set: M-Q1 B, M-Q2 C, M-Q3 C, M-Q4 D, M-Q5 A, B1-Q1 A, B1-Q2 C, B1-Q3 C, B1-Q4 B, B1-Q5 D, F1-Q1 C, F1-Q2 B, F1-Q3 C, F1-Q4 B, F1-Q5 D

MAIN — Explain property, life, and disability insurance and estimate coverage needs · Question 1 of 5

Learn: Each insurance covers a different loss: health insurance pays for medical care; life insurance pays beneficiaries at death; disability insurance pays a share of income, often about 60%, while you cannot work. Government disability benefits have strict rules and waiting periods.

Which insurance replaces part of your paycheck if illness or injury keeps you from working?

A. Life insurance, which pays when someone dies
B. Disability insurance
C. Homeowners insurance, which covers the house
D. Health insurance, which pays medical bills

CORRECT ANSWER

B. Disability insurance

Feedback (shown after answering)

Disability insurance replaces lost income.

Why each other choice is wrong (misconception it represents)

A: Pays at death
C: Covers property
D: Pays care, not lost wages

Type: instruction

MAIN — Explain property, life, and disability insurance and estimate coverage needs · Question 2 of 5

Ana earns $4,000 a month. Her disability policy pays 60% of income. What is her monthly benefit?

A. $240
B. $1,600
C. $2,400
D. $4,000

CORRECT ANSWER

C. $2,400

Feedback (shown after answering)

$4,000 × 0.60 = $2,400.

Recomputed independently by the build: 2400

Why each other choice is wrong (misconception it represents)

A: Uses 6%
B: Gives the 40% she loses
D: Assumes full income

Type: knowledge check

MAIN — Explain property, life, and disability insurance and estimate coverage needs · Question 3 of 5

Learn: Life insurance pays a death benefit to beneficiaries. Term life covers a set number of years and is much cheaper. Whole (permanent) life lasts for life and includes a cash value, with much higher premiums.

What is the main difference between term and whole life insurance?

A. Term covers only accidents; whole life covers only illness
B. Term is for children; whole life is for adults
C. Term covers a set period; whole life lasts for life
D. Term pays while you live; whole life pays at death

CORRECT ANSWER

C. Term covers a set period; whole life lasts for life

Feedback (shown after answering)

Term is temporary and cheaper; whole life is permanent with cash value.

Why each other choice is wrong (misconception it represents)

A: Invents limits
B: Invents ages
D: Reverses purpose

Type: instruction

MAIN — Explain property, life, and disability insurance and estimate coverage needs · Question 4 of 5

Learn: Life insurance protects people who depend on your income. A common estimate is several times yearly income, adjusted for debts and savings.

Who most needs life insurance?

A. A teenager with no dependents and no debts
B. A retiree whose savings cover the spouse's needs
C. A single adult whose only bills are their own
D. A parent whose income supports young children

CORRECT ANSWER

D. A parent whose income supports young children

Feedback (shown after answering)

Life insurance matters most when others depend on your income.

Why each other choice is wrong (misconception it represents)

A: Little need
B: Need may be met
C: No dependents

Type: instruction

MAIN — Explain property, life, and disability insurance and estimate coverage needs · Question 5 of 5

Learn: Renters insurance covers belongings and liability; the landlord insures the building. Homeowners insurance also covers the structure. Lenders require it for a mortgage.

What does homeowners insurance usually cover that renters insurance does not?

A. The building itself
B. Personal belongings such as a laptop
C. Liability if a guest is hurt
D. Living costs after a covered loss

CORRECT ANSWER

A. The building itself

Feedback (shown after answering)

Homeowners insurance adds coverage for the dwelling.

Why each other choice is wrong (misconception it represents)

B: Both can cover belongings
C: Both include liability
D: Both can include this

Type: instruction

BACKWARD B1 · concept review — Matching insurance to the risk · Question 1 of 5

Which insurance pays beneficiaries when the insured person dies?

A. Life insurance
B. Disability insurance
C. Renters insurance
D. Auto insurance

CORRECT ANSWER

A. Life insurance

Feedback (shown after answering)

Life insurance pays a death benefit.

Why each other choice is wrong (misconception it represents)

B: Pays while alive and unable to work
C: Covers belongings
D: Covers driving

Type: knowledge check

BACKWARD B1 · concept review — Matching insurance to the risk · Question 2 of 5

A beneficiary is...

A. The person who sells the policy
B. The insurance company that pays claims
C. The person who receives the payout
D. The person whose life is insured

CORRECT ANSWER

C. The person who receives the payout

Feedback (shown after answering)

The beneficiary receives the benefit.

Why each other choice is wrong (misconception it represents)

A: Agent
B: Insurer
D: Confuses the insured with the beneficiary

Type: knowledge check

BACKWARD B1 · concept review — Matching insurance to the risk · Question 3 of 5

60% of $3,000 is...

A. $180
B. $1,200
C. $1,800
D. $3,060

CORRECT ANSWER

C. $1,800

Feedback (shown after answering)

$3,000 × 0.60 = $1,800.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

A: Uses 6%
B: Gives 40%
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Matching insurance to the risk · Question 4 of 5

Which loss does renters insurance cover?

A. A cracked foundation in the landlord's building
B. A stolen laptop from the apartment
C. Damage to your car in a crash
D. A hospital stay

CORRECT ANSWER

B. A stolen laptop from the apartment

Feedback (shown after answering)

Renters insurance covers your belongings.

Why each other choice is wrong (misconception it represents)

A: Landlord's insurance
C: Auto
D: Health

Type: knowledge check

BACKWARD B1 · concept review — Matching insurance to the risk · Question 5 of 5

Which is the cheaper way for a young parent to get a large death benefit?

A. Whole life with cash value
B. Disability insurance
C. A savings account only
D. Term life

CORRECT ANSWER

D. Term life

Feedback (shown after answering)

Term life gives the most coverage per premium dollar.

Why each other choice is wrong (misconception it represents)

A: Much higher premiums
B: Different purpose
C: Not insurance

Type: knowledge check

GO DEEPER 1 — Estimating coverage needs · Question 1 of 5

Learn: Rules of thumb are a starting point. A needs-based estimate adds debts, future costs such as college, and years of income, then subtracts savings.

A parent earns $60,000. A simple rule suggests life insurance of 10 times income. How much is that?

A. $60,000
B. $160,000
C. $600,000
D. $6,000,000

CORRECT ANSWER

C. $600,000

Feedback (shown after answering)

$60,000 × 10 = $600,000.

Recomputed independently by the build: 600000

Why each other choice is wrong (misconception it represents)

A: Uses 1 times income
B: Adds instead of multiplying
D: Uses 100 times income

Type: instruction

GO DEEPER 1 — Estimating coverage needs · Question 2 of 5

Needs: $250,000 mortgage + $100,000 college + $300,000 income replacement. Savings and existing coverage: $150,000. How much more life insurance is needed?

A. $350,000
B. $500,000
C. $650,000
D. $800,000

CORRECT ANSWER

B. $500,000

Feedback (shown after answering)

$250,000 + $100,000 + $300,000 − $150,000 = $500,000.
Recomputed independently by the build: 500000

Why each other choice is wrong (misconception it represents)

A: Leaves out income replacement
C: Ignores existing resources
D: Adds resources instead of subtracting

Type: knowledge check

GO DEEPER 1 — Estimating coverage needs · Question 3 of 5

A 30-year-old buys $500,000 of 20-year term life for $30 a month. What is the total premium over 20 years?

A. $360
B. $600
C. $7,200
D. $500,000

CORRECT ANSWER

C. $7,200

Feedback (shown after answering)

$30 × 12 × 20 = $7,200.

Recomputed independently by the build: 7200

Why each other choice is wrong (misconception it represents)

A: One year
B: Uses 20 months
D: Gives the benefit

Type: knowledge check

GO DEEPER 1 — Estimating coverage needs · Question 4 of 5

Learn: The elimination (waiting) period is how long you must be disabled before benefits begin. An emergency fund covers that gap.

A disability policy has a 90-day elimination period. What does that mean?

A. The policy ends after 90 days
B. Benefits start after 90 days of disability
C. Claims must be filed within 90 minutes of an injury
D. The premium is free for 90 days

CORRECT ANSWER

B. Benefits start after 90 days of disability

Feedback (shown after answering)

Benefits begin after the waiting period.

Why each other choice is wrong (misconception it represents)

A: Confuses with the benefit period
C: Invents a deadline
D: Invents a discount

Type: instruction

GO DEEPER 1 — Estimating coverage needs · Question 5 of 5

Why might a worker add personal disability insurance on top of a workplace plan?

A. Workplace plans always replace 100% of income
B. Government benefits are automatic and immediate
C. Disability insurance also pays medical bills
D. To replace more income

CORRECT ANSWER

D. To replace more income

Feedback (shown after answering)

Extra coverage can fill gaps in employer benefits.

Why each other choice is wrong (misconception it represents)

A: Overstates employer coverage
B: They have strict rules and waits
C: Health insurance does that

Type: knowledge check

SET 90 · Managing Risk with Insurance

Expected loss and choosing coverage

MAIN skill: Use probability and expected value to evaluate premiums, deductibles, and extended warranties

Outcome FL.INS.90 · National topic: Managing Risk · NJSLS 9.1.12: RM, FP

Learning target: Use probability and expected value to evaluate insurance and warranty choices

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Expected value (5 questions)
  - Why: Expected loss multiplies a probability by an amount.
- B2 · Math link → G7-S55-M (Grade 7 7.SP.C.6): Estimate a probability from relative frequency and make predictions
  - Why: Insurers estimate probabilities from claim data.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Expected loss multiplies an amount by a percent probability.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: How insurers set prices (5 questions)

Practical skills beyond the standards: Deciding on extended warranties; Choosing a deductible

Content status: stable

Source: NAIC (Consumer insurance guides) — Explains auto, home, renters, life, and disability insurance and how deductibles affect premiums. https://content.naic.org/consumer

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 C, M-Q4 A, M-Q5 C, B1-Q1 B, B1-Q2 A, B1-Q3 B, B1-Q4 B, B1-Q5 A, F1-Q1 C, F1-Q2 B, F1-Q3 D, F1-Q4 D, F1-Q5 A

MAIN — Use probability and expected value to evaluate premiums, deductibles, and extended warranties · Question 1 of 5

Learn: Expected loss = probability × size of the loss. It is the average loss per year over many people or many years.

Each year there is a 2% chance of a $5,000 loss. What is the expected yearly loss?

A. $10
B. $100
C. $1,000
D. $5,000

CORRECT ANSWER

B. $100

Feedback (shown after answering)

0.02 × $5,000 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Uses 0.2%
C: Uses 20%
D: Ignores the probability

Type: instruction

MAIN — Use probability and expected value to evaluate premiums, deductibles, and extended warranties · Question 2 of 5

Learn: Insurers price premiums above expected losses to cover costs and profit. Buying insurance makes sense for losses you could not afford, not for small ones.

The expected loss on a phone is $60 a year, but protection costs $120 a year. What does that suggest?

A. On average, the plan costs more than it pays
B. The plan is guaranteed to save money every year
C. The phone is certain to break this year
D. Insurers lose money on every plan they sell

CORRECT ANSWER

A. On average, the plan costs more than it pays

Feedback (shown after answering)

The $60 gap is the average cost of transferring the risk.

Why each other choice is wrong (misconception it represents)

B: Ignores averages
C: Misreads expected value
D: Reverses the business model

Type: instruction

MAIN — Use probability and expected value to evaluate premiums, deductibles, and extended warranties · Question 3 of 5

A $40 extended warranty on a $60 blender covers 2 extra years. Which is usually wiser if Ana has an emergency fund?

A. Buy it, because warranties always pay for themselves
B. Buy two, to double the coverage
C. Skip it and retain the risk
D. Return the blender and never buy appliances

CORRECT ANSWER

C. Skip it and retain the risk

Feedback (shown after answering)

The warranty is two-thirds of the price; the loss is small and affordable.

Why each other choice is wrong (misconception it represents)

A: Overstates value
B: Coverage does not stack
D: Overreacts

Type: knowledge check

MAIN — Use probability and expected value to evaluate premiums, deductibles, and extended warranties · Question 4 of 5

Learn: Higher deductibles mean lower premiums. Choose a deductible your emergency fund can cover.

Ana compares deductibles: $500 deductible, premium $1,200; $1,000 deductible, premium $1,050. Which yearly savings come with the higher deductible?

A. $150
B. $500
C. $1,050
D. $2,250

CORRECT ANSWER

A. $150

Feedback (shown after answering)

$1,200 − $1,050 = $150 a year.

Recomputed independently by the build: 150

Why each other choice is wrong (misconception it represents)

B: Gives the deductible difference
C: Gives the new premium
D: Adds the premiums

Type: instruction

MAIN — Use probability and expected value to evaluate premiums, deductibles, and extended warranties · Question 5 of 5

Learn: Expected extra cost = probability of a claim × extra deductible. Compare it with the premium savings. Choose a deductible your emergency fund can cover.

Raising a deductible from $500 to $1,000 saves $150 a year in premiums but adds $500 to the cost of a claim. Assume a 10% chance each year of exactly one claim that would hit the deductible, and no chance of more than one. Is the $1,000 deductible a good bet on average?

A. No; it costs about $350 a year more
B. No; it costs $500 more every year
C. Yes; it saves about $100 a year
D. Yes; it saves $650 every year

CORRECT ANSWER

C. Yes; it saves about $100 a year

Feedback (shown after answering)

Expected extra: 0.10 × $500 = $50. Savings $150 − $50 = $100 a year on average.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Treats a claim as certain: $500 − $150
B: Assumes a claim every year
D: Adds instead of subtracting

Type: instruction

BACKWARD B1 · concept review — Expected value · Question 1 of 5

A 5% chance of losing $2,000 has an expected loss of...

A. $10
B. $100
C. $1,000
D. $2,000

CORRECT ANSWER

B. $100

Feedback (shown after answering)

0.05 × $2,000 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Uses 0.5%
C: Uses 50%
D: Ignores the probability

Type: knowledge check

BACKWARD B1 · concept review — Expected value · Question 2 of 5

Write 1 in 20 as a decimal.

A. 0.05
B. 0.20
C. 0.5
D. 20.0

CORRECT ANSWER

A. 0.05

Feedback (shown after answering)

1 ÷ 20 = 0.05.

Recomputed independently by the build: 0.05

Why each other choice is wrong (misconception it represents)

B: Uses the 20
C: Misplaces the decimal
D: Inverts the fraction

Type: knowledge check

BACKWARD B1 · concept review — Expected value · Question 3 of 5

Learn: Relative frequency estimates probability: events ÷ total.

Out of 1,000 drivers, 30 file a claim in a year. What is the estimated probability of a claim?

A. 0.3%
B. 3%
C. 30%
D. 97%

CORRECT ANSWER

B. 3%

Feedback (shown after answering)

30 ÷ 1,000 = 0.03 = 3%.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Divides by 10,000
C: Divides by 100
D: Gives the chance of no claim

Type: instruction

BACKWARD B1 · concept review — Expected value · Question 4 of 5

Why are premiums usually higher than the expected loss?

A. Insurers do not know the probabilities
B. Insurers add costs and profit
C. Expected loss is always zero
D. The law requires premiums to double losses

CORRECT ANSWER

B. Insurers add costs and profit

Feedback (shown after answering)

Premiums cover expected claims plus expenses and profit.

Why each other choice is wrong (misconception it represents)

A: They study them closely
C: Misreads expected value
D: Invents a rule

Type: knowledge check

BACKWARD B1 · concept review — Expected value · Question 5 of 5

An emergency fund makes which choice safer?

A. A higher deductible
B. Dropping liability insurance entirely
C. Skipping health coverage
D. Lowering every policy limit

CORRECT ANSWER

A. A higher deductible

Feedback (shown after answering)

Cash on hand can cover a higher deductible.

Why each other choice is wrong (misconception it represents)

B: Large liability risk
C: Large medical risk
D: Increases exposure

Type: knowledge check

GO DEEPER 1 — How insurers set prices · Question 1 of 5

Learn: Across many independent policies, actual losses tend to come close to the expected total (the law of large numbers). A disaster that hits many insured homes at once, such as a hurricane, breaks this pattern.

An insurer covers 10,000 homes in many different places. Each has a 1% chance of a $50,000 loss, independent of the others. What total claims should it expect?

A. $50,000
B. $500,000
C. $5,000,000
D. $500,000,000

CORRECT ANSWER

C. $5,000,000

Feedback (shown after answering)

10,000 × 0.01 = 100 claims × $50,000 = $5,000,000.

Recomputed independently by the build: 5000000

Why each other choice is wrong (misconception it represents)

A: Counts one claim
B: Uses 0.1%
D: Ignores the probability

Type: instruction

GO DEEPER 1 — How insurers set prices · Question 2 of 5

Expected claims are $5,000,000 for 10,000 homes. What is the expected claim cost per home?

A. $50
B. $500
C. $5,000
D. $50,000

CORRECT ANSWER

B. $500

Feedback (shown after answering)

$5,000,000 ÷ 10,000 = $500.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Divides by 100,000
C: Divides by 1,000
D: Gives the loss size

Type: knowledge check

GO DEEPER 1 — How insurers set prices · Question 3 of 5

The insurer adds 25% for expenses and profit to a $500 expected claim cost. What is the premium?

A. $125
B. $500
C. $525
D. $625

CORRECT ANSWER

D. $625

Feedback (shown after answering)

$500 × 1.25 = $625.

Recomputed independently by the build: 625

Why each other choice is wrong (misconception it represents)

A: Gives the added amount
B: Leaves out the markup
C: Adds $25

Type: knowledge check

GO DEEPER 1 — How insurers set prices · Question 4 of 5

Why do drivers with past accidents usually pay more?

A. Insurers punish drivers to make an example
B. Accidents raise everyone's premiums equally
C. The law sets a fixed fine added to premiums
D. Their estimated chance of a claim is higher

CORRECT ANSWER

D. Their estimated chance of a claim is higher

Feedback (shown after answering)

Higher expected loss means a higher premium.

Why each other choice is wrong (misconception it represents)

A: Not the reason
B: Pricing is individual
C: Confuses with fines

Type: knowledge check

GO DEEPER 1 — How insurers set prices · Question 5 of 5

Learn: When many independent risks are pooled, the total loss is easier to predict. Losses that strike many policyholders at once, such as a regional catastrophe, remain a risk, which is why insurers also buy reinsurance and limit how much they insure in one area.

Why does insurance work better for a large group of independent risks than for a single person?

A. Losses become predictable on average
B. Each person's losses become certain
C. Large groups never have any losses at all
D. Premiums no longer need to be paid

CORRECT ANSWER

A. Losses become predictable on average

Feedback (shown after answering)

With many independent policies, total losses are predictable even though individual ones are not; correlated disasters remain a risk.

Why each other choice is wrong (misconception it represents)

B: Individual losses stay uncertain
C: Misunderstands pooling
D: Misunderstands pooling

Type: instruction

SET 91 · Paying for College and Training

Cost of attendance and net price

MAIN skill: Calculate cost of attendance and net price, and compare colleges by what a family will actually pay

Outcome FL.COLLEGE.91 · National topic: Spending · NJSLS 9.1.12: PB, CDM

Learning target: Calculate cost of attendance and net price to compare postsecondary options

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Comparing costs fairly (5 questions)
  - Why: Net price comparisons subtract only money that never has to be repaid.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: COA and net price add costs and subtract aid.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Lowering the cost (5 questions)

Practical skills beyond the standards: Reading a financial aid award letter; Using a net price calculator

Content status: stable

Source: U.S. Department of Education (College Navigator / net price calculators) — Colleges must post a net price calculator that estimates cost of attendance minus grants and scholarships. https://nces.ed.gov/collegenavigator/

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 C, M-Q4 C, M-Q5 B, B1-Q1 D, B1-Q2 C, B1-Q3 B, B1-Q4 B, B1-Q5 D, F1-Q1 B, F1-Q2 C, F1-Q3 B, F1-Q4 C, F1-Q5 A

MAIN — Calculate cost of attendance and net price, and compare colleges by what a family will actually pay · Question 1 of 5

Learn: Cost of attendance (COA) is a college's estimate of a full year: tuition and fees, housing and food, books and supplies, transportation, and personal expenses.

College A lists tuition $14,000, housing and food $13,000, books $1,200, transportation $1,800, and personal costs $2,000. What is the cost of attendance?

A. $14,000
B. $27,000
C. $30,200
D. $32,000

CORRECT ANSWER

D. $32,000

Feedback (shown after answering)

$14,000 + $13,000 + $1,200 + $1,800 + $2,000 = $32,000.

Recomputed independently by the build: 32000

Why each other choice is wrong (misconception it represents)

A: Counts only tuition
B: Counts tuition and housing only
C: Leaves out transportation

Type: instruction

MAIN — Calculate cost of attendance and net price, and compare colleges by what a family will actually pay · Question 2 of 5

Learn: Net price = cost of attendance − grants and scholarships (gift aid, which does not have to be repaid). Loans are not subtracted, because they must be paid back.

College A's COA is $32,000. Kira receives a $9,000 grant and a $3,000 scholarship. What is her net price?

A. $12,000
B. $20,000
C. $23,000
D. $32,000

CORRECT ANSWER

B. $20,000

Feedback (shown after answering)

$32,000 − $9,000 − $3,000 = $20,000.

Recomputed independently by the build: 20000

Why each other choice is wrong (misconception it represents)

A: Gives the gift aid
C: Subtracts only the grant
D: Ignores gift aid

Type: instruction

MAIN — Calculate cost of attendance and net price, and compare colleges by what a family will actually pay · Question 3 of 5

Learn: Award letters mix gift aid with "self-help" aid: work-study (money you earn at a job) and loans (money you repay). Only gift aid lowers the net price.

College B's award lists COA $45,000; grants $22,000; work-study $2,500; loans $5,500. What is the net price?

A. $15,000
B. $20,500
C. $23,000
D. $45,000

CORRECT ANSWER

C. $23,000

Feedback (shown after answering)

$45,000 − $22,000 = $23,000. Work-study must be earned and loans must be repaid.

Recomputed independently by the build: 23000

Why each other choice is wrong (misconception it represents)

A: Subtracts loans and work-study too
B: Subtracts work-study as if it were a grant
D: Ignores every form of aid

Type: instruction · practical how-to

MAIN — Calculate cost of attendance and net price, and compare colleges by what a family will actually pay · Question 4 of 5

Learn: Every college must post a net price calculator. It estimates what a student like you would pay after grants, which can differ a lot from the listed price.

A private college lists $60,000 and a state college lists $30,000. What should Kira do before ruling out the private college?

A. Assume the sticker price is what every family pays
B. Choose the cheaper sticker price without comparing aid
C. Run each college's net price calculator
D. Apply only to the more expensive one, since it must be better

CORRECT ANSWER

C. Run each college's net price calculator

Feedback (shown after answering)

Net price calculators show likely cost after grants.

Why each other choice is wrong (misconception it represents)

A: Ignores aid
B: Sticker price can mislead
D: Price does not equal quality

Type: instruction · practical how-to

MAIN — Calculate cost of attendance and net price, and compare colleges by what a family will actually pay · Question 5 of 5

Learn: Gift aid (grants and scholarships) does not have to be repaid. Self-help aid (loans and work-study) must be repaid or earned.

Which counts as gift aid?

A. A federal Direct Unsubsidized Loan
B. A need-based grant
C. A campus job through work-study
D. A loan a parent takes out for the student

CORRECT ANSWER

B. A need-based grant

Feedback (shown after answering)

Grants and scholarships are gift aid; loans and work-study are self-help aid.

Why each other choice is wrong (misconception it represents)

A: Must be repaid
C: Earned by working
D: Must be repaid

Type: instruction

BACKWARD B1 · concept review — Comparing costs fairly · Question 1 of 5

Which aid must be repaid?

A. A scholarship for good grades
B. A state grant based on need
C. A tuition waiver from the college
D. A student loan

CORRECT ANSWER

D. A student loan

Feedback (shown after answering)

Loans are repaid with interest.

Why each other choice is wrong (misconception it represents)

A: Gift aid
B: Gift aid
C: Gift aid

Type: knowledge check

BACKWARD B1 · concept review — Comparing costs fairly · Question 2 of 5

Tuition $10,000 and fees $1,500. What is tuition plus fees?

A. $8,500
B. $10,150
C. $11,500
D. $15,000

CORRECT ANSWER

C. $11,500

Feedback (shown after answering)

$10,000 + $1,500 = $11,500.

Recomputed independently by the build: 11500

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Misplaces a digit
D: Misreads $1,500

Type: knowledge check

BACKWARD B1 · concept review — Comparing costs fairly · Question 3 of 5

COA $25,000 minus $10,000 of grants is...

A. $10,000
B. $15,000
C. $25,000
D. $35,000

CORRECT ANSWER

B. $15,000

Feedback (shown after answering)

$25,000 − $10,000 = $15,000.

Recomputed independently by the build: 15000

Why each other choice is wrong (misconception it represents)

A: Gives the grants
C: Ignores grants
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Comparing costs fairly · Question 4 of 5

Learn: Federal Work-Study helps students find part-time jobs; pay is earned over the year, not given up front.

What is work-study?

A. A grant applied to tuition automatically
B. A part-time job that pays the student
C. A loan with no interest
D. Credit for an internship class

CORRECT ANSWER

B. A part-time job that pays the student

Feedback (shown after answering)

Work-study is earned wages.

Why each other choice is wrong (misconception it represents)

A: Must be earned
C: Not a loan
D: Confuses aid with coursework

Type: instruction

BACKWARD B1 · concept review — Comparing costs fairly · Question 5 of 5

Why compare net price instead of sticker price?

A. Sticker price already includes every scholarship
B. Net price is set by the government for all colleges
C. Net price already subtracts the loans offered
D. Aid can change the true cost a lot

CORRECT ANSWER

D. Aid can change the true cost a lot

Feedback (shown after answering)

Net price is what a family actually pays before loans.

Why each other choice is wrong (misconception it represents)

A: Misreads sticker price
B: Misunderstands pricing
C: Confuses loans with gift aid

Type: knowledge check

GO DEEPER 1 — Lowering the cost · Question 1 of 5

Learn: Starting at a community college and transferring can save a lot. New Jersey colleges have transfer agreements so credits count toward a degree.

Kira spends 2 years at a community college ($5,000 a year net) and 2 years at a state college ($20,000 a year net), instead of 4 years at the state college. How much does she save?

A. $15,000
B. $30,000
C. $50,000
D. $80,000

CORRECT ANSWER

B. $30,000

Feedback (shown after answering)

4 × $20,000 = $80,000; 2 × $5,000 + 2 × $20,000 = $50,000; savings $30,000.

Recomputed independently by the build: 30000

Why each other choice is wrong (misconception it represents)

A: Compares one year only
C: Gives the new total
D: Gives the original total

Type: instruction

GO DEEPER 1 — Lowering the cost · Question 2 of 5

Kira earns 12 college credits in high school through dual enrollment. A college charges $400 a credit. How much tuition might she save?

A. $412
B. $480
C. $4,800
D. $48,000

CORRECT ANSWER

C. $4,800

Feedback (shown after answering)

12 × $400 = $4,800.

Recomputed independently by the build: 4800

Why each other choice is wrong (misconception it represents)

A: Adds
B: Drops a zero
D: Adds a zero

Type: knowledge check

GO DEEPER 1 — Lowering the cost · Question 3 of 5

Living at home saves $13,000 a year in housing and food, but commuting costs $2,500 a year. What is the net yearly savings?

A. $2,500
B. $10,500
C. $13,000
D. $15,500

CORRECT ANSWER

B. $10,500

Feedback (shown after answering)

$13,000 − $2,500 = $10,500.

Recomputed independently by the build: 10500

Why each other choice is wrong (misconception it represents)

A: Gives commuting costs
C: Ignores commuting costs
D: Adds commuting costs

Type: knowledge check

GO DEEPER 1 — Lowering the cost · Question 4 of 5

Learn: Legitimate scholarships do not charge fees or guarantee awards. Free searches are offered by schools, libraries, and the U.S. Department of Labor's CareerOneStop.

Which is a red flag when searching for scholarships?

A. An essay about your goals
B. A deadline for submitting
C. A fee to apply for a "guaranteed" scholarship
D. A request for your transcript

CORRECT ANSWER

C. A fee to apply for a "guaranteed" scholarship

Feedback (shown after answering)

Paying for a "guaranteed" scholarship is a scam sign.

Why each other choice is wrong (misconception it represents)

A: Common requirement
B: Normal
D: Normal

Type: instruction · practical how-to

GO DEEPER 1 — Lowering the cost · Question 5 of 5

Learn: A 529 plan lets families invest for education; earnings are tax-free when used for qualified costs. New Jersey's plan is NJBEST.

A 529 plan is used for…

A. Saving for education with tax advantages
B. Paying monthly tuition with a low-interest card
C. Retirement only, with penalties for college
D. Borrowing at a low rate

CORRECT ANSWER

A. Saving for education with tax advantages

Feedback (shown after answering)

529 plans are tax-advantaged education savings.

Why each other choice is wrong (misconception it represents)

B: Confuses saving with borrowing
C: Confuses with an IRA
D: It is savings, not a loan

Type: instruction · rule as of As of 2026

SET 92 · Paying for College and Training

The FAFSA and financial aid

MAIN skill: Explain how to apply for financial aid and the types of federal, state, and school aid

Outcome FL.COLLEGE.92 · National topic: Spending · NJSLS 9.1.12: PB, FI

Learning target: Explain the process and types of financial aid for postsecondary education

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Kinds of financial aid (5 questions)

Why: Understanding the FAFSA requires knowing what aid it unlocks.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: After the FAFSA (5 questions)

Practical skills beyond the standards: Filing the FAFSA; Appealing an aid offer

Content status: time-sensitive

Source: Federal Student Aid (FAFSA) — The FAFSA is the free application for federal grants, work-study, and loans; it calculates a Student Aid Index (SAI). Never pay to file it. https://studentaid.gov/h/apply-for-aid/fafsa

Source: New Jersey Higher Education Student Assistance Authority (HESAA) — New Jersey state aid programs, such as the Tuition Aid Grant (TAG), use the FAFSA or the New Jersey Alternative Financial Aid Application. https://www.hesaa.org/

Answer key for this set: M-Q1 D, M-Q2 C, M-Q3 B, M-Q4 B, M-Q5 A, B1-Q1 A, B1-Q2 B, B1-Q3 C, B1-Q4 D, B1-Q5 B, F1-Q1 A, F1-Q2 B, F1-Q3 C, F1-Q4 D, F1-Q5 D

MAIN — Explain how to apply for financial aid and the types of federal, state, and school aid · Question 1 of 5

Learn: The Free Application for Federal Student Aid (FAFSA) is used for federal grants (such as the Pell Grant), work-study, and federal loans. Many states and colleges use it for their own aid. It is free; never pay to file.

Kira wants federal grants, work-study, and federal loans for college. What should she do first?

A. Pay a service to apply for aid for her
B. Apply for a private student loan
C. Wait for colleges to send aid without applying
D. File the FAFSA

CORRECT ANSWER

D. File the FAFSA

Feedback (shown after answering)

The FAFSA is free and opens the door to federal, state, and college aid.

Why each other choice is wrong (misconception it represents)

A: Applying is free; paid services are unnecessary
B: Borrows before free aid
C: Federal aid requires an application

Type: instruction · practical how-to

MAIN — Explain how to apply for financial aid and the types of federal, state, and school aid · Question 2 of 5

Learn: The FAFSA is filed for each school year. Some state and school aid runs out, so deadlines and early filing matter. Check each college's and your state's deadline.

Why should Kira file the FAFSA as early as she can?

A. Filing late adds interest to every grant
B. Early filers are guaranteed a full scholarship
C. Some aid is limited and given out early
D. The FAFSA can be filed only once in a lifetime

CORRECT ANSWER

C. Some aid is limited and given out early

Feedback (shown after answering)

Limited funds go to early filers first; file every year.

Why each other choice is wrong (misconception it represents)

A: Grants do not charge interest
B: Invents a guarantee
D: It is filed each year

Type: instruction · practical how-to

MAIN — Explain how to apply for financial aid and the types of federal, state, and school aid · Question 3 of 5

Learn: The FAFSA calculates a Student Aid Index (SAI), which replaced the Expected Family Contribution. Colleges figure need as cost of attendance − SAI (and other aid).

Two students have the same cost of attendance. Student A's Student Aid Index (SAI) is $2,000; Student B's is $15,000. Who shows more financial need?

A. Student B
B. Student A
C. They show the same need
D. Neither, because the SAI is a credit score

CORRECT ANSWER

B. Student A

Feedback (shown after answering)

A lower SAI leaves a larger gap between cost and SAI, so Student A shows more need.

Why each other choice is wrong (misconception it represents)

A: Reverses the meaning of the SAI
C: Ignores the SAI
D: Confuses the SAI with a credit score

Type: instruction · rule as of FAFSA rules as of 2026

MAIN — Explain how to apply for financial aid and the types of federal, state, and school aid · Question 4 of 5

Learn: Financial need = cost of attendance − Student Aid Index.

Kira's COA is $30,000 and her SAI is $8,000. What is her financial need?

A. $8,000
B. $22,000
C. $30,000
D. $38,000

CORRECT ANSWER

B. $22,000

Feedback (shown after answering)

$30,000 − $8,000 = $22,000.

Recomputed independently by the build: 22000

Why each other choice is wrong (misconception it represents)

A: Gives the SAI
C: Gives the COA
D: Adds

Type: instruction

MAIN — Explain how to apply for financial aid and the types of federal, state, and school aid · Question 5 of 5

Learn: You create a StudentAid.gov account (FSA ID) and provide personal and tax information; parents may be "contributors" who consent to share tax data.

Which information is needed to complete the FAFSA?

A. Tax information for the student and contributors
B. Your Social Security card number shared on social media
C. A bank loan already approved
D. Your college acceptance letter

CORRECT ANSWER

A. Tax information for the student and contributors

Feedback (shown after answering)

The FAFSA uses tax information from the student and any contributors.

Why each other choice is wrong (misconception it represents)

B: Never share it publicly
C: Not required
D: Not required to file

Type: instruction · practical how-to

BACKWARD B1 · concept review — Kinds of financial aid · Question 1 of 5

A Pell Grant is...

A. Federal need-based aid that is not repaid
B. A private loan from a bank
C. A merit scholarship awarded by one college
D. A tax credit for college costs

CORRECT ANSWER

A. Federal need-based aid that is not repaid

Feedback (shown after answering)

Pell Grants are federal gift aid based on need.

Why each other choice is wrong (misconception it represents)

B: Not a loan
C: Federal, need-based
D: Confuses grants with tax credits

Type: knowledge check

BACKWARD B1 · concept review — Kinds of financial aid · Question 2 of 5

Merit aid is based on...

A. Only family income
B. Achievement, such as grades or talent
C. How much a student borrows
D. The student's Student Aid Index

CORRECT ANSWER

B. Achievement, such as grades or talent

Feedback (shown after answering)

Merit aid rewards achievement.

Why each other choice is wrong (misconception it represents)

A: Need-based
C: Confuses aid with loans
D: Confuses merit with need

Type: knowledge check

BACKWARD B1 · concept review — Kinds of financial aid · Question 3 of 5

Learn: States offer their own aid. In New Jersey, HESAA runs programs such as the Tuition Aid Grant (TAG).

New Jersey's Tuition Aid Grant (TAG) is an example of...

A. A federal loan
B. A private scholarship
C. State gift aid
D. A work-study job

CORRECT ANSWER

C. State gift aid

Feedback (shown after answering)

TAG is state need-based grant aid.

Why each other choice is wrong (misconception it represents)

A: State program
B: State program
D: Not employment

Type: instruction · rule as of As of 2026

BACKWARD B1 · concept review — Kinds of financial aid · Question 4 of 5

How often should a college student file the FAFSA?

A. Only once, before freshman year
B. Only if family income changes
C. Every four years
D. Every year

CORRECT ANSWER

D. Every year

Feedback (shown after answering)

Aid is awarded one year at a time.

Why each other choice is wrong (misconception it represents)

A: Must renew
B: Misses yearly renewal
C: Aid is yearly

Type: knowledge check

BACKWARD B1 · concept review — Kinds of financial aid · Question 5 of 5

$30,000 − $12,000 = ?

A. $12,000
B. $18,000
C. $28,000
D. $42,000

CORRECT ANSWER

B. $18,000

Feedback (shown after answering)

$30,000 − $12,000 = $18,000.

Recomputed independently by the build: 18000

Why each other choice is wrong (misconception it represents)

A: Gives the second number
C: Subtracts $2,000
D: Adds

Type: knowledge check

GO DEEPER 1 — After the FAFSA · Question 1 of 5

Learn: Compare award letters by net price (COA − gift aid), then look at how much would be borrowed.

Two award letters: College A net price $18,000 with $5,500 in loans offered; College B net price $15,000 with $9,000 in loans offered. Which has the lower net price?

A. College B, by $3,000
B. College A, by $3,000
C. College B, by $3,500
D. College A, by $3,500

CORRECT ANSWER

A. College B, by $3,000

Feedback (shown after answering)

$18,000 − $15,000 = $3,000 lower at B.

Recomputed independently by the build: 3000

Why each other choice is wrong (misconception it represents)

B: Reverses the comparison
C: Compares the loans
D: Uses the loans to decide

Type: instruction · practical how-to

GO DEEPER 1 — After the FAFSA · Question 2 of 5

Learn: Financial aid administrators can adjust aid for special circumstances with documentation.

A family's income dropped sharply after the year used on the FAFSA. What can they do?

A. Nothing; aid can never change
B. Ask the aid office for a professional judgment review
C. File a second FAFSA with made-up numbers
D. Wait until next year to mention it

CORRECT ANSWER

B. Ask the aid office for a professional judgment review

Feedback (shown after answering)

Aid offices can review special circumstances.

Why each other choice is wrong (misconception it represents)

A: Misses special circumstances
C: Fraud
D: Loses a chance for help

Type: instruction · practical how-to

GO DEEPER 1 — After the FAFSA · Question 3 of 5

A scholarship's rules say it is renewable if the student keeps a 3.0 GPA. Kira's GPA falls to 2.8. What likely happens?

A. It is paused but returns automatically next term
B. It turns into a loan she must repay
C. She may lose the scholarship
D. Nothing, since rules apply only to freshmen

CORRECT ANSWER

C. She may lose the scholarship

Feedback (shown after answering)

Renewal conditions matter; read them.

Why each other choice is wrong (misconception it represents)

A: Ignores renewal rules
B: Confuses losing aid with conversion
D: Invents an exception

Type: knowledge check

GO DEEPER 1 — After the FAFSA · Question 4 of 5

A $10,000 scholarship is renewable for 4 years. What is its total value if kept every year?

A. $2,500
B. $10,000
C. $14,000
D. $40,000

CORRECT ANSWER

D. $40,000

Feedback (shown after answering)

4 × $10,000 = $40,000.

Recomputed independently by the build: 40000

Why each other choice is wrong (misconception it represents)

A: Divides by 4
B: One year
C: Adds 4,000

Type: knowledge check

GO DEEPER 1 — After the FAFSA · Question 5 of 5

Federal aid has a "satisfactory academic progress" rule. What does that require?

A. Earning straight A's
B. Living on campus
C. Taking at least 18 credits each term
D. Passing enough classes at a minimum GPA

CORRECT ANSWER

D. Passing enough classes at a minimum GPA

Feedback (shown after answering)

Students must meet GPA and completion standards to keep aid.

Why each other choice is wrong (misconception it represents)

A: Overstates
B: Unrelated requirement
C: Overstates the rule

Type: knowledge check

SET 93 · Paying for College and Training

Student loans: federal, private, and interest

MAIN skill: Compare federal and private student loans and calculate interest that accrues during school

Outcome FL.COLLEGE.93 · National topic: Managing Credit · NJSLS 9.1.12: CDM, FI

Learning target: Compare federal and private student loans and calculate interest that accrues during school

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Simple interest over time (5 questions)
  - Why: Accrued interest on student loans uses $I = P \times r \times t$.
- B2 · Math link → G7-S10-M (Grade 7 7.RP.A.3): Find simple interest
  - Why: In-school interest on unsubsidized loans is simple interest.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Borrowing wisely (5 questions)

Practical skills beyond the standards: Reading a Master Promissory Note

Content status: time-sensitive

Source: Federal Student Aid (Loan types) — Interest on Direct Subsidized Loans is paid by the government while the student is in school at least half-time; Direct Unsubsidized Loans accrue interest from disbursement. Federal loan rates are fixed for the life of each loan and set each year. https://studentaid.gov/understand-aid/types/loans

Source: CFPB (Private student loans) — Private student loans may have variable rates, require a cosigner, and lack federal protections such as income-driven repayment. https://www.consumerfinance.gov/consumer-tools/student-loans/

Source: U.S. Department of Education (2022 final rule, interest capitalization) — Since July 1, 2023, Direct Loans no longer capitalize interest when a borrower enters repayment (some events still capitalize interest); private loans follow their own contracts. https://fsapartners.ed.gov/fsa-print/publication/1004279

Answer key for this set: M-Q1 C, M-Q2 D, M-Q3 B, M-Q4 D, M-Q5 C, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 C, B1-Q5 B, F1-Q1 C, F1-Q2 D, F1-Q3 B, F1-Q4 C, F1-Q5 A

MAIN — Compare federal and private student loans and calculate interest that accrues during school · Question 1 of 5

Learn: On a Direct Unsubsidized Loan, interest accrues (builds) from the day the money is paid out, even during school. Simple interest = principal × rate × time.

Kira borrows a $5,500 unsubsidized loan at 6%. Interest builds for 4 years while she is in school. How much simple interest accrues?

A. $0
B. $330
C. $1,320
D. $6,820

CORRECT ANSWER

C. $1,320

Feedback (shown after answering)

$5,500 × 0.06 × 4 = $1,320.

Recomputed independently by the build: 1320

Why each other choice is wrong (misconception it represents)

A: Treats it as subsidized
B: Uses 1 year
D: Gives the new balance

Type: instruction

MAIN — Compare federal and private student loans and calculate interest that accrues during school · Question 2 of 5

Learn: When unpaid interest is added to the principal, it is "capitalized," and future interest is charged on the larger balance. Private loan contracts set their own capitalization rules. Federal Direct Loans no longer capitalize interest when repayment first begins; unpaid interest is still owed, but it stays separate from principal except at certain events.

Kira has a private student loan of $5,500. Its contract says unpaid interest is added to the balance when repayment begins. $1,320 of interest is unpaid at that time. What is the new balance?

A. $1,320
B. $4,180
C. $5,500
D. $6,820

CORRECT ANSWER

D. $6,820

Feedback (shown after answering)

$5,500 + $1,320 = $6,820 under this private loan's contract.

Recomputed independently by the build: 6820

Why each other choice is wrong (misconception it represents)

A: Gives the interest only
B: Subtracts the interest
C: Ignores the added interest

Type: instruction

MAIN — Compare federal and private student loans and calculate interest that accrues during school · Question 3 of 5

Learn: For Direct Subsidized Loans (need-based), the government pays the interest while the student is in school at least half-time. For unsubsidized loans, the student is responsible for all interest.

What is the key difference between subsidized and unsubsidized federal loans?

A. Only unsubsidized loans must be repaid
B. Who pays the interest during school
C. Subsidized loans come from private banks
D. Unsubsidized loans have no interest at all

CORRECT ANSWER

B. Who pays the interest during school

Feedback (shown after answering)

Subsidized: government pays in-school interest. Unsubsidized: interest accrues.

Why each other choice is wrong (misconception it represents)

A: Both are repaid
C: Both are federal
D: Reverses the meaning

Type: instruction

MAIN — Compare federal and private student loans and calculate interest that accrues during school · Question 4 of 5

Learn: Federal loans have fixed rates set each year and protections such as income-driven repayment and deferment. Private loans depend on credit, often need a cosigner, may have variable rates, and have fewer protections.

Which is usually true of private student loans compared with federal ones?

A. They always have a lower fixed rate than federal loans
B. They include income-driven repayment by law
C. They need no credit check at all
D. They may need a cosigner

CORRECT ANSWER

D. They may need a cosigner

Feedback (shown after answering)

Private loans depend on credit and often need a cosigner.

Why each other choice is wrong (misconception it represents)

A: Not always
B: Federal feature
C: Private lenders check credit

Type: instruction

MAIN — Compare federal and private student loans and calculate interest that accrues during school · Question 5 of 5

In what order do experts usually suggest paying for college?

A. Private loans first, since they are easiest
B. Credit cards first, then grants
C. Gift aid and savings, then federal loans, then private
D. Federal loans before applying for grants

CORRECT ANSWER

C. Gift aid and savings, then federal loans, then private

Feedback (shown after answering)

Use free money first, then federal loans, and private loans last.

Why each other choice is wrong (misconception it represents)

A: Gives up protections
B: Most expensive debt first
D: Borrows before free money

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Simple interest over time · Question 1 of 5

Learn: Simple interest = principal × rate × years.

Simple interest on $1,000 at 5% for 2 years is...

A. $10
B. $50
C. $100
D. $1,100

CORRECT ANSWER

C. $100

Feedback (shown after answering)

$1,000 × 0.05 × 2 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Uses 0.5%
B: Uses 1 year
D: Gives the total

Type: instruction

BACKWARD B1 · concept review — Simple interest over time · Question 2 of 5

Write 6% as a decimal.

A. 0.006
B. 0.06
C. 0.6
D. 6.0

CORRECT ANSWER

B. 0.06

Feedback (shown after answering)

6 ÷ 100 = 0.06.

Recomputed independently by the build: 0.06

Why each other choice is wrong (misconception it represents)

A: Moves the decimal three places
C: Moves the decimal one place
D: Leaves it as a whole number

Type: knowledge check

BACKWARD B1 · concept review — Simple interest over time · Question 3 of 5

A loan "accrues interest." What does that mean?

A. Interest builds up over time
B. Interest is forgiven
C. Interest is charged only once, at the start
D. The rate is lowered over time

CORRECT ANSWER

A. Interest builds up over time

Feedback (shown after answering)

Accruing interest adds to what is owed.

Why each other choice is wrong (misconception it represents)

B: Reverses the meaning
C: Misunderstands accrual
D: Misreads the term

Type: knowledge check

BACKWARD B1 · concept review — Simple interest over time · Question 4 of 5

$3,000 at 4% for 3 years: simple interest?

A. $36
B. $120
C. $360
D. $3,360

CORRECT ANSWER

C. $360

Feedback (shown after answering)

$3,000 × 0.04 × 3 = $360.

Recomputed independently by the build: 360

Why each other choice is wrong (misconception it represents)

A: Misplaces a decimal
B: Uses 1 year
D: Gives the total

Type: knowledge check

BACKWARD B1 · concept review — Simple interest over time · Question 5 of 5

Which loan costs more by graduation, if both are $5,000 at the same rate?

A. The subsidized loan
B. The unsubsidized loan
C. They cost exactly the same
D. Neither charges interest ever

CORRECT ANSWER

B. The unsubsidized loan

Feedback (shown after answering)

Unsubsidized loans accrue interest during school.

Why each other choice is wrong (misconception it represents)

A: Interest is paid for you
C: Ignores accrual
D: Misunderstands student loans

Type: knowledge check

GO DEEPER 1 — Borrowing wisely · Question 1 of 5

Learn: On an unsubsidized loan, interest builds during school. Paying it as it builds means no unpaid interest is left to grow the debt or to be capitalized later.

Kira's $5,500 unsubsidized loan at 6% builds $27.50 of interest a month. If she pays that interest each month during 48 months of school, how much does she pay?

A. $27.50
B. $330
C. $1,320
D. $5,500

CORRECT ANSWER

C. $1,320

Feedback (shown after answering)

$27.50 × 48 = $1,320, and she owes only the $5,500 principal when school ends.

Recomputed independently by the build: 1320

Why each other choice is wrong (misconception it represents)

A: One month
B: One year
D: Gives the principal

Type: instruction

GO DEEPER 1 — Borrowing wisely · Question 2 of 5

A private loan has a variable rate starting at 5%. What could happen?

A. The rate can only go down
B. The rate is fixed by federal law
C. Payments stay the same no matter what
D. The rate and payment could rise

CORRECT ANSWER

D. The rate and payment could rise

Feedback (shown after answering)

Variable rates follow market rates up or down.

Why each other choice is wrong (misconception it represents)

A: Variable means it can rise
B: Private loans are not
C: Variable rates change payments

Type: knowledge check

GO DEEPER 1 — Borrowing wisely · Question 3 of 5

Learn: Origination fees are taken out before the money is sent, so the student receives less than the amount borrowed.

A federal loan has a 1% origination fee. On a $5,500 loan, how much is the fee?

A. $5.50
B. $55
C. $550
D. $5,445

CORRECT ANSWER

B. $55

Feedback (shown after answering)

$5,500 × 0.01 = $55.

Recomputed independently by the build: 55

Why each other choice is wrong (misconception it represents)

A: Uses 0.1%
C: Uses 10%
D: Gives the net amount

Type: instruction · rule as of Fee rates change each year

GO DEEPER 1 — Borrowing wisely · Question 4 of 5

A parent cosigns Kira's private loan. Who is responsible if Kira cannot pay?

A. No one; private loans are forgiven
B. The college that received the money
C. The parent
D. The federal government

CORRECT ANSWER

C. The parent

Feedback (shown after answering)

A cosigner is legally responsible for the debt.

Why each other choice is wrong (misconception it represents)

A: Believes in automatic forgiveness
B: Confuses lender and school
D: Private loan

Type: knowledge check

GO DEEPER 1 — Borrowing wisely · Question 5 of 5

Learn: Aid paperwork: the FAFSA applies for aid; the award letter lists what a college offers; the Master Promissory Note (MPN) is the legal promise to repay a federal loan, with its terms and rights. Entrance counseling explains the loan.

Which should Kira read before signing a federal loan?

A. The Master Promissory Note
B. Her financial aid award letter only
C. Her FAFSA confirmation page
D. The college's net price calculator

CORRECT ANSWER

A. The Master Promissory Note

Feedback (shown after answering)

The MPN is the loan contract.

Why each other choice is wrong (misconception it represents)

B: Shows aid offered, not loan terms
C: Confirms an application, not loan terms
D: Estimates cost, not loan terms

Type: instruction · practical how-to

SET 94 · Paying for College and Training

Repaying loans and return on investment

MAIN skill: Estimate student loan payments and judge borrowing against expected earnings

Outcome FL.COLLEGE.94 · National topic: Managing Credit · NJSLS 9.1.12: CDM, PB

Learning target: Estimate student loan repayment and evaluate the return on investment of education

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payments, totals, and time (5 questions)
  Why: Comparing repayment plans uses payment × months.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Total paid is a payment times the number of months.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Payment-to-income compares a payment with income as a percent.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Return on education (5 questions)

Practical skills beyond the standards: Contacting a loan servicer; Using College Scorecard

Content status: time-sensitive

Source: Federal Student Aid (Repayment) — Federal law changed student loan repayment options in 2025-2026; borrowers should check current plans, including income-driven options, at StudentAid.gov. https://studentaid.gov/manage-loans/repayment

Answer key for this set: M-Q1 B, M-Q2 C, M-Q3 A, M-Q4 B, M-Q5 D, B1-Q1 B, B1-Q2 C, B1-Q3 B, B1-Q4 C, B1-Q5 B, F1-Q1 A, F1-Q2 A, F1-Q3 C, F1-Q4 C, F1-Q5 B

MAIN — Estimate student loan payments and judge borrowing against expected earnings · Question 1 of 5

Learn: Most federal loans offer a standard 10-year plan. Total paid = payment × 120; interest = total paid − amount borrowed.

Kira borrows $27,000 at 6% on a 10-year plan. Her payment is $299.76 a month. How much interest will she pay in total?

A. $1,620.00
B. $8,971.20
C. $16,200.00
D. $35,971.20

CORRECT ANSWER

B. $8,971.20

Feedback (shown after answering)

$299.76 × 120 = $35,971.20; − $27,000 = $8,971.20.

Recomputed independently by the build: 8971.2

Why each other choice is wrong (misconception it represents)

A: Uses 6% for one year
C: Uses 6% simple interest for 10 years
D: Gives the total paid

Type: instruction

MAIN — Estimate student loan payments and judge borrowing against expected earnings · Question 2 of 5

Kira borrows $27,000 at 6% on a 20-year plan, with a payment of $193.44. How much interest is paid in total?

A. $8,971.20
B. $10,454.40
C. $19,425.60
D. $46,425.60

CORRECT ANSWER

C. $19,425.60

Feedback (shown after answering)

$193.44 × 240 = $46,425.60; − $27,000 = $19,425.60.

Recomputed independently by the build: 19425.6

Why each other choice is wrong (misconception it represents)

A: Gives the 10-year interest
B: Gives the extra interest only
D: Gives the total paid

Type: knowledge check

MAIN — Estimate student loan payments and judge borrowing against expected earnings · Question 3 of 5

Learn: Return on investment (ROI) compares what education costs with what it is likely to earn. A common rule of thumb: keep total borrowing at or below your expected starting salary.

A guideline says total student debt should not exceed the expected first-year salary. Kira expects $45,000. Which borrowing fits?

A. $27,000
B. $52,000
C. $60,000
D. $90,000

CORRECT ANSWER

A. $27,000

Feedback (shown after answering)

$27,000 is below $45,000.

Recomputed independently by the build: 27000

Why each other choice is wrong (misconception it represents)

B: Exceeds the salary
C: Exceeds the salary
D: Twice the salary

Type: instruction

MAIN — Estimate student loan payments and judge borrowing against expected earnings · Question 4 of 5

Kira's loan payment is $299.76, and she earns $3,750 a month. What percent of her income goes to the loan, to the nearest whole percent?

A. 3%
B. 8%
C. 12%
D. 80%

CORRECT ANSWER

B. 8%

Feedback (shown after answering)

$299.76 ÷ $3,750 ≈ 0.08 = 8%.

Recomputed independently by the build: 8

Why each other choice is wrong (misconception it represents)

A: Uses $10,000 monthly income
C: Divides by $2,500
D: Misplaces the decimal

Type: knowledge check

MAIN — Estimate student loan payments and judge borrowing against expected earnings · Question 5 of 5

Learn: Federal loans offer options such as deferment, forbearance, and income-driven repayment. Repayment rules changed in 2025-2026, so check StudentAid.gov for current plans. Default can lead to collections and wage garnishment.

Kira lost her job and cannot make her federal loan payment. What should she do first?

A. Stop paying and ignore the letters
B. Take a payday loan to pay it
C. Use a credit card to make the payments
D. Contact her servicer about options

CORRECT ANSWER

D. Contact her servicer about options

Feedback (shown after answering)

Contacting the loan servicer early opens options and avoids default.

Why each other choice is wrong (misconception it represents)

A: Leads to default
B: Costly debt
C: Trades one debt for a costlier one

Type: instruction · practical how-to · rule as of Federal repayment rules changing 2025-2026

BACKWARD B1 · concept review — Payments, totals, and time · Question 1 of 5

120 months is how many years?

A. 1.2
B. 10
C. 12
D. 100

CORRECT ANSWER

B. 10

Feedback (shown after answering)

120 ÷ 12 = 10.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Divides by 10
D: Rounds

Type: knowledge check

BACKWARD B1 · concept review — Payments, totals, and time · Question 2 of 5

$200 a month for 120 months is...

A. $320
B. $2,400
C. $24,000
D. $240,000

CORRECT ANSWER

C. $24,000

Feedback (shown after answering)

$200 × 120 = $24,000.

Recomputed independently by the build: 24000

Why each other choice is wrong (misconception it represents)

A: Adds
B: Drops a zero
D: Adds a zero

Type: knowledge check

BACKWARD B1 · concept review — Payments, totals, and time · Question 3 of 5

Paid $24,000 on a $20,000 loan. Interest was...

A. $2,000
B. $4,000
C. $24,000
D. $44,000

CORRECT ANSWER

B. $4,000

Feedback (shown after answering)

$24,000 − $20,000 = $4,000.

Recomputed independently by the build: 4000

Why each other choice is wrong (misconception it represents)

A: Halves
C: Gives the total
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Payments, totals, and time · Question 4 of 5

A longer repayment term usually means…

A. Higher payments and less interest
B. The same total interest
C. Lower payments but more total interest
D. No interest is charged after year 5 of repayment

CORRECT ANSWER

C. Lower payments but more total interest

Feedback (shown after answering)

Longer terms trade lower payments for more interest.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores time
D: Invents a rule

Type: knowledge check

BACKWARD B1 · concept review — Payments, totals, and time · Question 5 of 5

What is default on a federal student loan?

A. Choosing the standard plan
B. Failing to repay as agreed for a long period
C. Paying early
D. Being in school

CORRECT ANSWER

B. Failing to repay as agreed for a long period

Feedback (shown after answering)

Default follows long nonpayment and has serious consequences.

Why each other choice is wrong (misconception it represents)

A: Normal plan
C: Allowed
D: Not default

Type: knowledge check

GO DEEPER 1 — Return on education · Question 1 of 5

Learn: Payback time = cost ÷ yearly pay increase. It is a simple way to compare programs.

A certificate costs $12,000 and raises expected pay by $8,000 a year. How many years to earn back the cost?

A. 1.5 years
B. 0.67 years
C. 4 years
D. 20 years

CORRECT ANSWER

A. 1.5 years

Feedback (shown after answering)

$12,000 ÷ $8,000 = 1.5 years.

Recomputed independently by the build: 1.5

Why each other choice is wrong (misconception it represents)

B: Divides the raise by the cost
C: Divides by $3,000
D: Adds the amounts

Type: instruction

GO DEEPER 1 — Return on education · Question 2 of 5

Program A: $40,000 total cost, typical starting pay $55,000. Program B: $100,000 cost, starting pay $50,000. Which has the better debt-to-salary picture?

A. Program A
B. Program B, since it costs more
C. They are the same
D. Program B, because its tuition is higher

CORRECT ANSWER

A. Program A

Feedback (shown after answering)

A costs less and pays more.

Why each other choice is wrong (misconception it represents)

B: Cost is not quality
C: Ignores the numbers
D: Equates price with value

Type: knowledge check

GO DEEPER 1 — Return on education · Question 3 of 5

Where can students compare typical earnings and debt for a college's programs?

A. A social media influencer's post
B. A student loan lender's ad
C. The U.S. Department of Education's College Scorecard
D. A college's own brochure

CORRECT ANSWER

C. The U.S. Department of Education's College Scorecard

Feedback (shown after answering)

College Scorecard shows costs, debt, and earnings by school and field.

Why each other choice is wrong (misconception it represents)

A: Not a reliable data source
B: Not a neutral source
D: Not a neutral comparison

Type: knowledge check · practical how-to

GO DEEPER 1 — Return on education · Question 4 of 5

Learn: Apprenticeships and trade programs can lead to good jobs with little or no debt.

An apprenticeship pays $18 an hour while training, 2,000 hours a year. What does it earn in a year?

A. $2,018
B. $3,600
C. $36,000
D. $360,000

CORRECT ANSWER

C. $36,000

Feedback (shown after answering)

$18 × 2,000 = $36,000.

Recomputed independently by the build: 36000

Why each other choice is wrong (misconception it represents)

A: Adds
B: Drops a zero
D: Adds a zero

Type: instruction

GO DEEPER 1 — Return on education · Question 5 of 5

Kira compares a $20,000 loan at 10% ($264.30 a month) with one at 6% ($222.04) over 10 years. How much less total interest is paid at 6%?

A. $42.26
B. $5,071.20
C. $6,644.80
D. $11,716.00

CORRECT ANSWER

B. $5,071.20

Feedback (shown after answering)

$264.30 × 120 = $31,716; $222.04 × 120 = $26,644.80; difference $5,071.20.
Recomputed independently by the build: 5071.2

Why each other choice is wrong (misconception it represents)

A: Gives the monthly difference
C: Gives the 6% interest
D: Gives the 10% interest

Type: knowledge check

SET 95 · Entrepreneurship and Self-Employment

Revenue, costs, profit, and break-even

MAIN skill: Calculate profit and the break-even point for a small business

Outcome FL.BIZ.95 · National topic: Earning Income · NJSLS 9.1.12: PB, EG

Learning target: Calculate profit and break-even for a small business and explain the role of fixed and variable costs

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Revenue and costs (5 questions)
  - Why: Profit and break-even rest on separating revenue from costs.
- B2 · Math link → G8-S22-M (Grade 8 8.EE.C.8.c): Write and solve systems of linear equations for real-world problems
  - Why: Break-even is where the revenue line meets the cost line.
- B3 · Math link → ALG1-S20-M (Algebra 1 HSA-CED.A.1): Create linear equations and inequalities in one variable and use them to solve problems
  - Why: Profit goals lead to equations such as $12x - 600 = 360$.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Using break-even to plan (5 questions)
- Go Deeper 2: Cash flow and records (5 questions)

Practical skills beyond the standards: Finding a break-even point; Separating business and personal money

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 B, M-Q5 D, B1-Q1 B, B1-Q2 C, B1-Q3 B, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 B, F1-Q5 D, F2-Q1 A, F2-Q2 B, F2-Q3 C, F2-Q4 B, F2-Q5 C

MAIN — Calculate profit and the break-even point for a small business · Question 1 of 5

Learn: Revenue = price × number sold. Costs include fixed costs (the same no matter how many you sell, such as equipment) and variable costs (per item). Profit = revenue − total costs.

Dev sells custom T-shirts for $20 each. In May he sells 80 shirts. His costs are $600 for a heat press (fixed) and $8 per shirt for blanks and ink. What is his profit?

A. $360
B. $960
C. $1,000
D. $1,600

CORRECT ANSWER

A. $360

Feedback (shown after answering)

Revenue $1,600; costs $600 + 80 × $8 = $1,240; profit $360.

Recomputed independently by the build: 360

Why each other choice is wrong (misconception it represents)

B: Subtracts only the per-shirt costs
C: Subtracts only the fixed cost
D: Gives revenue, not profit

Type: instruction

MAIN — Calculate profit and the break-even point for a small business · Question 2 of 5

Learn: Each shirt adds price − variable cost toward fixed costs (the contribution per unit). Break-even units = fixed costs ÷ (price − variable cost).

Dev's fixed cost is $600; each shirt sells for $20 and costs $8 to make. How many shirts must he sell to break even?

A. 30
B. 50
C. 75
D. 600

CORRECT ANSWER

B. 50

Feedback (shown after answering)

$20 − $8 = $12 per shirt; $600 ÷ $12 = 50 shirts.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Divides by the $20 price
C: Divides by the $8 cost
D: Uses the fixed cost as the count

Type: instruction

MAIN — Calculate profit and the break-even point for a small business · Question 3 of 5

Learn: Variable costs rise with each item made; fixed costs stay the same as sales change.

Which is a variable cost for Dev's T-shirt business?

A. The heat press he bought once
B. Blank shirts
C. A yearly business registration fee
D. Monthly website hosting

CORRECT ANSWER

B. Blank shirts

Feedback (shown after answering)

Each shirt needs a blank, so blanks are variable.

Why each other choice is wrong (misconception it represents)

A: Fixed cost
C: Fixed cost
D: Fixed cost

Type: instruction

MAIN — Calculate profit and the break-even point for a small business · Question 4 of 5

Learn: Profit margin = profit ÷ revenue × 100. It shows how much of each sales dollar is kept.

Dev's revenue is $2,000 and his profit is $500. What is his profit margin?

A. 4%
B. 25%
C. 40%
D. 75%

CORRECT ANSWER

B. 25%

Feedback (shown after answering)

$500 ÷ $2,000 = 25%.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Divides revenue by profit
C: Divides by $1,250
D: Gives the share that went to costs

Type: instruction

MAIN — Calculate profit and the break-even point for a small business · Question 5 of 5

Before quitting a job to run a business full time, what should Dev check first?

A. Whether he has sold out of shirts once
B. Whether revenue is higher than last month
C. Whether he can buy more equipment on credit
D. Whether profits cover his living costs

CORRECT ANSWER

D. Whether profits cover his living costs

Feedback (shown after answering)

Profit, not revenue, must cover personal expenses, taxes, and savings.

Why each other choice is wrong (misconception it represents)

A: One sale is not steady profit
B: Revenue is not profit
C: Adds debt

Type: knowledge check

BACKWARD B1 · concept review — Revenue and costs · Question 1 of 5

Revenue means...

A. Money left after paying costs
B. Money received from sales
C. Money borrowed to start
D. Money paid to suppliers

CORRECT ANSWER

B. Money received from sales

Feedback (shown after answering)

Revenue is total sales.

Why each other choice is wrong (misconception it represents)

A: Profit
C: Debt
D: Costs

Type: knowledge check

BACKWARD B1 · concept review — Revenue and costs · Question 2 of 5

30 items sold at $15 each bring in...

A. $2
B. $45
C. $450
D. $4,500

CORRECT ANSWER

C. $450

Feedback (shown after answering)

30 × $15 = $450.

Recomputed independently by the build: 450

Why each other choice is wrong (misconception it represents)

A: Divides
B: Drops a zero
D: Adds a zero

Type: knowledge check

BACKWARD B1 · concept review — Revenue and costs · Question 3 of 5

Revenue $450, costs $300. Profit is...

A. -$150
B. $150
C. $300
D. $750

CORRECT ANSWER

B. $150

Feedback (shown after answering)

$450 − $300 = $150.

Recomputed independently by the build: 150

Why each other choice is wrong (misconception it represents)

A: Subtracts in the wrong order
C: Gives costs
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Revenue and costs · Question 4 of 5

What is a loss?

A. Costs greater than revenue
B. Revenue greater than costs
C. Selling more items
D. A fixed cost

CORRECT ANSWER

A. Costs greater than revenue

Feedback (shown after answering)

A loss happens when costs exceed revenue.

Why each other choice is wrong (misconception it represents)

B: Profit
C: Not a loss
D: Not a result

Type: knowledge check

BACKWARD B1 · concept review — Revenue and costs · Question 5 of 5

Which cost stays the same whether Dev sells 10 or 100 shirts?

A. Ink used per shirt
B. Shipping costs for each order
C. Blank shirts
D. His monthly booth rent

CORRECT ANSWER

D. His monthly booth rent

Feedback (shown after answering)

Rent is fixed.

Why each other choice is wrong (misconception it represents)

A: Variable
B: Variable
C: Variable

Type: knowledge check

GO DEEPER 1 — Using break-even to plan · Question 1 of 5

Learn: Units for a profit goal = (fixed costs + profit goal) ÷ contribution per unit.

Dev wants $480 profit a month. Fixed costs are $600 and each shirt adds $12 of contribution. How many shirts must he sell?

A. 24
B. 40
C. 50
D. 90

CORRECT ANSWER

D. 90

Feedback (shown after answering)

($600 + $480) ÷ $12 = 90 shirts.

Recomputed independently by the build: 90

Why each other choice is wrong (misconception it represents)

A: Divides by $20
B: Ignores the fixed costs
C: Gives break-even

Type: instruction

GO DEEPER 1 — Using break-even to plan · Question 2 of 5

Learn: A higher price raises the contribution per unit, so fewer sales are needed, if customers still buy.

If Dev raises the price to $24 (cost still $8; fixed $600), what is the new break-even point?

A. 50 shirts
B. 25 shirts
C. 37.5, so 38 shirts
D. 75 shirts, using $8

CORRECT ANSWER

C. 37.5, so 38 shirts

Feedback (shown after answering)

$24 − $8 = $16; $600 ÷ $16 = 37.5, so 38 shirts.

Recomputed independently by the build: 37.5

Why each other choice is wrong (misconception it represents)

A: Uses the old price
B: Divides by $24
D: Divides by $8

Type: instruction

GO DEEPER 1 — Using break-even to plan · Question 3 of 5

Cost: C = 600 + 8x. Revenue: R = 20x. Where do the two lines cross?

A. At x = 50
B. At x = 30
C. At x = 75
D. At x = 600

CORRECT ANSWER

A. At x = 50

Feedback (shown after answering)

20x = 600 + 8x gives 12x = 600, x = 50.
Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

B: Uses 600 ÷ 20
C: Uses 600 ÷ 8
D: Uses the intercept

Type: knowledge check

GO DEEPER 1 — Using break-even to plan · Question 4 of 5

Learn: Once fixed costs are covered, each extra sale adds its contribution: price − variable cost.

Dev sells shirts for $20 each; each costs $8 to make. Above the break-even point, how much profit does each extra shirt add?

A. $8
B. $12
C. $20
D. $28

CORRECT ANSWER

B. $12

Feedback (shown after answering)

Each shirt beyond break-even adds $20 − $8 = $12.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

A: Gives the cost
C: Gives the price
D: Adds price and cost

Type: instruction

GO DEEPER 1 — Using break-even to plan · Question 5 of 5

A supplier raises blanks from $8 to $10. With a $20 price and $600 fixed costs, what is the new break-even?

A. 50 shirts
B. 30 shirts
C. 20 shirts
D. 60 shirts

CORRECT ANSWER

D. 60 shirts

Feedback (shown after answering)

$20 − $10 = $10; $600 ÷ $10 = 60.
Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Uses the old cost
B: Divides by $20
C: Divides by $30

Type: knowledge check

GO DEEPER 2 — Cash flow and records · Question 1 of 5

Learn: Cash flow = money actually received − money actually paid in a period. Sales made on credit are not cash until collected (they are accounts receivable). A profitable business can still run short of cash when it pays before it gets paid.

In June, Dev collects $900 in cash from customers and pays $1,100 in cash for supplies for a big July order. He has no other cash coming in or going out. What is June's net cash flow?

A. -$200
B. $200
C. $900
D. $2,000

CORRECT ANSWER

A. -$200

Feedback (shown after answering)

$900 − $1,100 = −$200.

Recomputed independently by the build: -200

Why each other choice is wrong (misconception it represents)

B: Ignores the sign
C: Counts only money in
D: Adds

Type: instruction

GO DEEPER 2 — Cash flow and records · Question 2 of 5

Why should Dev keep business money in a separate account?

A. Banks forbid personal accounts for business
B. It makes records and taxes clearer
C. It doubles interest
D. It removes the need for taxes

CORRECT ANSWER

B. It makes records and taxes clearer

Feedback (shown after answering)

Separate accounts make tracking income and expenses easier.

Why each other choice is wrong (misconception it represents)

A: Not always
C: Confuses accounts with returns
D: Misunderstands taxes

Type: knowledge check · practical how-to

GO DEEPER 2 — Cash flow and records · Question 3 of 5

A customer owes Dev $250 and pays 30 days later. What is this unpaid amount called?

A. Accounts payable due
B. Fixed cost
C. Accounts receivable
D. Gross profit

CORRECT ANSWER

C. Accounts receivable

Feedback (shown after answering)

Money owed to the business is accounts receivable.

Why each other choice is wrong (misconception it represents)

A: Money Dev owes
B: A type of cost
D: A result

Type: knowledge check

GO DEEPER 2 — Cash flow and records · Question 4 of 5

Dev keeps $500 in a business reserve. Costs are $300 a month with no sales. How many months could he cover?

A. About 3 months
B. About 1.7 months
C. About 0.6 months
D. About 800 months

CORRECT ANSWER

B. About 1.7 months

Feedback (shown after answering)

$500 ÷ $300 ≈ 1.7 months.

Recomputed independently by the build: 1.666667

Why each other choice is wrong (misconception it represents)

A: Divides $900 by $300
C: Divides the wrong way
D: Adds the amounts

Type: knowledge check

GO DEEPER 2 — Cash flow and records · Question 5 of 5

Which record best supports a business expense at tax time?

A. A memory of the purchase
B. A note in his phone with the total
C. A receipt showing what was bought and when
D. A bank account balance alone

CORRECT ANSWER

C. A receipt showing what was bought and when

Feedback (shown after answering)

Receipts and invoices document expenses.

Why each other choice is wrong (misconception it represents)

A: Not documentation
B: Lacks proof
D: Lacks detail

Type: knowledge check · practical how-to

SET 96 · Entrepreneurship and Self-Employment

Self-employment taxes

MAIN skill: Estimate self-employment and income taxes for a small business and plan quarterly payments

Outcome FL.BIZ.96 · National topic: Earning Income · NJSLS 9.1.12: PB, CFR

Learning target: Estimate taxes on self-employment income and plan estimated payments

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Business deductions and tax forms (5 questions)

Why: Self-employment tax is charged on profit after deductible expenses.

B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100

Why: Self-employment tax is a percent of a percent of profit.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Keeping more of what you earn (5 questions)

Practical skills beyond the standards: Setting aside money for taxes; Keeping a mileage log

Content status: time-sensitive

Source: IRS (Self-employment tax) — Self-employment tax is 15.3% (12.4% Social Security and 2.9% Medicare) and is figured on 92.35% of net earnings from self-employment; it applies when net earnings are $400 or more. https://www.irs.gov/businesses/small-businesses-self-employed/self-employment-tax-social-security-and-medicare-taxes

Source: IRS (Estimated taxes) — People who expect to owe $1,000 or more after withholding and credits generally must pay estimated tax quarterly; safe harbors based on this year's or last year's tax can avoid the penalty. https://www.irs.gov/businesses/small-businesses-self-employed/estimated-taxes

Source: IRS (Am I required to file a Form 1099?) — For payments made after 2025, the general Form 1099-NEC reporting threshold for business payers is $2,000; income is taxable whether or not a form is issued. https://www.irs.gov/businesses/small-businesses-self-employed/am-i-required-to-file-a-form-1099-or-other-information-return

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 D, M-Q4 B, M-Q5 A, B1-Q1 D, B1-Q2 B, B1-Q3 C, B1-Q4 B, B1-Q5 C, F1-Q1 B, F1-Q2 B, F1-Q3 A, F1-Q4 A, F1-Q5 B

MAIN — Estimate self-employment and income taxes for a small business and plan quarterly payments · Question 1 of 5

Learn: Self-employed people report business income and expenses (on Schedule C). Net profit = income − deductible business expenses. Taxes are figured on net profit.

Dev's T-shirt business earns $28,000 in sales with $8,000 of business expenses. What is his net profit for taxes?

A. $8,000
B. $20,000
C. $28,000
D. $36,000

CORRECT ANSWER

B. $20,000

Feedback (shown after answering)

$28,000 − $8,000 = $20,000.

Recomputed independently by the build: 20000

Why each other choice is wrong (misconception it represents)

A: Gives expenses
C: Ignores expenses
D: Adds expenses

Type: instruction

MAIN — Estimate self-employment and income taxes for a small business and plan quarterly payments · Question 2 of 5

Learn: Employees pay 7.65% for Social Security and Medicare, and employers pay another 7.65%. Self-employed people pay both halves: 15.3%, figured on 92.35% of net profit. (Wages from other jobs and very high income can change the calculation.)

Self-employment tax is 15.3% of 92.35% of net profit. Dev has $20,000 of net profit, no wages from other jobs, and owes no Additional Medicare Tax. What is his self-employment tax?

A. $1,530.00
B. $2,825.91
C. $3,060.00
D. $18,470.00

CORRECT ANSWER

B. $2,825.91

Feedback (shown after answering)

$20,000 × 0.9235 = $18,470; × 0.153 = $2,825.91.

Recomputed independently by the build: 2825.91

Why each other choice is wrong (misconception it represents)

A: Uses 7.65% on $20,000
C: Takes 15.3% of the whole profit
D: Gives 92.35% of profit

Type: instruction · rule as of Tax year 2026

MAIN — Estimate self-employment and income taxes for a small business and plan quarterly payments · Question 3 of 5

Learn: If you expect to owe $1,000 or more after withholding and credits, the IRS generally expects quarterly estimated payments. Paying enough during the year, or meeting a safe harbor based on this year's or last year's tax, avoids an underpayment penalty.

Why do many self-employed people pay estimated taxes four times a year?

A. The IRS charges a fee for filing once a year
B. They pay no tax at the end of the year
C. Estimated taxes are optional gifts
D. No employer withholds tax from their pay

CORRECT ANSWER

D. No employer withholds tax from their pay

Feedback (shown after answering)

Without withholding, self-employed people pay as they go through estimated taxes.

Why each other choice is wrong (misconception it represents)

A: Invents a fee
B: They still file
C: Required when rules apply

Type: instruction · rule as of Tax year 2026

MAIN — Estimate self-employment and income taxes for a small business and plan quarterly payments · Question 4 of 5

Dev expects to owe $4,800 in total tax for the year. How much is each of four equal quarterly payments?

A. $400
B. $1,200
C. $4,800
D. $19,200

CORRECT ANSWER

B. $1,200

Feedback (shown after answering)

$4,800 ÷ 4 = $1,200.

Recomputed independently by the build: 1200

Why each other choice is wrong (misconception it represents)

A: Divides by 12
C: Pays it all each quarter
D: Multiplies by 4

Type: knowledge check

MAIN — Estimate self-employment and income taxes for a small business and plan quarterly payments · Question 5 of 5

A rule of thumb: set aside 25% to 30% of net profit for taxes. On $2,000 of monthly profit, what is the range?

A. $500 to $600
B. $50 to $60
C. $250 to $300
D. $1,400 to $1,500

CORRECT ANSWER

A. $500 to $600

Feedback (shown after answering)

25% × $2,000 = $500; 30% × $2,000 = $600.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

B: Uses 2.5% to 3%
C: Uses 12.5% to 15%
D: Gives what is left

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Business deductions and tax forms · Question 1 of 5

Learn: Ordinary and necessary costs of running a business can be deducted. Personal costs cannot.

Which is usually a deductible business expense for Dev?

A. His personal video game purchases
B. Lunch with his family on vacation
C. Clothes he wears to school
D. Ink used to print shirts he sells

CORRECT ANSWER

D. Ink used to print shirts he sells

Feedback (shown after answering)

Supplies for the business are deductible.

Why each other choice is wrong (misconception it represents)

A: Personal
B: Personal
C: Personal

Type: instruction

BACKWARD B1 · concept review — Business deductions and tax forms · Question 2 of 5

Learn: Businesses report payments to independent contractors on Form 1099-NEC once payments reach the reporting threshold, which became $2,000 for payments made in 2026. Payment apps may send Form 1099-K. Income is taxable whether or not a form is sent.

In tax year 2026, a design business paid Dev, an independent contractor, $2,500 for his work. Which form might the business send to report this payment?

A. Form W-2
B. Form 1099-NEC
C. Form W-4
D. Form 1040-ES voucher

CORRECT ANSWER

B. Form 1099-NEC

Feedback (shown after answering)

Contractor payments at or above the threshold are reported on 1099-NEC; smaller payments are still taxable income.

Why each other choice is wrong (misconception it represents)

A: For employees
C: For withholding
D: Used to pay estimates

Type: instruction · rule as of Tax year 2026 threshold

BACKWARD B1 · concept review — Business deductions and tax forms · Question 3 of 5

7.65% doubled is...

A. 7.65%
B. 14.3%
C. 15.3%
D. 76.5%

CORRECT ANSWER

C. 15.3%

Feedback (shown after answering)

7.65 × 2 = 15.3.

Recomputed independently by the build: 15.3

Why each other choice is wrong (misconception it represents)

A: Does not double
B: Adds wrong
D: Moves the decimal

Type: knowledge check

BACKWARD B1 · concept review — Business deductions and tax forms · Question 4 of 5

Income $5,000 and expenses $1,200. Net profit is...

A. $1,200
B. $3,800
C. $4,800
D. $6,200

CORRECT ANSWER

B. $3,800

Feedback (shown after answering)

$5,000 − $1,200 = $3,800.

Recomputed independently by the build: 3800

Why each other choice is wrong (misconception it represents)

A: Gives expenses
C: Subtracts $200
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Business deductions and tax forms · Question 5 of 5

Who pays Social Security and Medicare tax for a self-employed person?

A. The government
B. Their customers, through sales tax
C. The person, both halves
D. No one; they are exempt

CORRECT ANSWER

C. The person, both halves

Feedback (shown after answering)

Self-employed people pay both the employee and employer shares.

Why each other choice is wrong (misconception it represents)

A: Misunderstands payroll taxes
B: Confuses sales tax with payroll tax
D: Misunderstands self-employment tax

Type: knowledge check

GO DEEPER 1 — Keeping more of what you earn · Question 1 of 5

Learn: Instead of tracking every car cost, many self-employed people deduct business miles at the IRS standard rate, which changes each year. A mileage log is needed.

Dev drives 1,500 business miles. Assume a standard mileage rate of $0.70 per mile. What is the deduction?

A. $105
B. $1,050
C. $1,500
D. $2,142.86

CORRECT ANSWER

B. $1,050

Feedback (shown after answering)

1,500 × $0.70 = $1,050.

Recomputed independently by the build: 1050

Why each other choice is wrong (misconception it represents)

A: Drops a zero
C: Uses $1 a mile
D: Divides by 0.70

Type: instruction · rule as of Hypothetical rate; IRS sets it yearly

GO DEEPER 1 — Keeping more of what you earn · Question 2 of 5

A $1,000 deduction lowers taxable profit. If Dev's combined tax rate is about 27%, how much tax does it save?

A. $27
B. $270
C. $730
D. $1,000

CORRECT ANSWER

B. $270

Feedback (shown after answering)

$1,000 × 0.27 = $270.

Recomputed independently by the build: 270

Why each other choice is wrong (misconception it represents)

A: Uses 2.7%
C: Gives what remains
D: Treats a deduction as a credit

Type: knowledge check

GO DEEPER 1 — Keeping more of what you earn · Question 3 of 5

Self-employed people can save for retirement with which account?

A. A SEP IRA or solo 401(k)
B. A 403(b), which is for public school employees
C. A 529 plan, which is for education
D. A health savings account only

CORRECT ANSWER

A. A SEP IRA or solo 401(k)

Feedback (shown after answering)

SEP IRAs and solo 401(k)s are designed for self-employed people.

Why each other choice is wrong (misconception it represents)

B: Employer plan
C: Education account
D: Health account

Type: knowledge check

GO DEEPER 1 — Keeping more of what you earn · Question 4 of 5

Dev missed his estimated payments. What may happen?

A. He may owe a penalty and interest
B. Nothing ever happens
C. His business is closed automatically
D. He gets a bonus refund

CORRECT ANSWER

A. He may owe a penalty and interest

Feedback (shown after answering)

Underpaying estimated taxes can lead to penalties.

Why each other choice is wrong (misconception it represents)

B: Ignores penalties
C: Overstates
D: Reverses the effect

Type: knowledge check

GO DEEPER 1 — Keeping more of what you earn · Question 5 of 5

What is the main reason to track income and expenses all year?

A. To avoid ever paying tax
B. To report accurately and claim deductions
C. Because the IRS requires daily income reports
D. To raise his business credit score

CORRECT ANSWER

B. To report accurately and claim deductions

Feedback (shown after answering)

Good records support accurate returns and deductions.

Why each other choice is wrong (misconception it represents)

A: Illegal
C: Invents a rule
D: Confuses records with credit

Type: knowledge check

SET 97 · Entrepreneurship and Self-Employment

Business structures, pricing, and getting started

MAIN skill: Compare business structures and set prices using costs and markup

Outcome FL.BIZ.97 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: Compare business structures and use costs and markup to set prices

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Markup and percent increase (5 questions)
Why: Pricing uses percent increase on cost.

B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
Why: Markup is a percent increase on cost.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Pricing and planning (5 questions)

Practical skills beyond the standards: Registering to collect sales tax; Writing a simple business plan

Content status: time-sensitive

Source: U.S. Small Business Administration (Choose a business structure) — Sole proprietorships offer no separation between owner and business liabilities; LLCs and corporations can limit personal liability. https://www.sba.gov/business-guide/launch-your-business/choose-business-structure

Source: New Jersey Business Portal — New Jersey explains how to register a business, collect sales tax, and get required licenses. https://business.nj.gov/

Answer key for this set: M-Q1 C, M-Q2 D, M-Q3 C, M-Q4 B, M-Q5 C, B1-Q1 B, B1-Q2 C, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 C, F1-Q2 B, F1-Q3 C, F1-Q4 B, F1-Q5 B

MAIN — Compare business structures and set prices using costs and markup · Question 1 of 5

Learn: A sole proprietorship is one owner with no separate legal entity; it is simple but the owner is personally liable for business debts. An LLC or corporation is formed with the state and can limit personal liability.

Dev runs his business alone and has not registered any special structure. What is it, by default?

A. A corporation with shareholders
B. A limited liability company (LLC)
C. A sole proprietorship
D. A nonprofit organization

CORRECT ANSWER

C. A sole proprietorship

Feedback (shown after answering)

One owner with no separate entity is a sole proprietorship.

Why each other choice is wrong (misconception it represents)

A: Requires formation
B: Requires state filing
D: Requires formation and a mission

Type: instruction

MAIN — Compare business structures and set prices using costs and markup · Question 2 of 5

Learn: A limited liability company (LLC) is formed by filing with the state. It separates the business from the owner, which can protect the owner's personal assets from business debts.

What is the main advantage of forming an LLC?

A. It means the business pays no taxes at all
B. It guarantees the business will make a profit every year
C. It removes the need for any records
D. It can protect personal assets from business debts

CORRECT ANSWER

D. It can protect personal assets from business debts

Feedback (shown after answering)

LLCs can limit the owner's personal liability.

Why each other choice is wrong (misconception it represents)

A: Misunderstands LLC taxes
B: Confuses structure with success
C: Misunderstands LLC rules

Type: instruction

MAIN — Compare business structures and set prices using costs and markup · Question 3 of 5

Learn: Cost-plus pricing: price = cost × (1 + markup percent).

A mug costs Dev $6 to make. He uses a 50% markup on cost. What is the price?

A. $3
B. $6.50
C. $9
D. $12

CORRECT ANSWER

C. $9

Feedback (shown after answering)

$6 × 1.5 = $9.

Recomputed independently by the build: 9

Why each other choice is wrong (misconception it represents)

A: Gives the markup
B: Adds 50 cents
D: Doubles the cost

Type: instruction

MAIN — Compare business structures and set prices using costs and markup · Question 4 of 5

Dev sets a mug price from his costs, then checks what similar mugs sell for nearby. Why?

A. Competitors set his price by law
B. Prices must make sense to customers
C. He must always charge the lowest price
D. His costs alone decide what customers will pay

CORRECT ANSWER

B. Prices must make sense to customers

Feedback (shown after answering)

Good pricing covers costs and fits what customers will pay.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
C: Not required
D: Ignores demand

Type: knowledge check

MAIN — Compare business structures and set prices using costs and markup · Question 5 of 5

Learn: Businesses selling taxable goods in New Jersey register with the state, collect sales tax, and send it in. The New Jersey Business Portal explains the steps.

Dev wants to sell taxable items in New Jersey. What must he usually do?

A. Nothing until he earns $1 million
B. Ask customers to pay tax to the state themselves
C. Register and collect sales tax
D. Add tax only for out-of-state buyers

CORRECT ANSWER

C. Register and collect sales tax

Feedback (shown after answering)

Sellers register, collect sales tax, and remit it.

Why each other choice is wrong (misconception it represents)

A: Invents a threshold
B: Seller collects
D: Reverses the rule

Type: instruction · practical how-to · rule as of As of 2026

BACKWARD B1 · concept review — Markup and percent increase · Question 1 of 5

50% of $6 is...

A. $0.30
B. $3
C. $6.50
D. $12

CORRECT ANSWER

B. $3

Feedback (shown after answering)

$6 × 0.5 = $3.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Uses 5%
C: Adds
D: Doubles

Type: knowledge check

BACKWARD B1 · concept review — Markup and percent increase · Question 2 of 5

$10 increased by 20% is...

A. $2
B. $10.20
C. $12
D. $30

CORRECT ANSWER

C. $12

Feedback (shown after answering)

$10 × 1.2 = $12.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

A: Gives the increase
B: Adds 20 cents
D: Adds 20

Type: knowledge check

BACKWARD B1 · concept review — Markup and percent increase · Question 3 of 5

What is liability?

A. Legal responsibility for debts or damages
B. A type of business profit
C. Money owed to the business
D. Money in a business savings account

CORRECT ANSWER

A. Legal responsibility for debts or damages

Feedback (shown after answering)

Liability is legal responsibility.

Why each other choice is wrong (misconception it represents)

B: Confuses terms
C: Reverses direction
D: Confuses liabilities with assets

Type: knowledge check

BACKWARD B1 · concept review — Markup and percent increase · Question 4 of 5

Who owns a corporation?

A. Its customers
B. The state government that registers it
C. Its managers and employees
D. Its shareholders

CORRECT ANSWER

D. Its shareholders

Feedback (shown after answering)

Shareholders own corporations.

Why each other choice is wrong (misconception it represents)

A: Confuses customers with owners
B: Confuses registration with ownership
C: Confuses managers with owners

Type: knowledge check

BACKWARD B1 · concept review — Markup and percent increase · Question 5 of 5

A sole proprietor owes a business debt the business cannot pay. Who must pay it?

A. The owner personally
B. No one; the debt disappears
C. The state that registered the business
D. The customers who bought

CORRECT ANSWER

A. The owner personally

Feedback (shown after answering)

Sole proprietors are personally liable.

Why each other choice is wrong (misconception it represents)

B: Misunderstands liability
C: Confuses registration with liability
D: Misunderstands liability

Type: knowledge check

GO DEEPER 1 — Pricing and planning · Question 1 of 5

Learn: Markup percent = (price − cost) ÷ cost × 100. Margin uses price instead: (price − cost) ÷ price.

A cap costs $8 and sells for $12. What is the markup percent on cost?

A. 4%
B. 33%
C. 50%
D. 150%

CORRECT ANSWER

C. 50%

Feedback (shown after answering)

($12 − $8) ÷ $8 = 50%.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Gives dollars as percent
B: Divides by the price
D: Divides price by cost

Type: instruction

GO DEEPER 1 — Pricing and planning · Question 2 of 5

A cap costs $8 to make and sells for $12. What is the profit margin on price, to the nearest whole percent?

A. 4%
B. 33%
C. 50%
D. 67%

CORRECT ANSWER

B. 33%

Feedback (shown after answering)

$4 ÷ $12 ≈ 33%.

Recomputed independently by the build: 33

Why each other choice is wrong (misconception it represents)

A: Gives the dollars
C: Gives the markup
D: Gives cost ÷ price

Type: knowledge check

GO DEEPER 1 — Pricing and planning · Question 3 of 5

A simple business plan should include…

A. Only a logo
B. A promise of guaranteed profit in year one
C. Costs, prices, and expected sales
D. Only a list of possible business names

CORRECT ANSWER

C. Costs, prices, and expected sales

Feedback (shown after answering)

Plans estimate costs, revenue, and profit.

Why each other choice is wrong (misconception it represents)

A: Incomplete
B: Unrealistic
D: Incomplete plan

Type: knowledge check · practical how-to

GO DEEPER 1 — Pricing and planning · Question 4 of 5

Learn: Items needed to cover a fixed cost = fixed cost ÷ amount each item contributes after its own costs.

A pop-up booth costs $150 a day. Each item Dev sells brings in $6 after all its own costs (materials and fees), before paying for the booth. How many items cover the booth?

A. 15
B. 25
C. 144
D. 900

CORRECT ANSWER

B. 25

Feedback (shown after answering)

$150 ÷ $6 = 25.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Divides by $10
C: Subtracts
D: Multiplies

Type: instruction

GO DEEPER 1 — Pricing and planning · Question 5 of 5

Learn: The SBA and partners like SCORE offer free mentoring and guides.

Which free resource helps small business owners plan?

A. A paid "get rich quick" weekend seminar
B. The Small Business Administration (SBA)
C. A credit card company ad
D. A social media influencer's course

CORRECT ANSWER

B. The Small Business Administration (SBA)

Feedback (shown after answering)

The SBA offers free guidance.

Why each other choice is wrong (misconception it represents)

A: Scam risk
C: Not a planning resource
D: Not an official resource

Type: instruction · practical how-to

SET 98 · Consumer Protection, Fraud, and Digital Security

Identity theft: prevention and recovery

MAIN skill: Recognize signs of identity theft and follow the steps to recover

Outcome FL.PROTECT.98 · National topic: Managing Risk · NJSLS 9.1.12: RM, CP

Learning target: Identify ways to prevent identity theft and the steps to recover from it

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Personal information and why thieves want it (5 questions)
  - Why: Protecting identity starts with knowing which information is valuable.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Losses and liability limits compare amounts step by step.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Special cases of identity theft (5 questions)

Practical skills beyond the standards: Using IdentityTheft.gov; Freezing credit

Content status: time-sensitive

Source: FTC (IdentityTheft.gov) — IdentityTheft.gov creates a personal recovery plan and an FTC Identity Theft Report. https://www.identitytheft.gov/

Source: CFPB (Lost or stolen credit cards) — Under federal law, liability for unauthorized credit card charges is at most $50 (Regulation Z, 12 CFR 1026.12(b)). https://www.consumerfinance.gov/ask-cfpb/am-i-responsible-for-unauthorized-charges-if-my-credit-cards-are-lost-or-stolen-en-29/

Answer key for this set: M-Q1 D, M-Q2 D, M-Q3 A, M-Q4 B, M-Q5 C, B1-Q1 B, B1-Q2 A, B1-Q3 C, B1-Q4 B, B1-Q5 D, F1-Q1 C, F1-Q2 A, F1-Q3 B, F1-Q4 A, F1-Q5 D

MAIN — Recognize signs of identity theft and follow the steps to recover · Question 1 of 5

Learn: Identity theft is when someone uses your personal information, such as your name and Social Security number, to open accounts, file taxes, or get services. Signs include unfamiliar bills, accounts on your credit report, or calls from debt collectors about debts you do not owe.

Rosa gets a bill for a credit card she never opened. What is the most likely explanation?

A. The bank sends random cards to everyone as a gift
B. Her credit score rose and a card opened by itself
C. It is a normal reminder to apply for a card
D. Someone used her identity

CORRECT ANSWER

D. Someone used her identity

Feedback (shown after answering)

An unknown account is a key sign of identity theft.

Why each other choice is wrong (misconception it represents)

A: Banks do not open accounts without applications
B: Accounts do not open themselves
C: Misreads a bill as an offer

Type: instruction

MAIN — Recognize signs of identity theft and follow the steps to recover · Question 2 of 5

Learn: The Federal Trade Commission runs IdentityTheft.gov, which builds a recovery plan and an Identity Theft Report you can use with businesses and credit bureaus.

Which website gives a free, step-by-step recovery plan after identity theft?

A. A company that charges to "erase" the theft
B. The credit bureau's paid monitoring service
C. The bank where the fraud happened only
D. IdentityTheft.gov

CORRECT ANSWER

D. IdentityTheft.gov

Feedback (shown after answering)

IdentityTheft.gov is the free federal recovery site.

Why each other choice is wrong (misconception it represents)

A: Paid services cannot do more than you can for free
B: Paid monitoring is not a recovery plan
C: Misses the full recovery steps

Type: instruction · practical how-to

MAIN — Recognize signs of identity theft and follow the steps to recover · Question 3 of 5

Learn: A credit freeze limits access to your credit report, so most lenders that check it cannot approve new credit in your name until you lift the freeze. It is free at Equifax, Experian, and TransUnion. It does not stop misuse of existing accounts or every kind of identity theft, so also contact the business where the fraud happened and review your reports.

Rosa learns that someone opened a credit card account in her name. Which step should she take early to help prevent more new-credit fraud?

A. Freeze her credit at all three bureaus
B. Post her Social Security number to warn friends
C. Wait a year to see if it happens again
D. Close her own savings account and keep cash at home

CORRECT ANSWER

A. Freeze her credit at all three bureaus

Feedback (shown after answering)

Freezing all three reports helps block new credit accounts; it does not protect existing accounts.

Why each other choice is wrong (misconception it represents)

B: Spreads the information further
C: Lets more damage happen
D: Does not stop the theft

Type: instruction · practical how-to

MAIN — Recognize signs of identity theft and follow the steps to recover · Question 4 of 5

Which habit best protects Rosa's Social Security number?

A. Keeping her Social Security card in her wallet every day
B. Sharing it only when truly required
C. Writing it on forms that only ask for "ID"
D. Giving it to anyone who calls and says they are from a bank

CORRECT ANSWER

B. Sharing it only when truly required

Feedback (shown after answering)

Share your SSN only when required and keep the card at home.

Why each other choice is wrong (misconception it represents)

A: Easy to lose or steal
C: Overshares
D: Imposter risk

Type: knowledge check

MAIN — Recognize signs of identity theft and follow the steps to recover · Question 5 of 5

A company says Rosa's data was exposed in a data breach. Which response helps most?

A. Ignore it because breaches never affect individuals
B. Reply to the email with her full account numbers
C. Change passwords and watch her accounts
D. Stop using every bank forever

CORRECT ANSWER

C. Change passwords and watch her accounts

Feedback (shown after answering)

After a breach, change passwords, use multifactor authentication, check statements, and consider a freeze.

Why each other choice is wrong (misconception it represents)

A: Underestimates the risk
B: Phishing risk
D: Overreacts

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Personal information and why thieves want it · Question 1 of 5

Which information is most valuable to an identity thief?

A. Her ZIP code alone
B. A Social Security number
C. Her first name alone
D. Her library card number

CORRECT ANSWER

B. A Social Security number

Feedback (shown after answering)

SSNs can open accounts and file taxes in your name.

Why each other choice is wrong (misconception it represents)

A: Widely known; cannot open accounts alone
C: Widely known; cannot open accounts alone
D: Rarely useful for opening credit

Type: knowledge check

BACKWARD B1 · concept review — Personal information and why thieves want it · Question 2 of 5

Where should a Social Security card usually be kept?

A. Somewhere safe at home
B. In a phone case
C. Taped inside a car
D. In a backpack every day

CORRECT ANSWER

A. Somewhere safe at home

Feedback (shown after answering)

Keep it in a safe place, not on you.

Why each other choice is wrong (misconception it represents)

B: Easy to lose
C: Easy to steal
D: Easy to lose

Type: knowledge check

BACKWARD B1 · concept review — Personal information and why thieves want it · Question 3 of 5

Which document should be shredded before throwing it out?

A. A takeout menu
B. A plain envelope with no address
C. An old bank statement
D. A store coupon

CORRECT ANSWER

C. An old bank statement

Feedback (shown after answering)

Statements contain account numbers.

Why each other choice is wrong (misconception it represents)

A: Contains no personal data
B: Contains no personal data
D: Contains no personal data

Type: knowledge check

BACKWARD B1 · concept review — Personal information and why thieves want it · Question 4 of 5

How many major consumer credit bureaus are there?

A. 1
B. 3
C. 5
D. 50

CORRECT ANSWER

B. 3

Feedback (shown after answering)

Equifax, Experian, and TransUnion.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Undercounts
C: Overcounts
D: Confuses with states

Type: knowledge check

BACKWARD B1 · concept review — Personal information and why thieves want it · Question 5 of 5

How can Rosa spot an account she did not open?

A. Check her bank balance only
B. Wait for a debt collector to call
C. Ask the thief to tell her
D. Review her free credit reports

CORRECT ANSWER

D. Review her free credit reports

Feedback (shown after answering)

Credit reports list accounts in your name.

Why each other choice is wrong (misconception it represents)

A: Misses accounts at other lenders
B: Too late
C: Unrealistic

Type: knowledge check

GO DEEPER 1 — Special cases of identity theft · Question 1 of 5

Learn: In tax identity theft, a thief files a return with someone else's SSN to steal a refund. A rejection for a duplicate SSN can also come from a filing or data error, such as a dependent claimed on another return, so check before concluding. The IRS offers an Identity Protection PIN to help prevent it.

The IRS rejects Rosa's e-filed return because a return was already filed with her SSN. What may this indicate, and what should she do?

A. She filed twice by accident, so she should ignore it
B. Her employer filed her return for her
C. Possible tax identity theft; investigate with the IRS
D. The IRS lost her return, so nothing can be done

CORRECT ANSWER

C. Possible tax identity theft; investigate with the IRS

Feedback (shown after answering)

A duplicate-SSN rejection may signal tax identity theft; she should check for errors and follow the IRS identity theft steps.

Why each other choice is wrong (misconception it represents)

A: Assumes an error without checking
B: Employers do not file personal returns
D: Misreads the rejection

Type: instruction

GO DEEPER 1 — Special cases of identity theft · Question 2 of 5

Learn: Parents can request a credit freeze for children under 16.

Why do thieves target children's identities?

A. Theft can go unnoticed for years
B. Children have high credit limits
C. Children's SSNs expire at 18
D. Banks require children to have cards

CORRECT ANSWER

A. Theft can go unnoticed for years

Feedback (shown after answering)

Children rarely check credit, so theft can go unnoticed.

Why each other choice is wrong (misconception it represents)

B: They usually have no credit
C: Invents a rule
D: Invents a rule

Type: instruction

GO DEEPER 1 — Special cases of identity theft · Question 3 of 5

Someone used Rosa's information to see a doctor. Which records might be wrong?

A. Her credit card statements only
B. Her medical records
C. Her school records
D. Her car registration

CORRECT ANSWER

B. Her medical records

Feedback (shown after answering)

Medical identity theft can put false information in medical records.

Why each other choice is wrong (misconception it represents)

A: Misses medical records
C: Unrelated records
D: Unrelated records

Type: knowledge check

GO DEEPER 1 — Special cases of identity theft · Question 4 of 5

Learn: Federal law caps liability for unauthorized credit card charges at $50, and many issuers offer $0 liability.

A thief made $2,400 of fraudulent charges on Rosa's credit card. Under federal law, what is the most she can be held liable for?

A. $50
B. $500
C. $1,200
D. $2,400

CORRECT ANSWER

A. $50

Feedback (shown after answering)

Liability is capped at $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

B: Confuses with a debit card rule
C: Halves the charges
D: Ignores the federal limit

Type: instruction · rule as of Federal law as of 2026

GO DEEPER 1 — Special cases of identity theft · Question 5 of 5

Rosa needs to apply for a car loan but has a freeze. What should she do?

A. Remove the freeze permanently forever
B. Apply under a friend's name
C. Give up on the loan
D. Temporarily lift the freeze

CORRECT ANSWER

D. Temporarily lift the freeze

Feedback (shown after answering)

A freeze can be lifted for a set time and then returns.

Why each other choice is wrong (misconception it represents)

A: Not needed
B: Fraud
C: Unnecessary

Type: knowledge check · practical how-to

SET 99 · Consumer Protection, Fraud, and Digital Security

Recognizing and avoiding scams

MAIN skill: Identify common scams and their warning signs, and respond safely

Outcome FL.PROTECT.99 · National topic: Managing Risk · NJSLS 9.1.12: RM, FP

Learning target: Identify common types of fraud and scams and the actions to take if victimized

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payment methods and how hard they are to undo (5 questions)
  - Why: Scammers choose payments that are hard to reverse.
- B2 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Scam losses add up the money sent and the goods lost.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Scams targeting young people (5 questions)

Practical skills beyond the standards: Reporting fraud to the FTC; Spotting fake check scams

Content status: time-sensitive

Source: FTC (Scams) — Scammers pretend to be from trusted organizations, create urgency, and ask for payment by gift card, wire, cryptocurrency, or payment app. https://consumer.ftc.gov/features/scam-alerts

Source: FTC (Fake check scams) — Banks must make deposited funds available quickly, but a fake check can bounce days later and the depositor must repay the bank.
https://consumer.ftc.gov/articles/how-spot-avoid-and-report-fake-check-scams

Source: New Jersey Division of Consumer Affairs — New Jersey residents can file consumer complaints with the Division of Consumer Affairs, which enforces the New Jersey Consumer Fraud Act. https://www.njconsumeraffairs.gov/

Answer key for this set: M-Q1 B, M-Q2 C, M-Q3 D, M-Q4 A, M-Q5 B, B1-Q1 C, B1-Q2 A, B1-Q3 D, B1-Q4 B, B1-Q5 C, F1-Q1 A, F1-Q2 D, F1-Q3 B, F1-Q4 D, F1-Q5 B

MAIN — Identify common scams and their warning signs, and respond safely · Question 1 of 5

Learn: Scam warning signs: a caller pretends to be from a trusted group, there is a problem or a prize, pressure to act now, and a demand to pay in a specific way (gift cards, wire transfer, cryptocurrency, or payment app). Government agencies do not demand gift cards.

A caller says he is from the "Social Security office," your number is suspended, and you must pay today with gift cards. Which warning sign appears?

A. The caller uses a polite tone of voice
B. Demanding payment by gift card
C. The call comes during business hours
D. The caller knows that you have a phone

CORRECT ANSWER

B. Demanding payment by gift card

Feedback (shown after answering)

Real agencies never ask for payment by gift card.

Why each other choice is wrong (misconception it represents)

A: Politeness is not a warning sign
C: Timing is not the sign
D: Not a warning sign

Type: instruction

MAIN — Identify common scams and their warning signs, and respond safely · Question 2 of 5

Learn: In a fake check scam, the scammer overpays with a fake check and asks for the difference back. Banks make deposits available quickly, but the check can bounce days later and the depositor must repay the bank.

Rosa sells a bike online for $300. The buyer mails a check for $1,500 and asks her to send back $1,200. Rosa deposits the check, ships the bike, and sends $1,200 by payment app. A week later the check bounces, and the bank takes back the $1,500; the other $300 of it is still in her account at that time. Not counting any bank fees, what has Rosa lost?

A. Nothing, since the bank cleared the check
B. Only the $300 bike price
C. $1,200 plus the bike
D. $1,500 but she keeps the bike

CORRECT ANSWER

C. $1,200 plus the bike

Feedback (shown after answering)

The bank reverses the $1,500: $300 comes from what is left of the deposit, and the $1,200 she sent is gone, along with the bike she shipped.

Recomputed independently by the build: 1200

Why each other choice is wrong (misconception it represents)

A: "Available" does not mean the check is good
B: Ignores the money she sent
D: Misreads what she sent

Type: instruction

MAIN — Identify common scams and their warning signs, and respond safely · Question 3 of 5

A job posting pays $40 an hour to "reship packages" after you pay $99 for a starter kit. What is the best response?

A. Pay the fee because good jobs require investment
B. Give your bank login so they can send pay
C. Reship the packages to earn trust first
D. Avoid it; it shows scam signs

CORRECT ANSWER

D. Avoid it; it shows scam signs

Feedback (shown after answering)

Paying to get a job and reshipping packages are classic scam signs.

Why each other choice is wrong (misconception it represents)

A: Real employers do not charge to hire
B: Never share logins
C: Could involve stolen goods

Type: knowledge check

MAIN — Identify common scams and their warning signs, and respond safely · Question 4 of 5

A pop-up says Rosa's computer has a virus and to call a number for "tech support." What should she do?

A. Close the page and not call
B. Call and give the support agent remote access
C. Pay with a gift card for a quick fix
D. Share her passwords so they can test them

CORRECT ANSWER

A. Close the page and not call

Feedback (shown after answering)

Real tech companies do not use pop-ups with phone numbers; close it and run trusted security software.

Why each other choice is wrong (misconception it represents)

B: Lets scammers in
C: Payment red flag
D: Never share passwords

Type: knowledge check · practical how-to

MAIN — Identify common scams and their warning signs, and respond safely · Question 5 of 5

Learn: Report fraud to the FTC at ReportFraud.ftc.gov, to your bank or payment app right away, and to state agencies such as the New Jersey Division of Consumer Affairs.

Rosa was scammed. Where should she report it?

A. Only to the scammer, to ask for a refund
B. ReportFraud.ftc.gov
C. Nowhere, since reporting does nothing
D. A website that promises to recover money for a fee

CORRECT ANSWER

B. ReportFraud.ftc.gov

Feedback (shown after answering)

The FTC collects scam reports; contact your bank quickly too.

Why each other choice is wrong (misconception it represents)

A: Will not help
C: Reports help stop scams
D: Recovery scam

Type: instruction · practical how-to

BACKWARD B1 · concept review — Payment methods and how hard they are to undo · Question 1 of 5

Which payment is hardest to get back after a scam?

A. A credit card purchase you dispute
B. A check you stop in time
C. Gift card codes
D. A debit card charge reported quickly

CORRECT ANSWER

C. Gift card codes

Feedback (shown after answering)

Gift card codes are like cash once shared.

Why each other choice is wrong (misconception it represents)

A: Dispute rights exist
B: Can be stopped
D: Protections exist

Type: knowledge check

BACKWARD B1 · concept review — Payment methods and how hard they are to undo · Question 2 of 5

Which payment gives the strongest legal protection for online shopping?

A. A credit card
B. A wire transfer
C. Cryptocurrency
D. A gift card

CORRECT ANSWER

A. A credit card

Feedback (shown after answering)

Credit cards have federal dispute rights and liability limits.

Why each other choice is wrong (misconception it represents)

B: Hard to reverse
C: Hard to reverse
D: Like cash

Type: knowledge check

BACKWARD B1 · concept review — Payment methods and how hard they are to undo · Question 3 of 5

"Act now or lose this offer!" is an example of...

A. Good, helpful customer service
B. A legal requirement for limited offers
C. A normal sale with a deadline
D. Pressure to act quickly

CORRECT ANSWER

D. Pressure to act quickly

Feedback (shown after answering)

Urgency pushes victims to skip checking.

Why each other choice is wrong (misconception it represents)

A: Misreads pressure
B: Believes urgency is required by law
C: Misses the pressure tactic

Type: knowledge check

BACKWARD B1 · concept review — Payment methods and how hard they are to undo · Question 4 of 5

A check for $1,500 pays a $300 item. How much is the overpayment?

A. $300
B. $1,200
C. $1,500
D. $1,800

CORRECT ANSWER

B. $1,200

Feedback (shown after answering)

$1,500 − $300 = $1,200.

Recomputed independently by the build: 1200

Why each other choice is wrong (misconception it represents)

A: Gives the price
C: Gives the check amount
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Payment methods and how hard they are to undo · Question 5 of 5

If a message says you won a prize but must pay a fee to claim it, it is probably…

A. A normal contest rule
B. A sweepstakes tax the winner must prepay
C. A scam
D. A real prize with a shipping fee

CORRECT ANSWER

C. A scam

Feedback (shown after answering)

Paying to receive a prize is a scam sign.

Why each other choice is wrong (misconception it represents)

A: Real prizes do not require fees
B: Believes winners pay tax to the sponsor
D: Believes fees can be normal for prizes

Type: knowledge check

GO DEEPER 1 — Scams targeting young people · Question 1 of 5

Learn: Money mules move stolen money for criminals, often recruited online. It can lead to frozen accounts and criminal charges.

An online friend Rosa has never met asks her to receive money and forward it. What is she being asked to do?

A. Act as a money mule
B. Join a legitimate savings club
C. Open a normal business account
D. Help a charity process donations

CORRECT ANSWER

A. Act as a money mule

Feedback (shown after answering)

Forwarding money for strangers can make you a money mule.

Why each other choice is wrong (misconception it represents)

B: Misreads the request
C: Misreads the request
D: Misreads the request

Type: instruction

GO DEEPER 1 — Scams targeting young people · Question 2 of 5

A website sells sneakers worth $200 for $40 and accepts only payment apps. What is the best move?

A. Buy several pairs to resell
B. Pay with a gift card for a discount
C. Send money first and check reviews later
D. Buy elsewhere

CORRECT ANSWER

D. Buy elsewhere

Feedback (shown after answering)

A huge discount plus unusual payment is a red flag.

Why each other choice is wrong (misconception it represents)

A: Doubles the loss
B: Hard to reverse
C: Too late

Type: knowledge check

GO DEEPER 1 — Scams targeting young people · Question 3 of 5

A "friend" messages from a new account asking to borrow $100 urgently. What should Rosa do?

A. Send the money right away
B. Contact the friend another way to check
C. Send half to be safe
D. Ask for the friend's password to verify

CORRECT ANSWER

B. Contact the friend another way to check

Feedback (shown after answering)

Verify through a known channel before sending money.

Why each other choice is wrong (misconception it represents)

A: Imposter risk
C: Still risky
D: Never ask for passwords

Type: knowledge check · practical how-to

GO DEEPER 1 — Scams targeting young people · Question 4 of 5

Rosa paid a scammer $200 with a debit card and reports it the same day. What should she ask the bank to do?

A. Wait a month to see if it resolves
B. Ask the scammer for a refund first
C. Send more money to test it
D. Dispute the charge and block the card

CORRECT ANSWER

D. Dispute the charge and block the card

Feedback (shown after answering)

Quick reporting gives the best chance of recovery.

Why each other choice is wrong (misconception it represents)

A: Delays reporting
B: Relies on the scammer
C: Unsafe

Type: knowledge check · practical how-to

GO DEEPER 1 — Scams targeting young people · Question 5 of 5

A "recovery service" offers to get Rosa's lost money back for an upfront fee. What is it likely to be?

A. A government program
B. Another scam
C. A required step before reporting
D. A bank's official fraud refund program

CORRECT ANSWER

B. Another scam

Feedback (shown after answering)

Recovery scams target people who were already scammed.

Why each other choice is wrong (misconception it represents)

A: Government help is free
C: Believes recovery must be paid first
D: Banks do not charge upfront fees

Type: knowledge check

SET 100 · Consumer Protection, Fraud, and Digital Security

Consumer rights and where to get help

MAIN skill: Use federal and state consumer protections and file a complaint

Outcome FL.PROTECT.100 · National topic: Managing Risk · NJSLS 9.1.12: RM, CFR

Learning target: Describe consumer protection laws and how to file complaints

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: What consumer protection laws do (5 questions)

Why: Each law protects a different kind of transaction.

B2 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers

Why: Liability questions compare a loss with a legal limit.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Using your rights (5 questions)

Practical skills beyond the standards: Filing a CFPB complaint; Disputing a debt

Content status: time-sensitive

Source: CFPB (Regulation E, 12 CFR 1005.6) — Liability for unauthorized debit card use is limited to $50 if reported within 2 business days after learning of the loss or theft, up to $500 if reported later, and can be unlimited for later transfers if not reported within 60 days after the statement is sent. https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

Source: CFPB (Lost or stolen credit cards) — Under federal law, liability for unauthorized credit card charges is at most $50 (Regulation Z, 12 CFR 1026.12(b)). https://www.consumerfinance.gov/ask-cfpb/am-i-responsible-for-unauthorized-charges-if-my-credit-cards-are-lost-or-stolen-en-29/

Source: CFPB (Submit a complaint) — Consumers can submit complaints about financial products; the CFPB forwards them to companies for a response. https://www.consumerfinance.gov/complaint/

Source: FTC (Cooling-Off Rule) — The Cooling-Off Rule lets buyers cancel covered sales of $25 or more at their home, or $130 or more at temporary locations, until midnight of the third business day (Saturday counts; Sundays and federal holidays do not); some sales are excluded. https://consumer.ftc.gov/articles/buyers-remorse-ftcs-cooling-rule-may-help

Source: New Jersey Division of Consumer Affairs — New Jersey residents can file consumer complaints with the Division of Consumer Affairs, which enforces the New Jersey Consumer Fraud Act. https://www.njconsumeraffairs.gov/

Source: CFPB (Regulation Z, 12 CFR 1026.13) — A billing-error notice is timely when the creditor receives it in writing at its billing-inquiries address within 60 days after transmitting the statement that first shows the error. https://www.consumerfinance.gov/rules-policy/regulations/1026/13/

Source: CFPB (Regulation F, 12 CFR 1006.34) — The 30-day validation period starts when the consumer receives the validation information; a written dispute within it pauses collection until verification is sent. https://www.consumerfinance.gov/rules-policy/regulations/1006/34/

Answer key for this set: M-Q1 A, M-Q2 C, M-Q3 C, M-Q4 A, M-Q5 C, B1-Q1 C, B1-Q2 B, B1-Q3 D, B1-Q4 B, B1-Q5 D, F1-Q1 C, F1-Q2 B, F1-Q3 A, F1-Q4 B, F1-Q5 A

MAIN — Use federal and state consumer protections and file a complaint · Question 1 of 5

Learn: Federal rules (Regulation E) limit debit card losses: $50 if you report within 2 business days of learning of the loss; up to $500 if later; and possibly unlimited if not reported within 60 days after the statement. Many banks offer more protection.

Rosa's debit card is stolen. She reports it within 2 business days of noticing. Thieves spent $700. What is her most liability under federal rules?

A. $50
B. $700
C. $500
D. $0 in every case

CORRECT ANSWER

A. $50

Feedback (shown after answering)

Reported within 2 business days, her liability is at most $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

B: Ignores the rule
C: Uses the limit for later reporting
D: Overstates the federal rule

Type: instruction · rule as of Regulation E as of 2026

MAIN — Use federal and state consumer protections and file a complaint · Question 2 of 5

Learn: Federal rules (Regulation E) limit debit card losses, counted from when you learn of the loss: up to $50 if you report within 2 business days, and up to $500 if you report later. If you do not report unauthorized transfers within 60 days after the statement showing them, you can be liable for later transfers the bank could have stopped.

Rosa's debit card is stolen and used for $700. She reports it 10 days after she learned it was stolen, which is more than 2 business days later but before 60 days after her statement. What is the most she could owe?

A. $50
B. $200
C. $500
D. $700

CORRECT ANSWER

C. $500

Feedback (shown after answering)

Reporting more than 2 business days after learning of the theft raises the limit to $500.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Applies the limit for reporting within 2 business days
B: Subtracts the limit
D: Applies no limit

Type: instruction · rule as of Regulation E as of 2026

MAIN — Use federal and state consumer protections and file a complaint · Question 3 of 5

Learn: The CFPB accepts complaints about banks, credit cards, loans, and credit reports and sends them to companies for a response. New Jersey residents can also contact the Division of Consumer Affairs.

Rosa's company will not fix a problem with her bank account. Where can she file a complaint?

A. The company's competitor
B. A social media influencer
C. The Consumer Financial Protection Bureau
D. The U.S. Postal Service

CORRECT ANSWER

C. The Consumer Financial Protection Bureau

Feedback (shown after answering)

The CFPB handles complaints about financial products.

Why each other choice is wrong (misconception it represents)

A: Not a regulator
B: Not a regulator
D: Wrong agency

Type: instruction · practical how-to

MAIN — Use federal and state consumer protections and file a complaint · Question 4 of 5

Learn: The Fair Debt Collection Practices Act bars collectors from harassment, threats, and calls before 8 a.m. or after 9 p.m. It also gives you the right to dispute a debt and get validation.

A debt collector calls Rosa at 2 a.m. and threatens jail. What is true?

A. This breaks federal debt collection rules
B. Collectors may call anytime
C. Unpaid debts send people to jail
D. She must pay immediately to stop the calls

CORRECT ANSWER

A. This breaks federal debt collection rules

Feedback (shown after answering)

Late-night calls and false threats violate the FDCPA.

Why each other choice is wrong (misconception it represents)

B: Hours are limited
C: Civil debts do not
D: She has dispute rights

Type: instruction

MAIN — Use federal and state consumer protections and file a complaint · Question 5 of 5

Learn: The FTC Cooling-Off Rule lets buyers cancel many sales made at their home for $25 or more, or at temporary locations such as hotel rooms or fairgrounds for $130 or more, within three business days. Saturday counts as a business day; Sundays and federal holidays do not. Some sales, such as real estate, insurance, and emergency repairs, are excluded.

A salesperson sells Rosa a $400 vacuum at her home. Under the FTC Cooling-Off Rule, how long does she have to cancel?

A. 30 calendar days
B. One day
C. Three business days
D. No time; home sales are final

CORRECT ANSWER

C. Three business days

Feedback (shown after answering)

A $400 sale at her home is covered: three business days to cancel.

Why each other choice is wrong (misconception it represents)

A: Confuses with store return policies
B: Undercounts
D: Ignores the rule

Type: instruction · rule as of FTC rule as of 2026

BACKWARD B1 · concept review — What consumer protection laws do · Question 1 of 5

Which law limits harassment by debt collectors?

A. The Fair Labor Standards Act (minimum wage)
B. The Clean Air Act
C. The Fair Debt Collection Practices Act
D. The Affordable Care Act

CORRECT ANSWER

C. The Fair Debt Collection Practices Act

Feedback (shown after answering)

The FDCPA governs debt collectors.

Why each other choice is wrong (misconception it represents)

A: Wages
B: Environment
D: Health

Type: knowledge check

BACKWARD B1 · concept review — What consumer protection laws do · Question 2 of 5

Which law gives the right to dispute errors on a credit report?

A. The Truth in Lending Act
B. The Fair Credit Reporting Act
C. The Cooling-Off Rule
D. The Fair Labor Standards Act of 1938

CORRECT ANSWER

B. The Fair Credit Reporting Act

Feedback (shown after answering)

The FCRA covers credit reports.

Why each other choice is wrong (misconception it represents)

A: Loan disclosures
C: Door-to-door sales
D: Wages

Type: knowledge check

BACKWARD B1 · concept review — What consumer protection laws do · Question 3 of 5

Which agency collects reports about scams?

A. The Federal Reserve
B. NASA
C. The National Park Service office
D. The Federal Trade Commission

CORRECT ANSWER

D. The Federal Trade Commission

Feedback (shown after answering)

The FTC collects fraud reports.

Why each other choice is wrong (misconception it represents)

A: Monetary policy
B: Space
C: Parks

Type: knowledge check

BACKWARD B1 · concept review — What consumer protection laws do · Question 4 of 5

Under federal law, what is the most a person can owe for unauthorized credit card use?

A. $500
B. $50
C. $5,000
D. Unlimited

CORRECT ANSWER

B. $50

Feedback (shown after answering)

Federal law caps it at $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Debit rule
C: Invents a limit
D: Ignores the law

Type: knowledge check

BACKWARD B1 · concept review — What consumer protection laws do · Question 5 of 5

Why report a lost debit card quickly?

A. Banks charge less for replacement cards sooner
B. The card expires on its own if lost
C. Liability is the same no matter when you report
D. Liability is lower the sooner you report

CORRECT ANSWER

D. Liability is lower the sooner you report

Feedback (shown after answering)

Quick reporting limits losses.

Why each other choice is wrong (misconception it represents)

A: Confuses fees with liability
B: Assumes lost cards stop working
C: Ignores the timing rules

Type: knowledge check

GO DEEPER 1 — Using your rights · Question 1 of 5

Learn: The Fair Credit Billing Act lets you dispute billing errors, including goods not delivered. The issuer must receive your written notice at the address it lists for billing inquiries within 60 days after it sent the statement with the error.

Rosa's credit card statement sent April 30 shows a $120 charge for an item never delivered. The issuer receives her written dispute at its billing-inquiries address on June 15. Is it on time under the Fair Credit Billing Act?

A. No; disputes must be made within 6 days of the purchase
B. No; disputes are allowed only before the item ships
C. Yes; it arrived within 60 days of the statement
D. Yes, because there is no deadline for billing errors

CORRECT ANSWER

C. Yes; it arrived within 60 days of the statement

Feedback (shown after answering)

April 30 to June 15 is 46 days, inside the 60-day window.

Why each other choice is wrong (misconception it represents)

A: Invents a short deadline
B: Misreads the rule
D: Ignores the 60-day window

Type: instruction · practical how-to · rule as of FCBA as of 2026

GO DEEPER 1 — Using your rights · Question 2 of 5

Learn: A debt collector must give you validation information about the debt. If you dispute in writing within the 30-day validation period after receiving it, the collector must pause collection until it verifies the debt. You can still dispute later, but this pause right applies only within that window.

Rosa receives a collector's validation notice about a debt. Within how many days after receiving it can she dispute the debt in writing and make the collector verify it before continuing?

A. 3
B. 30
C. 60
D. 365

CORRECT ANSWER

B. 30

Feedback (shown after answering)

Dispute in writing within about 30 days after receiving the validation information.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Confuses with the Cooling-Off Rule
C: Confuses with billing disputes
D: Too long

Type: instruction · rule as of Regulation F as of 2026

GO DEEPER 1 — Using your rights · Question 3 of 5

A good complaint to the CFPB includes...

A. Dates, amounts, and copies of documents
B. Only an angry message
C. Her passwords
D. A demand for triple damages

CORRECT ANSWER

A. Dates, amounts, and copies of documents

Feedback (shown after answering)

Facts and documents help companies and regulators respond.

Why each other choice is wrong (misconception it represents)

B: Not useful
C: Never share
D: Not how complaints work

Type: knowledge check · practical how-to

GO DEEPER 1 — Using your rights · Question 4 of 5

A New Jersey store refuses to honor its posted return policy. Which state office can help?

A. The Department of Transportation
B. The Division of Consumer Affairs
C. The State Police only
D. The Board of Education

CORRECT ANSWER

B. The Division of Consumer Affairs

Feedback (shown after answering)

The Division of Consumer Affairs handles consumer complaints in New Jersey.

Why each other choice is wrong (misconception it represents)

A: Roads
C: Not first stop
D: Schools

Type: knowledge check

GO DEEPER 1 — Using your rights · Question 5 of 5

Why keep receipts and confirmation emails?

A. They prove what was bought and promised
B. Stores require them to be shown at every visit
C. They raise credit scores
D. They make every purchase returnable

CORRECT ANSWER

A. They prove what was bought and promised

Feedback (shown after answering)

Records support disputes and returns.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Confuses receipts with credit
D: Overstates receipts

Type: knowledge check · practical how-to

SET 101 · Consumer Protection, Fraud, and Digital Security

Digital security for money

MAIN skill: Protect financial accounts online with strong passwords, multifactor authentication, and safe habits

Outcome FL.PROTECT.101 · National topic: Managing Risk · NJSLS 9.1.12: RM

Learning target: Use digital security practices to protect financial accounts and personal data

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Everyday account security (5 questions)

Why: Security habits matter before any tricky situation arises.

B2 · Math link → G6-S40-M (Grade 6 6.EE.A.1): Evaluate numerical expressions with whole-number exponents

Why: Counting possible passwords uses powers.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Stronger protection (5 questions)

Practical skills beyond the standards: Setting up multifactor authentication; Using a password manager

Content status: stable

Source: CISA (Secure Our World: Use strong passwords) — Recommends long, unique passwords or a password manager, and turning on multifactor authentication. https://www.cisa.gov/secure-our-world/use-strong-passwords

Answer key for this set: M-Q1 C, M-Q2 D, M-Q3 D, M-Q4 B, M-Q5 D, B1-Q1 A, B1-Q2 C, B1-Q3 A, B1-Q4 C, B1-Q5 C, F1-Q1 D, F1-Q2 D, F1-Q3 B, F1-Q4 A, F1-Q5 D

MAIN — Protect financial accounts online with strong passwords, multifactor authentication, and safe habits · Question 1 of 5

Learn: Strong passwords are long, unique to each account, and hard to guess. A password manager can create and store them.

Which password is strongest?

A. Rosa2008 used on every site
B. The word "password" with the number 1 added at the end
C. A long, random phrase used only for one account
D. Her pet's name and birthday

CORRECT ANSWER

C. A long, random phrase used only for one account

Feedback (shown after answering)

Length plus uniqueness makes passwords strong.

Why each other choice is wrong (misconception it represents)

A: Short, guessable, and reused
B: Very common
D: Easy to guess from social media

Type: instruction

MAIN — Protect financial accounts online with strong passwords, multifactor authentication, and safe habits · Question 2 of 5

Learn: MFA requires something besides your password, such as a code from an app or a security key, so a stolen password alone is not enough.

What does multifactor authentication (MFA) add?

A. A faster login with no password at all
B. A stronger password that is generated for you
C. Encryption for public Wi-Fi
D. A second proof of identity

CORRECT ANSWER

D. A second proof of identity

Feedback (shown after answering)

MFA adds a second check.

Why each other choice is wrong (misconception it represents)

A: Misreads MFA
B: Confuses MFA with a password manager
C: Confuses MFA with a VPN

Type: instruction

MAIN — Protect financial accounts online with strong passwords, multifactor authentication, and safe habits · Question 3 of 5

Learn: Possible codes = choices per position raised to the number of positions. Longer codes are much harder to guess.

A 4-digit PIN has 10 choices for each digit. How many possible PINs are there?

A. 40
B. 1,000
C. 4,000
D. 10,000

CORRECT ANSWER

D. 10,000

Feedback (shown after answering)

10^4 = 10,000.

Recomputed independently by the build: 10000

Why each other choice is wrong (misconception it represents)

A: Multiplies 10 by 4
B: Uses three digits
C: Multiplies 1,000 by 4

Type: instruction

MAIN — Protect financial accounts online with strong passwords, multifactor authentication, and safe habits · Question 4 of 5

Rosa is on free public Wi-Fi at a café. Which is safest?

A. Log in to her bank to check her balance quickly
B. Wait to bank on a trusted network
C. Share her screen with strangers
D. Turn off her phone's updates

CORRECT ANSWER

B. Wait to bank on a trusted network

Feedback (shown after answering)

Avoid sensitive logins on public Wi-Fi or use a trusted connection.

Why each other choice is wrong (misconception it represents)

A: Risky on open networks
C: Unsafe
D: Reduces security

Type: knowledge check

MAIN — Protect financial accounts online with strong passwords, multifactor authentication, and safe habits · Question 5 of 5

A text says "Your bank account is locked. Click here to verify." What should Rosa do?

A. Click the link and enter her login
B. Reply with her PIN
C. Forward it to friends
D. Open her bank's app directly

CORRECT ANSWER

D. Open her bank's app directly

Feedback (shown after answering)

Go to your bank through its official app or a saved site, not a link in a message.

Why each other choice is wrong (misconception it represents)

A: Phishing
B: Never share
C: Spreads the scam

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Everyday account security · Question 1 of 5

Why should each account have a different password?

A. One leak cannot unlock everything
B. Websites forbid reuse by law
C. Different passwords are always shorter to type
D. It stops phishing emails from arriving

CORRECT ANSWER

A. One leak cannot unlock everything

Feedback (shown after answering)

Unique passwords limit the damage of a breach.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Misreads the reason
D: Confuses passwords with spam filters

Type: knowledge check

BACKWARD B1 · concept review — Everyday account security · Question 2 of 5

What is phishing?

A. A safe way to reset passwords
B. A program that blocks spam
C. A fake message that tricks you into sharing information
D. A bank's official alert

CORRECT ANSWER

C. A fake message that tricks you into sharing information

Feedback (shown after answering)

Phishing uses fake messages to steal information.

Why each other choice is wrong (misconception it represents)

A: Believes the bait
B: Confuses the threat with a defense
D: Believes the disguise

Type: knowledge check

BACKWARD B1 · concept review — Everyday account security · Question 3 of 5

Why install software updates?

A. They fix security holes
B. They mainly add new emojis and features
C. They delete saved passwords
D. They are optional and add no protection

CORRECT ANSWER

A. They fix security holes

Feedback (shown after answering)

Updates patch known weaknesses.

Why each other choice is wrong (misconception it represents)

B: Misses security fixes
C: Invents a risk
D: Misses security fixes

Type: knowledge check

BACKWARD B1 · concept review — Everyday account security · Question 4 of 5

10 × 10 × 10 × 10 × 10 × 10 = ?

A. 60
B. 100,000
C. 1,000,000
D. 10,000,000

CORRECT ANSWER

C. 1,000,000

Feedback (shown after answering)

10^6 = 1,000,000.

Recomputed independently by the build: 1000000

Why each other choice is wrong (misconception it represents)

A: Multiplies 10 by 6
B: Uses five factors
D: Uses seven factors

Type: knowledge check

BACKWARD B1 · concept review — Everyday account security · Question 5 of 5

Which alert helps Rosa notice fraud fast?

A. A monthly statement email
B. A yearly credit report check
C. A text for every card purchase
D. A reminder that a bill is due

CORRECT ANSWER

C. A text for every card purchase

Feedback (shown after answering)

Transaction alerts flag charges right away.

Why each other choice is wrong (misconception it represents)

A: Too slow to catch fraud quickly
B: Too slow to catch fraud quickly
D: Not tied to purchases

Type: knowledge check · practical how-to

GO DEEPER 1 — Stronger protection · Question 1 of 5

A 6-digit PIN has how many times as many possibilities as a 4-digit PIN?

A. 1.5
B. 2
C. 10
D. 100

CORRECT ANSWER

D. 100

Feedback (shown after answering)

10^6 ÷ 10^4 = 10^2 = 100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Divides the lengths
B: Subtracts the lengths
C: Uses one extra digit

Type: knowledge check

GO DEEPER 1 — Stronger protection · Question 2 of 5

Learn: With your number, a thief can receive text codes. Add a carrier PIN and prefer app-based or key-based MFA.

What is a SIM swap scam?

A. Copying your contacts to a new phone
B. A text offering a free SIM upgrade
C. A virus that slows your phone
D. A thief moves your phone number to their device

CORRECT ANSWER

D. A thief moves your phone number to their device

Feedback (shown after answering)

SIM swaps hijack phone numbers to steal codes.

Why each other choice is wrong (misconception it represents)

A: Describes a normal transfer
B: Describes bait, not the takeover
C: Confuses with malware

Type: instruction

GO DEEPER 1 — Stronger protection · Question 3 of 5

Why is a password manager helpful?

A. It shares passwords with friends
B. It creates and stores unique strong passwords
C. It removes the need for any password
D. It posts your passwords online as a backup copy

CORRECT ANSWER

B. It creates and stores unique strong passwords

Feedback (shown after answering)

Managers make unique strong passwords practical.

Why each other choice is wrong (misconception it represents)

A: Misreads sharing features
C: Overstates the tool
D: Unsafe

Type: knowledge check

GO DEEPER 1 — Stronger protection · Question 4 of 5

Which is safest to post publicly?

A. Her favorite book
B. Her full birth date and address
C. A photo of her debit card
D. Her bank's security question answers

CORRECT ANSWER

A. Her favorite book

Feedback (shown after answering)

Avoid posting details used to verify identity.

Why each other choice is wrong (misconception it represents)

B: Used for identity theft
C: Exposes the number
D: Unlocks accounts

Type: knowledge check

GO DEEPER 1 — Stronger protection · Question 5 of 5

An app asks for permission to read all texts and contacts but is only a flashlight. What should Rosa do?

A. Allow everything
B. Share her bank login with it
C. Ignore the request and keep using it
D. Deny or delete it

CORRECT ANSWER

D. Deny or delete it

Feedback (shown after answering)

Apps should request only what they need.

Why each other choice is wrong (misconception it represents)

A: Unsafe
B: Unsafe
C: Risky

Type: knowledge check · practical how-to

SET 102 · Inflation, Interest Rates, and the Economy

Inflation and the Consumer Price Index

MAIN skill: Calculate inflation from prices and the CPI and explain its effect on purchasing power

Outcome FL.ECON.102 · National topic: Saving · NJSLS 9.1.12: EG

Learning target: Calculate inflation using price indexes and explain how inflation affects purchasing power

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percent change (5 questions)
  - Why: Inflation rates are percent changes from an old value.
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  - Why: Inflation is a percent increase in prices.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Inflation over many years (5 questions)

Practical skills beyond the standards: Reading the CPI

Content status: stable

Source: U.S. Bureau of Labor Statistics (Consumer Price Index) — The CPI measures the average change over time in prices paid by urban consumers for a market basket of goods and services. https://www.bls.gov/cpi/

Source: TreasuryDirect (I bonds) — Series I savings bonds pay a rate that combines a fixed rate and an inflation rate that is reset every six months. https://www.treasurydirect.gov/savings-bonds/i-bonds/

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 C, M-Q4 C, M-Q5 B, B1-Q1 C, B1-Q2 C, B1-Q3 A, B1-Q4 A, B1-Q5 B, F1-Q1 C, F1-Q2 B, F1-Q3 D, F1-Q4 B, F1-Q5 C

MAIN — Calculate inflation from prices and the CPI and explain its effect on purchasing power · Question 1 of 5

Learn: Inflation is a general rise in prices over time. Inflation rate = (new price − old price) ÷ old price × 100.

A basket of groceries cost $80 last year and costs $84 this year. What is the inflation rate for this basket?

A. 4%
B. 4.8%
C. 5%
D. 105%

CORRECT ANSWER

C. 5%

Feedback (shown after answering)

($84 − $80) ÷ $80 = 0.05 = 5%.

Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

A: Uses the $4 change as the percent
B: Divides the change by $84
D: Gives the new price as a percent of the old

Type: instruction

MAIN — Calculate inflation from prices and the CPI and explain its effect on purchasing power · Question 2 of 5

Learn: The Consumer Price Index (CPI), published by the Bureau of Labor Statistics, tracks prices of a typical basket of goods and services. Percent change in the CPI measures inflation.

The CPI was 300 last year and is 309 this year. What was the inflation rate?

A. 2.9%
B. 3%
C. 9%
D. 103%

CORRECT ANSWER

B. 3%

Feedback (shown after answering)

(309 − 300) ÷ 300 = 0.03 = 3%.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Divides by 309
C: Uses the point change as the percent
D: Gives the ratio as a percent

Type: instruction

MAIN — Calculate inflation from prices and the CPI and explain its effect on purchasing power · Question 3 of 5

Prices rise 4% this year. A $50 pair of jeans will cost about how much next year?

A. $48
B. $50.04
C. $52
D. $54

CORRECT ANSWER

C. $52

Feedback (shown after answering)

$50 × 1.04 = $52.

Recomputed independently by the build: 52

Why each other choice is wrong (misconception it represents)

A: Subtracts 4%
B: Adds 4 cents
D: Adds $4

Type: knowledge check

MAIN — Calculate inflation from prices and the CPI and explain its effect on purchasing power · Question 4 of 5

Learn: Purchasing power is how much money can buy. When prices rise, each dollar buys less.

What happens to the purchasing power of $100 kept in a jar during inflation?

A. It buys more because prices are rising
B. It stays the same because the bill still says $100
C. It buys less over time
D. It earns interest from the government

CORRECT ANSWER

C. It buys less over time

Feedback (shown after answering)

Rising prices shrink what the same dollars can buy.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Confuses face value with buying power
D: Cash in a jar earns nothing

Type: instruction

MAIN — Calculate inflation from prices and the CPI and explain its effect on purchasing power · Question 5 of 5

Which group is usually hurt most by unexpected inflation?

A. People whose pay rises faster than prices
B. People on fixed incomes
C. Borrowers with fixed-rate loans
D. Owners of assets that rise with prices

CORRECT ANSWER

B. People on fixed incomes

Feedback (shown after answering)

Fixed incomes do not rise with prices, so they buy less.

Why each other choice is wrong (misconception it represents)

A: They keep up
C: They repay with cheaper dollars
D: Their assets keep up

Type: knowledge check

BACKWARD B1 · concept review — Percent change · Question 1 of 5

Learn: Percent change = change ÷ original × 100.

A price goes from $20 to $22. What is the percent increase?

A. 2%
B. 9.1%
C. 10%
D. 110%

CORRECT ANSWER

C. 10%

Feedback (shown after answering)

$2 ÷ $20 = 10%.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Uses the dollar change
B: Divides by $22
D: Gives the ratio

Type: instruction

BACKWARD B1 · concept review — Percent change · Question 2 of 5

$200 increased by 3% is...

A. $194
B. $203
C. $206
D. $260

CORRECT ANSWER

C. $206

Feedback (shown after answering)

$200 × 1.03 = $206.

Recomputed independently by the build: 206

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Adds $3
D: Adds 30%

Type: knowledge check

BACKWARD B1 · concept review — Percent change · Question 3 of 5

Which word means a general rise in prices?

A. Inflation
B. Depreciation
C. Dividend
D. Deduction

CORRECT ANSWER

A. Inflation

Feedback (shown after answering)

Inflation is rising prices overall.

Why each other choice is wrong (misconception it represents)

B: Loss of an asset's value
C: A company payment
D: A tax term

Type: knowledge check

BACKWARD B1 · concept review — Percent change · Question 4 of 5

A price goes from $40 to $38. What is the percent change?

A. -5%
B. -2%
C. 5%
D. 95%

CORRECT ANSWER

A. -5%

Feedback (shown after answering)

−$2 ÷ $40 = −5%.

Recomputed independently by the build: -5

Why each other choice is wrong (misconception it represents)

B: Uses dollars
C: Ignores the direction
D: Gives the ratio

Type: knowledge check

BACKWARD B1 · concept review — Percent change · Question 5 of 5

When prices fall across the economy, it is called...

A. Inflation
B. Deflation
C. Interest
D. Appreciation

CORRECT ANSWER

B. Deflation

Feedback (shown after answering)

Deflation is a general fall in prices.

Why each other choice is wrong (misconception it represents)

A: Rising prices
C: Cost of borrowing
D: Asset value rising

Type: knowledge check

GO DEEPER 1 — Inflation over many years · Question 1 of 5

Learn: Inflation compounds: each year's prices rise from the year before. Price after t years = price × (1 + rate)^t.

At 3% inflation a year, about what will a $1,000 cost of living be in 2 years?

A. $1,030.00
B. $1,060.00
C. $1,060.90
D. $1,090.00

CORRECT ANSWER

C. $1,060.90

Feedback (shown after answering)

$1,000 × 1.03 × 1.03 = $1,060.90.

Recomputed independently by the build: 1060.9

Why each other choice is wrong (misconception it represents)

A: Uses one year
B: Uses simple growth
D: Uses 9%

Type: instruction

GO DEEPER 1 — Inflation over many years · Question 2 of 5

Learn: The Rule of 72 estimates doubling time: 72 ÷ rate.

Using the Rule of 72, at 4% inflation, about how many years until prices double?

A. 4
B. 18
C. 68
D. 288

CORRECT ANSWER

B. 18

Feedback (shown after answering)

72 ÷ 4 = 18 years.

Recomputed independently by the build: 18

Why each other choice is wrong (misconception it represents)

A: Uses the rate
C: Subtracts
D: Multiplies

Type: instruction

GO DEEPER 1 — Inflation over many years · Question 3 of 5

A movie ticket cost $5 when the CPI was 150 and costs $15 when the CPI is 300. Did ticket prices rise faster than overall prices?

A. No; ticket prices rose exactly with overall prices
B. No; tickets rose less than prices
C. Yes; tickets rose by $150
D. Yes; tickets tripled while prices doubled

CORRECT ANSWER

D. Yes; tickets tripled while prices doubled

Feedback (shown after answering)

Tickets ×3 versus CPI ×2.

Why each other choice is wrong (misconception it represents)

A: Ignores the numbers
B: Reverses the comparison
C: Confuses CPI points with dollars

Type: knowledge check

GO DEEPER 1 — Inflation over many years · Question 4 of 5

Learn: Today's dollars = old amount × (CPI now ÷ CPI then).

$50 in a year when the CPI was 200 is worth how much in today's dollars if the CPI is now 300?

A. $33.33
B. $75
C. $100
D. $150

CORRECT ANSWER

B. $75

Feedback (shown after answering)

$50 × 300 ÷ 200 = $75.

Recomputed independently by the build: 75

Why each other choice is wrong (misconception it represents)

A: Divides the wrong way
C: Uses the CPI difference
D: Adds the CPI change

Type: instruction

GO DEEPER 1 — Inflation over many years · Question 5 of 5

Learn: I bonds from TreasuryDirect pay a rate that includes an inflation part reset every six months.

Which savings product has a rate partly tied to inflation?

A. A gift card
B. A checking account with no interest
C. Series I savings bonds
D. A store loyalty point

CORRECT ANSWER

C. Series I savings bonds

Feedback (shown after answering)

I bonds adjust with inflation.

Why each other choice is wrong (misconception it represents)

A: Earns nothing
B: Earns nothing
D: Not savings

Type: instruction · rule as of As of 2026

SET 103 · Inflation, Interest Rates, and the Economy

Real returns and interest rates

MAIN skill: Find real rates of return and explain how the Federal Reserve affects interest rates

Outcome FL.ECON.103 · National topic: Saving · NJSLS 9.1.12: EG

Learning target: Distinguish nominal and real rates and explain how the Federal Reserve influences interest rates

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Nominal and real (5 questions)
  - Why: Real returns separate growth in dollars from growth in buying power.
- B2 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Real rates subtract one percent from another, including negatives.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Rates in everyday decisions (5 questions)

Practical skills beyond the standards: Comparing a raise with inflation

Content status: time-sensitive

Source: Federal Reserve (Monetary policy) — The Federal Reserve sets a target range for the federal funds rate to pursue maximum employment and stable prices; it has a longer-run inflation goal of 2%.
https://www.federalreserve.gov/monetarypolicy.htm

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 B, M-Q4 A, M-Q5 C, B1-Q1 C, B1-Q2 B, B1-Q3 D, B1-Q4 A, B1-Q5 B, F1-Q1 B, F1-Q2 A, F1-Q3 B, F1-Q4 C, F1-Q5 B

MAIN — Find real rates of return and explain how the Federal Reserve affects interest rates · Question 1 of 5

Learn: The nominal rate is the stated rate. The real rate shows growth in buying power: real rate ≈ nominal rate − inflation rate.

Rosa's savings earn 4.5% a year and inflation is 3%. About what is her real rate of return?

A. -1.5%
B. 1.5%
C. 4.5%
D. 7.5%

CORRECT ANSWER

B. 1.5%

Feedback (shown after answering)

4.5% − 3% = 1.5%.

Recomputed independently by the build: 1.5

Why each other choice is wrong (misconception it represents)

A: Subtracts in the wrong order
C: Ignores inflation
D: Adds the rates

Type: instruction

MAIN — Find real rates of return and explain how the Federal Reserve affects interest rates · Question 2 of 5

Learn: Real pay change ≈ raise − inflation. If prices rise faster than pay, the same paycheck buys less.

Rosa gets a 2% raise when inflation is 4%. What happens to her real pay?

A. It rises by about 6%
B. It rises by about 2%
C. It stays the same
D. It falls by about 2%

CORRECT ANSWER

D. It falls by about 2%

Feedback (shown after answering)

2% − 4% ≈ −2%: her pay buys less.

Why each other choice is wrong (misconception it represents)

A: Adds the rates
B: Ignores inflation
C: Ignores the gap

Type: instruction

MAIN — Find real rates of return and explain how the Federal Reserve affects interest rates · Question 3 of 5

A savings account pays 0.5% while inflation is 3%. What is happening to the money's buying power?

A. It is growing faster than prices
B. It is shrinking
C. It is growing at exactly 3%
D. It cannot change in a bank

CORRECT ANSWER

B. It is shrinking

Feedback (shown after answering)

0.5% − 3% = −2.5% real: buying power falls.

Why each other choice is wrong (misconception it represents)

A: Reverses the gap
C: Confuses the rates
D: Ignores inflation

Type: knowledge check

MAIN — Find real rates of return and explain how the Federal Reserve affects interest rates · Question 4 of 5

Learn: The Federal Reserve sets a target for the federal funds rate, which banks charge each other overnight. Changes ripple to credit card, auto, and mortgage rates and to savings yields. Raising rates tends to slow borrowing and cool inflation.

When the Federal Reserve raises its target interest rate, what usually happens to loan rates?

A. They tend to rise
B. They tend to fall
C. They stay the same until each loan ends
D. They are unaffected; only savings rates change

CORRECT ANSWER

A. They tend to rise

Feedback (shown after answering)

Higher Fed rates push borrowing costs up.

Why each other choice is wrong (misconception it represents)

B: Reverses the effect
C: Confuses new loans with fixed loans
D: Misses how rates ripple

Type: instruction

MAIN — Find real rates of return and explain how the Federal Reserve affects interest rates · Question 5 of 5

Why might the Fed raise rates when inflation is high?

A. To make loans cheaper for everyone
B. To print more money
C. To slow borrowing and spending
D. To lower taxes

CORRECT ANSWER

C. To slow borrowing and spending

Feedback (shown after answering)

Higher rates cool demand, which helps slow inflation.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Confuses tools
D: Not the Fed's role

Type: knowledge check

BACKWARD B1 · concept review — Nominal and real · Question 1 of 5

The "nominal" rate is...

A. The rate after inflation
B. The rate after taxes
C. The stated rate before inflation
D. The rate charged on a credit card only

CORRECT ANSWER

C. The stated rate before inflation

Feedback (shown after answering)

Nominal means stated, not adjusted.

Why each other choice is wrong (misconception it represents)

A: Real rate
B: Confuses with an after-tax rate
D: Too narrow

Type: knowledge check

BACKWARD B1 · concept review — Nominal and real · Question 2 of 5

6% − 2% = ?

A. 3%
B. 4%
C. 8%
D. 12%

CORRECT ANSWER

B. 4%

Feedback (shown after answering)

6 − 2 = 4.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Divides
C: Adds
D: Multiplies

Type: knowledge check

BACKWARD B1 · concept review — Nominal and real · Question 3 of 5

Which agency sets the target for short-term U.S. interest rates?

A. The IRS
B. The FDIC
C. The SEC
D. The Federal Reserve

CORRECT ANSWER

D. The Federal Reserve

Feedback (shown after answering)

The Fed sets the federal funds target.

Why each other choice is wrong (misconception it represents)

A: Taxes
B: Deposit insurance
C: Securities

Type: knowledge check

BACKWARD B1 · concept review — Nominal and real · Question 4 of 5

If prices rise 5% and your money grows 5%, your buying power...

A. Stays about the same
B. Doubles
C. Falls by about 10 percent
D. Rises by 5%

CORRECT ANSWER

A. Stays about the same

Feedback (shown after answering)

5% − 5% ≈ 0% real.

Why each other choice is wrong (misconception it represents)

B: Overstates
C: Adds the rates
D: Ignores inflation

Type: knowledge check

BACKWARD B1 · concept review — Nominal and real · Question 5 of 5

Higher interest rates make borrowing…

A. Cheaper for all
B. More expensive
C. Unaffected
D. Cheaper only for savers

CORRECT ANSWER

B. More expensive

Feedback (shown after answering)

Higher rates raise the cost of loans.

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Ignores rates
D: Confuses borrowers and savers

Type: knowledge check

GO DEEPER 1 — Rates in everyday decisions · Question 1 of 5

Learn: Many credit cards have rates tied to the prime rate, which moves with the Fed's target.

Rosa's variable-rate credit card is 20% APR. The prime rate rises 0.5 percentage point. If her card follows prime, what is the new APR?

A. 20.1%
B. 20.5%
C. 25%
D. 30%

CORRECT ANSWER

B. 20.5%

Feedback (shown after answering)

20% + 0.5 = 20.5%.

Recomputed independently by the build: 20.5

Why each other choice is wrong (misconception it represents)

A: Uses 0.1
C: Adds 5
D: Adds half of 20

Type: instruction

GO DEEPER 1 — Rates in everyday decisions · Question 2 of 5

Rates are high. Rosa wants to lock in a savings rate for 2 years. Which product does that?

A. A 2-year CD
B. A checking account
C. A variable-rate credit card
D. Cash at home

CORRECT ANSWER

A. A 2-year CD

Feedback (shown after answering)

A CD locks a fixed rate for its term.

Why each other choice is wrong (misconception it represents)

B: Variable or none
C: Borrowing
D: No interest

Type: knowledge check

GO DEEPER 1 — Rates in everyday decisions · Question 3 of 5

Real return using an exact method: (1 + 0.06) ÷ (1 + 0.02) − 1 is about...

A. 3.00%
B. 3.92%
C. 4.00%
D. 8.00%

CORRECT ANSWER

B. 3.92%

Feedback (shown after answering)

1.06 ÷ 1.02 = 1.0392 → 3.92%.

Recomputed independently by the build: 3.92

Why each other choice is wrong (misconception it represents)

A: Divides the rates
C: Uses the approximation
D: Adds

Type: knowledge check

GO DEEPER 1 — Rates in everyday decisions · Question 4 of 5

Mortgage rates rise from 6% to 7%. What usually happens to how much house a buyer can afford?

A. It increases
B. It is unchanged
C. It decreases
D. It doubles

CORRECT ANSWER

C. It decreases

Feedback (shown after answering)

Higher rates raise payments, lowering affordable price.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores payments
D: Overstates

Type: knowledge check

GO DEEPER 1 — Rates in everyday decisions · Question 5 of 5

What is the Fed's stated longer-run inflation goal?

A. 0%
B. 2%
C. 5%
D. 10%

CORRECT ANSWER

B. 2%

Feedback (shown after answering)

The Fed targets 2% inflation over the longer run.

Recomputed independently by the build: 2

Why each other choice is wrong (misconception it represents)

A: Deflation risk
C: Not the goal
D: Too high

Type: knowledge check · rule as of As of 2026

SET 104 · Inflation, Interest Rates, and the Economy

Economic conditions and personal finances

MAIN skill: Explain how unemployment, recessions, and market changes affect personal financial decisions

Outcome FL.ECON.104 · National topic: Earning Income · NJSLS 9.1.12: EG, CFR

Learning target: Explain how economic conditions such as unemployment and recessions affect income and financial decisions

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: The business cycle (5 questions)
  Why: Economic conditions follow cycles that affect jobs and prices.
- B2 · Math link → G6-S11-M (Grade 6 6.RP.A.3.c): Find the whole, given a part and the percent
  Why: Unemployment and other rates are percents of a whole.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Taxes, government, and the economy (5 questions)

Practical skills beyond the standards: Preparing for a downturn

Content status: stable

Source: U.S. Bureau of Labor Statistics (Unemployment) — The unemployment rate is the share of the labor force that is jobless and looking for work. https://www.bls.gov/cps/

Source: Federal Reserve (Monetary policy) — The Federal Reserve sets a target range for the federal funds rate to pursue maximum employment and stable prices; it has a longer-run inflation goal of 2%. https://www.federalreserve.gov/monetarypolicy.htm

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 B, M-Q4 B, M-Q5 A, B1-Q1 C, B1-Q2 B, B1-Q3 D, B1-Q4 B, B1-Q5 C, F1-Q1 D, F1-Q2 A, F1-Q3 A, F1-Q4 C, F1-Q5 A

MAIN — Explain how unemployment, recessions, and market changes affect personal financial decisions · Question 1 of 5

Learn: The labor force is people working or looking for work. Unemployment rate = unemployed ÷ labor force × 100.

A town has 50,000 people in the labor force; 2,000 are jobless and looking for work. What is the unemployment rate?

A. 2%
B. 4%
C. 25%
D. 40%

CORRECT ANSWER

B. 4%

Feedback (shown after answering)

2,000 ÷ 50,000 = 4%.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Divides by 100,000
C: Divides the wrong way
D: Misplaces the decimal

Type: instruction

MAIN — Explain how unemployment, recessions, and market changes affect personal financial decisions · Question 2 of 5

Learn: In a recession, output and spending fall, layoffs rise, and many businesses earn less. Recessions are part of the business cycle of expansions and contractions.

What is a recession?

A. A single bad month on the stock market
B. A rise in stock prices
C. A rise in prices across the economy
D. A significant, widespread decline in economic activity

CORRECT ANSWER

D. A significant, widespread decline in economic activity

Feedback (shown after answering)

A recession is a broad economic decline.

Why each other choice is wrong (misconception it represents)

A: Confuses markets with the whole economy
B: Reverses the meaning
C: Confuses with inflation

Type: instruction

MAIN — Explain how unemployment, recessions, and market changes affect personal financial decisions · Question 3 of 5

A recession may be starting. Which step best protects Rosa's finances?

A. Take on new debt for a vacation
B. Build up her emergency fund
C. Sell all investments in a panic
D. Quit her job to wait it out

CORRECT ANSWER

B. Build up her emergency fund

Feedback (shown after answering)

Extra savings cushion a job loss.

Why each other choice is wrong (misconception it represents)

A: Adds risk
C: Locks in losses
D: Loses income

Type: knowledge check · practical how-to

MAIN — Explain how unemployment, recessions, and market changes affect personal financial decisions · Question 4 of 5

Learn: Prices respond to supply and demand: less supply or more demand pushes prices up.

Gas prices jump because supply is cut while demand stays the same. What explains the higher price?

A. More supply with the same demand
B. Less supply with the same demand
C. Less demand with the same supply
D. Prices are set by law each day

CORRECT ANSWER

B. Less supply with the same demand

Feedback (shown after answering)

Reduced supply with steady demand raises prices.

Why each other choice is wrong (misconception it represents)

A: Would lower prices
C: Would lower prices
D: Misunderstands markets

Type: instruction

MAIN — Explain how unemployment, recessions, and market changes affect personal financial decisions · Question 5 of 5

Learn: In past U.S. history, broad stock market declines have eventually been followed by recoveries, but the timing has varied from months to many years. Past results do not guarantee future ones, and a single stock or narrow fund may never recover.

During a downturn, Rosa's broadly diversified U.S. stock market index fund drops 20%. She has 30 years until retirement. What does past U.S. market history suggest?

A. Broad markets have recovered from past drops, but not on any schedule
B. Stocks never recover after a drop
C. She should move everything to cash at once
D. She must sell her shares immediately by federal law

CORRECT ANSWER

A. Broad markets have recovered from past drops, but not on any schedule

Feedback (shown after answering)

Broad markets have historically recovered from downturns over long periods, but recovery is not guaranteed.

Why each other choice is wrong (misconception it represents)

B: Contradicts past history
C: Locks in losses
D: Invents a rule

Type: instruction

BACKWARD B1 · concept review — The business cycle · Question 1 of 5

An expansion is a time when the economy is...

A. Shrinking
B. Stuck at the same level
C. Growing
D. In a recession

CORRECT ANSWER

C. Growing

Feedback (shown after answering)

Expansions bring growth in output and jobs.

Why each other choice is wrong (misconception it represents)

A: Contraction
B: Misses growth
D: Confuses phases

Type: knowledge check

BACKWARD B1 · concept review — The business cycle · Question 2 of 5

1,500 unemployed out of 30,000 in the labor force is...

A. 0.5%
B. 5%
C. 15%
D. 20%

CORRECT ANSWER

B. 5%

Feedback (shown after answering)

1,500 ÷ 30,000 = 5%.

Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses the first digits
D: Divides the wrong way

Type: knowledge check

BACKWARD B1 · concept review — The business cycle · Question 3 of 5

Who is counted as unemployed?

A. Every person without a job, including retirees
B. Students not looking for work
C. People working part time
D. People without jobs who are looking for work

CORRECT ANSWER

D. People without jobs who are looking for work

Feedback (shown after answering)

Unemployed people are jobless and actively looking.

Why each other choice is wrong (misconception it represents)

A: Not in labor force
B: Not in labor force
C: Employed

Type: knowledge check

BACKWARD B1 · concept review — The business cycle · Question 4 of 5

If demand for a concert rises and seats stay the same, prices tend to...

A. Fall
B. Rise
C. Stay fixed
D. Fall to attract more buyers

CORRECT ANSWER

B. Rise

Feedback (shown after answering)

More demand with fixed supply pushes prices up.

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Ignores demand
D: Misreads demand

Type: knowledge check

BACKWARD B1 · concept review — The business cycle · Question 5 of 5

GDP measures…

A. The national debt only
B. Total household income only
C. The value of goods and services an economy produces
D. The stock market's value

CORRECT ANSWER

C. The value of goods and services an economy produces

Feedback (shown after answering)

Gross domestic product measures total output.

Why each other choice is wrong (misconception it represents)

A: Different measure
B: Too narrow
D: Confuses markets with output

Type: knowledge check

GO DEEPER 1 — Taxes, government, and the economy · Question 1 of 5

Learn: Taxes pay for many public services. In economics, a "public good" is nonrival (one person's use does not reduce another's) and nonexcludable (hard to keep people from using it). National defense is a classic example. Roads are tax-funded public services, but they can get crowded or charge tolls, so they are not always pure public goods.

Economists define a public good as something that one person's use does not use up and that people cannot easily be kept from using. Which is the clearest example?

A. A private gym membership
B. A restaurant meal
C. A streaming subscription
D. National defense

CORRECT ANSWER

D. National defense

Feedback (shown after answering)

National defense protects everyone at once and cannot exclude anyone.

Why each other choice is wrong (misconception it represents)

A: People can be excluded
B: Used up by the person who eats it
C: People can be excluded

Type: instruction

GO DEEPER 1 — Taxes, government, and the economy · Question 2 of 5

Learn: Unemployment insurance, run by states, replaces part of wages for eligible workers who lose jobs through no fault of their own. Benefit formulas and maximums differ by state and year.

Unemployment insurance pays 50% of Rosa's $800 weekly wage, up to a $600 weekly maximum. What does she receive?

A. $400
B. $600
C. $800
D. $1,400

CORRECT ANSWER

A. $400

Feedback (shown after answering)

50% of $800 = $400, below the $600 cap.

Recomputed independently by the build: 400

Why each other choice is wrong (misconception it represents)

B: Uses the maximum
C: Uses full pay
D: Adds

Type: instruction · rule as of Hypothetical formula

GO DEEPER 1 — Taxes, government, and the economy · Question 3 of 5

Why do some jobs feel recessions less?

A. Demand for them stays steady
B. They pay no taxes
C. They never hire anyone
D. They pay the highest wages

CORRECT ANSWER

A. Demand for them stays steady

Feedback (shown after answering)

Essential services, such as health care, often stay in demand.

Why each other choice is wrong (misconception it represents)

B: Misreads stability
C: Misreads stability
D: Confuses pay with stability

Type: knowledge check

GO DEEPER 1 — Taxes, government, and the economy · Question 4 of 5

A rise in the minimum wage raises a worker's pay from $15 to $15.92 an hour. What is the percent increase, to the nearest tenth?

A. 0.9%
B. 5.8%
C. 6.1%
D. 92%

CORRECT ANSWER

C. 6.1%

Feedback (shown after answering)

$0.92 ÷ $15 ≈ 6.1%.

Recomputed independently by the build: 6.1

Why each other choice is wrong (misconception it represents)

A: Uses the dollars
B: Divides by $15.92
D: Uses the cents

Type: knowledge check · rule as of Hypothetical rates

GO DEEPER 1 — Taxes, government, and the economy · Question 5 of 5

How do interest rates usually affect new businesses in a downturn when the Fed cuts rates?

A. Cheaper loans can make borrowing easier
B. Loans become illegal
C. Rates rise automatically
D. Banks stop lending forever

CORRECT ANSWER

A. Cheaper loans can make borrowing easier

Feedback (shown after answering)

Lower rates reduce borrowing costs.

Why each other choice is wrong (misconception it represents)

B: Misreads policy
C: Reverses
D: Overstates downturns

Type: knowledge check

SET 105 · Contracts, Subscriptions, and Fees

Reading a contract before signing

MAIN skill: Identify the key terms of a contract and the questions to ask before signing

Outcome FL.CONTRACT.105 · National topic: Spending · NJSLS 9.1.12: CDM, FP

Learning target: Identify the rights and responsibilities in contracts and evaluate their costs before signing

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What makes a contract (5 questions)
  - Why: Reading a contract is easier with its basic parts in mind.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Total contract cost adds monthly, one-time, and yearly charges.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Getting out of a contract (5 questions)

Practical skills beyond the standards: Reading cancellation terms; Canceling in writing

Content status: stable

Source: New Jersey Division of Consumer Affairs — New Jersey residents can file consumer complaints, including about contracts and refund policies, with the Division of Consumer Affairs. https://www.njconsumeraffairs.gov/

Answer key for this set: M-Q1 D, M-Q2 D, M-Q3 B, M-Q4 C, M-Q5 B, B1-Q1 D, B1-Q2 C, B1-Q3 C, B1-Q4 A, B1-Q5 B, F1-Q1 C, F1-Q2 D, F1-Q3 C, F1-Q4 A, F1-Q5 C

MAIN — Identify the key terms of a contract and the questions to ask before signing · Question 1 of 5

Learn: A contract is a legally binding agreement. Key parts: the parties, what each promises, the price and fees, the length (term), how it renews, how to cancel, and how disputes are handled. Read every page before signing and keep a copy.

Jamal is about to sign a gym membership contract. Which part tells him how to end it?

A. The gym's logo and address at the top of the page
B. The list of classes offered this month
C. The photo on his membership card
D. The cancellation terms

CORRECT ANSWER

D. The cancellation terms

Feedback (shown after answering)

Cancellation terms explain how and when the contract can be ended and at what cost.

Why each other choice is wrong (misconception it represents)

A: Identifies the business only
B: Marketing, not a term
C: Not part of the contract terms

Type: instruction · practical how-to

MAIN — Identify the key terms of a contract and the questions to ask before signing · Question 2 of 5

Learn: The full cost of a contract includes monthly charges plus one-time and yearly fees.

The gym contract is $35 a month for 12 months, plus a $49 sign-up fee and a $60 annual fee. What is the first-year cost?

A. $420
B. $469
C. $480
D. $529

CORRECT ANSWER

D. $529

Feedback (shown after answering)

12 × $35 = $420; $420 + $49 + $60 = $529.

Recomputed independently by the build: 529

Why each other choice is wrong (misconception it represents)

A: Counts only the monthly dues
B: Leaves out the annual fee
C: Leaves out the sign-up fee

Type: instruction

MAIN — Identify the key terms of a contract and the questions to ask before signing · Question 3 of 5

Learn: If a promise matters, get it in writing in the contract. Signed written terms usually control over spoken promises.

A salesperson says, "Don't worry about the fine print; you can cancel anytime." The written contract says cancellation costs $150. Which usually controls?

A. The salesperson's spoken promise, because it came first
B. The written contract
C. Whatever Jamal remembers later
D. Neither, since gym contracts are not binding

CORRECT ANSWER

B. The written contract

Feedback (shown after answering)

Signed written terms usually control; ask for promises in writing.

Why each other choice is wrong (misconception it represents)

A: Spoken promises are hard to prove
C: Memory is not evidence
D: They are binding

Type: instruction

MAIN — Identify the key terms of a contract and the questions to ask before signing · Question 4 of 5

Learn: An arbitration clause sends disputes to a private arbitrator, often limiting class actions and appeals.

The contract says disputes go to "binding arbitration." What does that usually mean?

A. Jamal can sue in any court he chooses
B. The gym must refund him automatically
C. A private arbitrator decides instead of a court
D. A judge must approve every monthly bill the gym sends

CORRECT ANSWER

C. A private arbitrator decides instead of a court

Feedback (shown after answering)

Arbitration replaces a court case with a private decision.

Why each other choice is wrong (misconception it represents)

A: Reverses the clause
B: Invents a remedy
D: Misreads the clause

Type: instruction

MAIN — Identify the key terms of a contract and the questions to ask before signing · Question 5 of 5

Learn: In most states, including New Jersey, the age of majority is 18. Many contracts signed by minors are voidable by the minor, though contracts for necessities can be enforced. Businesses often require a parent to cosign.

Jamal is 17. In most states, what is generally true of contracts signed by minors?

A. They are stricter than adult contracts
B. The minor can often cancel them
C. They can never be signed at all
D. Parents automatically owe the money

CORRECT ANSWER

B. The minor can often cancel them

Feedback (shown after answering)

Minors can usually void many contracts, which is why businesses ask for a parent's signature.

Why each other choice is wrong (misconception it represents)

A: Reverses the rule
C: Minors can sign some
D: Not automatic

Type: instruction

BACKWARD B1 · concept review — What makes a contract · Question 1 of 5

A contract is…

A. A suggestion with no effect
B. A store receipt only
C. A promise that only the business must keep
D. A legally binding agreement

CORRECT ANSWER

D. A legally binding agreement

Feedback (shown after answering)

Contracts are enforceable promises.

Why each other choice is wrong (misconception it represents)

A: Not binding
B: Too narrow
C: Misses that both sides are bound

Type: knowledge check

BACKWARD B1 · concept review — What makes a contract · Question 2 of 5

The "term" of a contract is...

A. The price
B. The company name
C. How long it lasts
D. The signature line

CORRECT ANSWER

C. How long it lasts

Feedback (shown after answering)

The term is the length of the agreement.

Why each other choice is wrong (misconception it represents)

A: Separate item
B: Party
D: Not the term

Type: knowledge check

BACKWARD B1 · concept review — What makes a contract · Question 3 of 5

12 months at $25 a month is...

A. $37
B. $250
C. $300
D. $3,000

CORRECT ANSWER

C. $300

Feedback (shown after answering)

12 × $25 = $300.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Adds
B: Uses 10 months
D: Adds a zero

Type: knowledge check

BACKWARD B1 · concept review — What makes a contract · Question 4 of 5

Why keep a copy of a signed contract?

A. To check the terms later
B. Copies are illegal to keep
C. It cancels the contract
D. It replaces the need to read it

CORRECT ANSWER

A. To check the terms later

Feedback (shown after answering)

A copy proves what was agreed.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Misreads copies
D: Misunderstands copies

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — What makes a contract · Question 5 of 5

Which should Jamal do before signing?

A. Sign quickly to avoid holding up the line
B. Read every page and ask questions
C. Read only the first page
D. Let the salesperson summarize it

CORRECT ANSWER

B. Read every page and ask questions

Feedback (shown after answering)

Read all terms and ask about anything unclear.

Why each other choice is wrong (misconception it represents)

A: Rushing
C: Misses terms
D: Relies on the other party

Type: knowledge check · practical how-to

GO DEEPER 1 — Getting out of a contract · Question 1 of 5

Learn: Early termination fees are often figured from the months left on the term.

Jamal cancels after 5 months of a 12-month gym contract. The fee is $20 for each remaining month. What is the fee?

A. $20
B. $100
C. $140
D. $240

CORRECT ANSWER

C. $140

Feedback (shown after answering)

12 − 5 = 7 months left; 7 × $20 = $140.

Recomputed independently by the build: 140

Why each other choice is wrong (misconception it represents)

A: Charges one month
B: Uses the 5 months used
D: Uses all 12 months

Type: instruction

GO DEEPER 1 — Getting out of a contract · Question 2 of 5

How should Jamal cancel to have proof?

A. By telling a trainer in the hallway
B. By just stopping payments
C. By deleting the gym app
D. In writing, keeping a dated copy

CORRECT ANSWER

D. In writing, keeping a dated copy

Feedback (shown after answering)

Written cancellation creates a record.

Why each other choice is wrong (misconception it represents)

A: No record
B: Can lead to collections
C: Not cancellation

Type: knowledge check · practical how-to

GO DEEPER 1 — Getting out of a contract · Question 3 of 5

Learn: Banks can stop recurring payments and investigate unauthorized charges. Keep the cancellation proof.

After canceling, the gym keeps charging Jamal's debit card. What should he do first?

A. Ignore it and hope it stops
B. Stop opening his bank statements until it ends
C. Contact his bank and dispute the charges
D. Pay extra to make them stop

CORRECT ANSWER

C. Contact his bank and dispute the charges

Feedback (shown after answering)

The bank can block and investigate charges; New Jersey residents can also complain to the Division of Consumer Affairs.

Why each other choice is wrong (misconception it represents)

A: Lets charges continue
B: Avoids the problem
D: Rewards the error

Type: instruction · practical how-to

GO DEEPER 1 — Getting out of a contract · Question 4 of 5

A contract says it "automatically renews for another 12 months unless canceled 30 days before the end." The term ends June 30. By about when must Jamal cancel?

A. By May 31
B. By June 30
C. By July 30
D. Any time in July

CORRECT ANSWER

A. By May 31

Feedback (shown after answering)

30 days before June 30 is May 31.

Why each other choice is wrong (misconception it represents)

B: Ignores the notice period
C: After the term
D: After renewal

Type: knowledge check

GO DEEPER 1 — Getting out of a contract · Question 5 of 5

Which choice best protects Jamal before signing a long contract?

A. Signing two contracts at once
B. Prepaying three years
C. Asking for a month-to-month option
D. Skipping the cancellation section to save time

CORRECT ANSWER

C. Asking for a month-to-month option

Feedback (shown after answering)

Shorter commitments are easier to leave.

Why each other choice is wrong (misconception it represents)

A: Doubles commitment
B: Hard to recover
D: Misses key terms

Type: knowledge check

SET 106 · Contracts, Subscriptions, and Fees

Subscriptions, free trials, and phone plans

MAIN skill: Find the true cost of subscriptions and compare service plans

Outcome FL.CONTRACT.106 · National topic: Spending · NJSLS 9.1.12: PB, FP

Learning target: Calculate the cost of subscriptions and service plans and compare options

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Recurring charges (5 questions)

Why: Subscriptions are recurring charges; comparing plans needs total cost.

B2 · Math link → G8-S22-M (Grade 8 8.EE.C.8.c): Write and solve systems of linear equations for real-world problems

Why: Comparing two plans finds where two costs are equal.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Auditing subscriptions (5 questions)

Practical skills beyond the standards: Auditing subscriptions; Canceling a free trial

Content status: time-sensitive

Source: FTC (Free trials, auto-renewals, and subscriptions) — Free trials and subscriptions often renew automatically and charge a card on file unless canceled; consumers should note renewal dates and how to cancel. Federal and state auto-renewal rules have changed in recent years.
https://consumer.ftc.gov/articles/getting-and-out-free-trials-auto-renewals-and-negative-option-subscriptions

Answer key for this set: M-Q1 D, M-Q2 D, M-Q3 B, M-Q4 A, M-Q5 D, B1-Q1 A, B1-Q2 D, B1-Q3 B, B1-Q4 C, B1-Q5 D, F1-Q1 B, F1-Q2 B, F1-Q3 B, F1-Q4 B, F1-Q5 B

MAIN — Find the true cost of subscriptions and compare service plans · Question 1 of 5

Learn: Small monthly charges add up. Yearly cost = monthly cost × 12.

Jamal has three streaming services at $15.99 each per month. What do they cost in a year?

A. $47.97
B. $191.88
C. $479.70
D. $575.64

CORRECT ANSWER

D. $575.64

Feedback (shown after answering)

3 × $15.99 = $47.97; × 12 = $575.64.

Recomputed independently by the build: 575.64

Why each other choice is wrong (misconception it represents)

A: Gives one month for all three
B: Counts one service for a year
C: Uses 10 months

Type: instruction

MAIN — Find the true cost of subscriptions and compare service plans · Question 2 of 5

Learn: Many free trials automatically become paid subscriptions. Note the end date and how to cancel when you sign up.

A free 7-day trial requires a card and converts to $12.99 a month. Jamal wants only the trial. What should he do?

A. Assume trials end on their own
B. Give a fake card number
C. Sign up twice to get a longer free trial
D. Set a reminder to cancel before day 7

CORRECT ANSWER

D. Set a reminder to cancel before day 7

Feedback (shown after answering)

Cancel before the trial ends to avoid charges.

Why each other choice is wrong (misconception it represents)

A: Most auto-convert
B: Dishonest
C: Breaks terms

Type: instruction · practical how-to

MAIN — Find the true cost of subscriptions and compare service plans · Question 3 of 5

Learn: Set the costs equal: 25 + 10g = 45. Below that amount, Plan B is cheaper; above it, Plan A is.

Plan A: $45 a month, unlimited data. Plan B: $25 a month plus $10 per GB. At how many GB a month do the plans cost the same?

A. 4.5 GB
B. 2 GB
C. 20 GB
D. 7 GB

CORRECT ANSWER

B. 2 GB

Feedback (shown after answering)

10g = 20, so g = 2 GB.

Recomputed independently by the build: 2

Why each other choice is wrong (misconception it represents)

A: Divides $45 by $10
C: Uses the $20 difference
D: Adds the plans

Type: instruction

MAIN — Find the true cost of subscriptions and compare service plans · Question 4 of 5

Plan A: $45 a month, unlimited data. Plan B: $25 a month plus $10 per GB. Jamal uses about 6 GB a month. Which is cheaper, and by how much?

A. Plan A, by $40 a month
B. Plan B, by $40 a month
C. Plan A, by $20 a month
D. Plan B, by $20 a month

CORRECT ANSWER

A. Plan A, by $40 a month

Feedback (shown after answering)

Plan B: $25 + 6 × $10 = $85. Plan A: $45. A is $40 less.
Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

B: Reverses the comparison
C: Compares base prices
D: Ignores data charges

Type: knowledge check

MAIN — Find the true cost of subscriptions and compare service plans · Question 5 of 5

A phone sells for $0 down and $33.34 a month for 36 months on a plan. What is the phone's total cost?

A. $0
B. $33.34
C. $400.08
D. $1,200.24

CORRECT ANSWER

D. $1,200.24

Feedback (shown after answering)

36 × $33.34 = $1,200.24.

Recomputed independently by the build: 1200.24

Why each other choice is wrong (misconception it represents)

A: Believes "$0 down" means free
B: One payment
C: Uses 12 months

Type: knowledge check

BACKWARD B1 · concept review — Recurring charges · Question 1 of 5

A recurring charge is one that...

A. Repeats automatically on a schedule
B. Happens only once
C. Is always free
D. Ends automatically after a year

CORRECT ANSWER

A. Repeats automatically on a schedule

Feedback (shown after answering)

Recurring charges repeat until canceled.

Why each other choice is wrong (misconception it represents)

B: Reverses the meaning
C: Misreads recurring
D: Assumes subscriptions stop

Type: knowledge check

BACKWARD B1 · concept review — Recurring charges · Question 2 of 5

$9.99 a month for a year is...

A. $9.99
B. $21.99
C. $99.90
D. $119.88

CORRECT ANSWER

D. $119.88

Feedback (shown after answering)

$9.99 × 12 = $119.88.

Recomputed independently by the build: 119.88

Why each other choice is wrong (misconception it represents)

A: One month
B: Adds 12
C: Uses 10 months

Type: knowledge check

BACKWARD B1 · concept review — Recurring charges · Question 3 of 5

25 + 10 × 3 = ?

A. 38
B. 55
C. 65
D. 105

CORRECT ANSWER

B. 55

Feedback (shown after answering)

10 × 3 = 30; 25 + 30 = 55.

Recomputed independently by the build: 55

Why each other choice is wrong (misconception it represents)

A: Adds all
C: Multiplies wrong
D: Adds first

Type: knowledge check

BACKWARD B1 · concept review — Recurring charges · Question 4 of 5

Which tool helps find forgotten subscriptions?

A. Deleting old emails without reading them
B. Checking the app store's top charts
C. Reviewing bank and card statements
D. Asking friends what they subscribe to

CORRECT ANSWER

C. Reviewing bank and card statements

Feedback (shown after answering)

Statements list every recurring charge.

Why each other choice is wrong (misconception it represents)

A: Hides information
B: Not tied to her accounts
D: Not tied to her accounts

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Recurring charges · Question 5 of 5

A "$0 down" phone deal means...

A. The phone is free
B. No contract is involved
C. Taxes are waived
D. The cost is spread into monthly payments

CORRECT ANSWER

D. The cost is spread into monthly payments

Feedback (shown after answering)

"$0 down" spreads the price over months.

Why each other choice is wrong (misconception it represents)

A: Misreads $0 down
B: Often an agreement
C: Invents a benefit

Type: knowledge check

GO DEEPER 1 — Auditing subscriptions · Question 1 of 5

Jamal's audit finds subscriptions of $15.99, $10.99, $6.99, and $4.99. He cancels the two he rarely uses: $10.99 and $4.99. How much does he save a year?

A. $15.98
B. $191.76
C. $275.76
D. $467.52

CORRECT ANSWER

B. $191.76

Feedback (shown after answering)

$10.99 + $4.99 = $15.98; × 12 = $191.76.
Recomputed independently by the build: 191.76

Why each other choice is wrong (misconception it represents)

A: Gives one month
C: Gives what he keeps
D: Gives the total of all four for a year

Type: knowledge check

GO DEEPER 1 — Auditing subscriptions · Question 2 of 5

A service offers $99 a year or $9.99 a month. How much does the yearly plan save?

A. $0.99
B. $20.88
C. $89.01
D. $119.88

CORRECT ANSWER

B. $20.88

Feedback (shown after answering)

$9.99 × 12 = $119.88; $119.88 − $99 = $20.88.

Recomputed independently by the build: 20.88

Why each other choice is wrong (misconception it represents)

A: Compares one month
C: Subtracts monthly from yearly
D: Gives the monthly plan total

Type: knowledge check

GO DEEPER 1 — Auditing subscriptions · Question 3 of 5

When is a yearly plan a poor choice?

A. When you use it every day
B. When you may stop using it soon
C. When it is cheaper per month overall
D. When prices are rising

CORRECT ANSWER

B. When you may stop using it soon

Feedback (shown after answering)

Prepaying for a year wastes money if you quit early.

Why each other choice is wrong (misconception it represents)

A: Good fit
C: Good fit
D: Can be good

Type: knowledge check

GO DEEPER 1 — Auditing subscriptions · Question 4 of 5

Jamal shares a family plan for $60 a month with 3 other people, split equally. What is his share per year?

A. $15
B. $180
C. $240
D. $720

CORRECT ANSWER

B. $180

Feedback (shown after answering)

$60 ÷ 4 = $15; × 12 = $180.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

A: Gives one month
C: Splits among 3
D: Gives the whole plan

Type: knowledge check

GO DEEPER 1 — Auditing subscriptions · Question 5 of 5

A price-increase email says a subscription will rise from $12.99 to $15.99. What is the yearly increase?

A. $3
B. $36
C. $155.88
D. $191.88

CORRECT ANSWER

B. $36

Feedback (shown after answering)

$3 × 12 = $36.

Recomputed independently by the build: 36

Why each other choice is wrong (misconception it represents)

A: One month
C: Gives the old yearly cost
D: Gives the new yearly cost

Type: knowledge check

SET 107 · Contracts, Subscriptions, and Fees

Fees, warranties, and the true price

MAIN skill: Find the total price with fees and evaluate warranties and buy now, pay later plans

Outcome FL.CONTRACT.107 · National topic: Spending · NJSLS 9.1.12: CDM, PB

Learning target: Calculate total prices including fees and evaluate warranties and installment plans

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Percent fees and flat fees (5 questions)

Why: Total price adds a percent fee and a flat fee to the base price.

B2 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee

Why: Fees are often a percent of the price added to the total.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Hidden costs (5 questions)

Practical skills beyond the standards: Comparing total prices with fees; Deciding on extended warranties

Content status: time-sensitive

Source: FTC (Rule on Unfair or Deceptive Fees takes effect) — A federal rule effective May 12, 2025 requires live-event ticket and short-term lodging sellers to show the total price, including mandatory fees, up front. https://www.ftc.gov/news-events/news/press-releases/2025/05/ftc-rule-unfair-or-deceptive-fees-take-effect-may-12-2025

Source: FTC (Warranties) — Explains written warranties, implied warranties, and service contracts (often called extended warranties). https://consumer.ftc.gov/articles/warranties

Source: CFPB (Buy now, pay later) — Buy now, pay later loans split a purchase into installments; missed payments can bring late fees. https://www.consumerfinance.gov/ask-cfpb/what-is-a-buy-now-pay-later-bnpl-loan-en-2108/

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 A, M-Q4 C, M-Q5 D, B1-Q1 B, B1-Q2 C, B1-Q3 C, B1-Q4 C, B1-Q5 B, F1-Q1 D, F1-Q2 C, F1-Q3 D, F1-Q4 D, F1-Q5 A

MAIN — Find the total price with fees and evaluate warranties and buy now, pay later plans · Question 1 of 5

Learn: Many purchases add fees: percent fees (a percent of the price) and flat fees (a set dollar amount). Compare total prices, not base prices. Federal rules now require ticket and hotel sellers to show the total price with mandatory fees up front.

A concert ticket costs $60, plus an 18% service fee and a $5 facility fee. What is the total?

A. $65.00
B. $70.80
C. $75.80
D. $83.00

CORRECT ANSWER

C. $75.80

Feedback (shown after answering)

$60 × 0.18 = $10.80; $60 + $10.80 + $5 = $75.80.

Recomputed independently by the build: 75.8

Why each other choice is wrong (misconception it represents)

A: Leaves out the service fee
B: Leaves out the facility fee
D: Adds $18 instead of 18%

Type: instruction · rule as of FTC fee rule effective 2025-05-12

MAIN — Find the total price with fees and evaluate warranties and buy now, pay later plans · Question 2 of 5

Learn: Buy now, pay later (BNPL) splits a purchase into installments, often with no interest if paid on time. Late fees and overlapping plans can make it costly.

A $600 laptop is split into 4 buy-now-pay-later payments. Jamal misses one and pays a $7 late fee. What does the laptop cost him?

A. $150
B. $600
C. $607
D. $628

CORRECT ANSWER

C. $607

Feedback (shown after answering)

$600 + $7 = $607.

Recomputed independently by the build: 607

Why each other choice is wrong (misconception it represents)

A: Gives one payment
B: Ignores the fee
D: Charges the fee on every payment

Type: instruction

MAIN — Find the total price with fees and evaluate warranties and buy now, pay later plans · Question 3 of 5

Learn: A warranty is a promise about a product's quality. A manufacturer's warranty usually covers defects for a set period. An "extended warranty" is a separate service contract you pay for.

What does a manufacturer's one-year warranty on a laptop usually cover?

A. Defects in parts or work
B. Damage from dropping it in a pool
C. Any problem for the life of the laptop
D. Theft of the laptop

CORRECT ANSWER

A. Defects in parts or work

Feedback (shown after answering)

Warranties cover defects, not accidents or theft.

Why each other choice is wrong (misconception it represents)

B: Accidents are usually excluded
C: Limited period
D: Insurance covers theft

Type: instruction

MAIN — Find the total price with fees and evaluate warranties and buy now, pay later plans · Question 4 of 5

An extended warranty for a $300 headphone set costs $60. What percent of the price is it?

A. 5%
B. 17%
C. 20%
D. 60%

CORRECT ANSWER

C. 20%

Feedback (shown after answering)

$60 ÷ $300 = 20%.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Divides $300 by $60 and treats it as a percent
B: Divides by $360, the price plus the warranty
D: Uses the dollars as a percent

Type: knowledge check

MAIN — Find the total price with fees and evaluate warranties and buy now, pay later plans · Question 5 of 5

Two hotels list $120 and $135 a night. The first adds a $30 nightly "resort fee"; the second has none. Which costs less per night?

A. The first, by $15
B. The second, by $45
C. The first, by $30
D. The second, by $15

CORRECT ANSWER

D. The second, by $15

Feedback (shown after answering)

First: $150. Second: $135. The second is $15 less.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

A: Compares base prices
B: Adds the differences
C: Uses only the fee

Type: knowledge check

BACKWARD B1 · concept review — Percent fees and flat fees · Question 1 of 5

10% of $40 is...

A. $0.40
B. $4
C. $14
D. $40.10

CORRECT ANSWER

B. $4

Feedback (shown after answering)

$40 × 0.10 = $4.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Adds 10
D: Adds 10 cents

Type: knowledge check

BACKWARD B1 · concept review — Percent fees and flat fees · Question 2 of 5

A $50 item has a $3 flat fee. Total?

A. $47
B. $51.50
C. $53
D. $150

CORRECT ANSWER

C. $53

Feedback (shown after answering)

$50 + $3 = $53.

Recomputed independently by the build: 53

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Treats $3 as 3%
D: Multiplies

Type: knowledge check

BACKWARD B1 · concept review — Percent fees and flat fees · Question 3 of 5

What is a flat fee?

A. A percent of the price
B. A fee that rises with the price
C. A set dollar amount
D. A fee charged only on refunds

CORRECT ANSWER

C. A set dollar amount

Feedback (shown after answering)

Flat fees do not change with price.

Why each other choice is wrong (misconception it represents)

A: Percent fee
B: Describes a percent fee
D: Misreads the term

Type: knowledge check

BACKWARD B1 · concept review — Percent fees and flat fees · Question 4 of 5

$80 with a 5% fee and a $2 flat fee totals...

A. $82
B. $84
C. $86
D. $87

CORRECT ANSWER

C. $86

Feedback (shown after answering)

$80 × 0.05 = $4; $80 + $4 + $2 = $86.

Recomputed independently by the build: 86

Why each other choice is wrong (misconception it represents)

A: Leaves out the percent fee
B: Leaves out the flat fee
D: Uses $5 as the percent fee

Type: knowledge check

BACKWARD B1 · concept review — Percent fees and flat fees · Question 5 of 5

A warranty covers…

A. Anything that ever happens
B. Defects for a set time
C. Accidental drops and spills
D. Theft of the item

CORRECT ANSWER

B. Defects for a set time

Feedback (shown after answering)

Warranties cover defects for a period.

Why each other choice is wrong (misconception it represents)

A: Overstates
C: Confuses with insurance
D: Confuses with insurance

Type: knowledge check

GO DEEPER 1 — Hidden costs · Question 1 of 5

A debit card transaction at an out-of-network ATM costs a $3 bank fee and a $3.50 owner fee. Jamal does this 4 times a month. What are his yearly ATM fees?

A. $26
B. $78
C. $144
D. $312

CORRECT ANSWER

D. $312

Feedback (shown after answering)

$6.50 × 4 = $26; × 12 = $312.

Recomputed independently by the build: 312

Why each other choice is wrong (misconception it represents)

A: Gives one month
B: Counts one withdrawal a month
C: Uses only the bank fee

Type: knowledge check

GO DEEPER 1 — Hidden costs · Question 2 of 5

A payment app charges 1.75% to transfer money instantly. On $400, what is the fee?

A. $0.70
B. $1.75
C. $7
D. $70

CORRECT ANSWER

C. $7

Feedback (shown after answering)

$400 × 0.0175 = $7.

Recomputed independently by the build: 7

Why each other choice is wrong (misconception it represents)

A: Uses 0.175%
B: Uses the rate as dollars
D: Uses 17.5%

Type: knowledge check

GO DEEPER 1 — Hidden costs · Question 3 of 5

Learn: Stores set return policies; "final sale" usually means no returns. In New Jersey, stores generally must post their refund policy.

A $120 jacket is "final sale." What does that usually mean?

A. It can be exchanged but not refunded, by law
B. It has a lifetime warranty
C. It must be returned within 30 days
D. It cannot be returned

CORRECT ANSWER

D. It cannot be returned

Feedback (shown after answering)

Final sale items usually cannot be returned.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
B: Confuses sales terms with warranties
C: Reverses

Type: instruction

GO DEEPER 1 — Hidden costs · Question 4 of 5

Jamal has 3 BNPL plans with payments of $50, $75, and $40 due the same week. How much must he have ready?

A. $90
B. $115
C. $125
D. $165

CORRECT ANSWER

D. $165

Feedback (shown after answering)

$50 + $75 + $40 = $165.

Recomputed independently by the build: 165

Why each other choice is wrong (misconception it represents)

A: Leaves out the $75
B: Leaves out the $50
C: Leaves out the $40

Type: knowledge check

GO DEEPER 1 — Hidden costs · Question 5 of 5

Which question best tests whether an extended warranty is worth it?

A. Could I afford the repair myself?
B. Is the warranty price on sale today?
C. Does it cover more years than the product will last?
D. Do my friends own one?

CORRECT ANSWER

A. Could I afford the repair myself?

Feedback (shown after answering)

If you can afford repairs, a warranty is often not worth its cost.

Why each other choice is wrong (misconception it represents)

B: Focuses on the discount, not the value
C: Longer is not always better value
D: Follows others

Type: knowledge check

SET 108 · Integrated Financial Decisions

Net worth

MAIN skill: Build a net worth statement and explain how decisions change net worth over time

Outcome FL.LIFE.108 · National topic: Saving · NJSLS 9.1.12: PB, FP

Learning target: Construct a net worth statement and explain how financial choices change it

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Assets and liabilities (5 questions)

Why: Net worth needs each item sorted correctly.

B2 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations

Why: Net worth combines positive assets and negative debts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Tracking net worth (5 questions)

Practical skills beyond the standards: Building a net worth statement

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 C, M-Q3 B, M-Q4 B, M-Q5 D, B1-Q1 C, B1-Q2 A, B1-Q3 C, B1-Q4 A, B1-Q5 C, F1-Q1 B, F1-Q2 A, F1-Q3 B, F1-Q4 B, F1-Q5 D

MAIN — Build a net worth statement and explain how decisions change net worth over time · Question 1 of 5

Learn: Net worth = assets (what you own) − liabilities (what you owe). A net worth statement lists both. It is a snapshot of financial health at one point in time.

Nia has checking $1,200, savings $3,000, a car worth $9,000, and a Roth IRA of $2,500. She owes a $6,000 car loan, an $800 credit card balance, and $5,000 in student loans. What is her net worth?

A. $3,900
B. $11,800
C. $15,700
D. $27,500

CORRECT ANSWER

A. $3,900

Feedback (shown after answering)

Assets $15,700 − liabilities $11,800 = $3,900.

Recomputed independently by the build: 3900

Why each other choice is wrong (misconception it represents)

B: Gives total liabilities only
C: Gives total assets only
D: Adds assets and liabilities

Type: instruction

MAIN — Build a net worth statement and explain how decisions change net worth over time · Question 2 of 5

Learn: Assets are things you own that have value. Liabilities are debts you owe.

Which item is a liability?

A. Money in a savings account
B. A car Nia owns
C. An unpaid credit card balance
D. Shares in an index fund she owns

CORRECT ANSWER

C. An unpaid credit card balance

Feedback (shown after answering)

Debts owed are liabilities.

Why each other choice is wrong (misconception it represents)

A: Asset
B: Asset
D: Asset

Type: instruction

MAIN — Build a net worth statement and explain how decisions change net worth over time · Question 3 of 5

Learn: Paying a debt from savings lowers an asset and a liability by the same amount, so net worth does not change at that moment, though future interest costs fall.

Nia pays $500 from savings toward her credit card balance. What happens to her net worth?

A. It falls by $500
B. It stays the same
C. It rises by $500
D. It rises by $1,000

CORRECT ANSWER

B. It stays the same

Feedback (shown after answering)

Assets −$500 and liabilities −$500 leave net worth unchanged.

Why each other choice is wrong (misconception it represents)

A: Counts only the lost savings
C: Counts only the lower debt
D: Double counts

Type: instruction

MAIN — Build a net worth statement and explain how decisions change net worth over time · Question 4 of 5

Nia's car loses $1,500 in value this year while her loan balance falls by $2,000. Ignoring everything else, how does her net worth change from the car?

A. It falls by $1,500
B. It rises by $500
C. It rises by $2,000
D. It falls by $3,500

CORRECT ANSWER

B. It rises by $500

Feedback (shown after answering)

−$1,500 in assets and −$2,000 in liabilities: net change +$500.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Ignores the loan paydown
C: Ignores depreciation
D: Adds both as losses

Type: knowledge check

MAIN — Build a net worth statement and explain how decisions change net worth over time · Question 5 of 5

Why is a young adult's negative net worth not always a crisis?

A. Negative net worth means you owe nothing
B. Banks ignore net worth
C. Net worth never changes
D. Debt for education can be an investment in future income

CORRECT ANSWER

D. Debt for education can be an investment in future income

Feedback (shown after answering)

Many people start with student debt; what matters is the trend over time.

Why each other choice is wrong (misconception it represents)

A: Misreads negative
B: Misreads lending
C: Misreads net worth

Type: knowledge check

BACKWARD B1 · concept review — Assets and liabilities · Question 1 of 5

An asset is...

A. Money you owe
B. A monthly bill
C. Something of value you own
D. Income earned in a month

CORRECT ANSWER

C. Something of value you own

Feedback (shown after answering)

Assets are things you own that have value.

Why each other choice is wrong (misconception it represents)

A: Liability
B: Expense
D: Confuses income with assets

Type: knowledge check

BACKWARD B1 · concept review — Assets and liabilities · Question 2 of 5

Which is an asset?

A. A paid-off laptop
B. A student loan
C. A car loan
D. A medical bill owed

CORRECT ANSWER

A. A paid-off laptop

Feedback (shown after answering)

Owned items with value are assets.

Why each other choice is wrong (misconception it represents)

B: Liability
C: Liability
D: Liability

Type: knowledge check

BACKWARD B1 · concept review — Assets and liabilities · Question 3 of 5

Assets $8,000 and liabilities $3,000. Net worth?

A. -$5,000
B. $3,000
C. $5,000
D. $11,000

CORRECT ANSWER

C. $5,000

Feedback (shown after answering)

$8,000 − $3,000 = $5,000.

Recomputed independently by the build: 5000

Why each other choice is wrong (misconception it represents)

A: Subtracts in the wrong order
B: Gives liabilities
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Assets and liabilities · Question 4 of 5

Assets $4,000 and liabilities $9,000. Net worth?

A. -$5,000
B. $4,000
C. $5,000
D. $13,000

CORRECT ANSWER

A. -$5,000

Feedback (shown after answering)

$4,000 − $9,000 = −$5,000.

Recomputed independently by the build: -5000

Why each other choice is wrong (misconception it represents)

B: Gives assets
C: Ignores the sign
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Assets and liabilities · Question 5 of 5

Which change raises net worth?

A. Adding credit card debt for gifts
B. Letting a car lose value
C. Saving part of each paycheck
D. Paying late fees

CORRECT ANSWER

C. Saving part of each paycheck

Feedback (shown after answering)

Saving adds to assets.

Why each other choice is wrong (misconception it represents)

A: Raises liabilities
B: Lowers assets
D: Lowers assets

Type: knowledge check

GO DEEPER 1 — Tracking net worth · Question 1 of 5

Nia's net worth was $3,900 last year and $7,400 this year. What is the change?

A. -$3,500
B. $3,500
C. $7,400
D. $11,300

CORRECT ANSWER

B. $3,500

Feedback (shown after answering)

$7,400 − $3,900 = $3,500.

Recomputed independently by the build: 3500

Why each other choice is wrong (misconception it represents)

A: Subtracts in the wrong order
C: Gives this year
D: Adds

Type: knowledge check

GO DEEPER 1 — Tracking net worth · Question 2 of 5

Learn: Liquidity is how easily an asset can be turned into cash without losing value.

Which asset is most liquid?

A. Money in checking
B. A car
C. A house
D. A 5-year CD at a bank

CORRECT ANSWER

A. Money in checking

Feedback (shown after answering)

Checking money is available right away.

Why each other choice is wrong (misconception it represents)

B: Must be sold
C: Hard to sell quickly
D: Penalty to withdraw

Type: instruction

GO DEEPER 1 — Tracking net worth · Question 3 of 5

Nia's Roth IRA grows from $2,500 to $2,750. What percent did it grow?

A. 9.1%
B. 10%
C. 25%
D. 250%

CORRECT ANSWER

B. 10%

Feedback (shown after answering)

$250 ÷ $2,500 = 10%.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Divides by $2,750
C: Uses $250 ÷ $1,000
D: Uses dollars

Type: knowledge check

GO DEEPER 1 — Tracking net worth · Question 4 of 5

How often might Nia update her net worth statement?

A. Every minute
B. Once or twice a year
C. Only once in her life
D. Every day, to react to each change

CORRECT ANSWER

B. Once or twice a year

Feedback (shown after answering)

Regular updates show progress.

Why each other choice is wrong (misconception it represents)

A: Unnecessary
C: Misses trends
D: Overreacts to short-term changes

Type: knowledge check · practical how-to

GO DEEPER 1 — Tracking net worth · Question 5 of 5

Learn: Net worth = assets − liabilities. Buying with debt adds the item as an asset at its current market value and adds the debt as a liability.

Nia buys a $1,000 TV on a credit card. The moment she takes it home, it could resell for $800. Ignoring everything else, how does her net worth change?

A. It rises by $1,000
B. It falls by $1,000
C. It does not change
D. It falls by $200

CORRECT ANSWER

D. It falls by $200

Feedback (shown after answering)

Assets +$800, liabilities +$1,000: net worth falls $200.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Ignores the debt
B: Ignores the TV as an asset
C: Uses the price instead of the resale value

Type: instruction

SET 109 · Integrated Financial Decisions

Charitable giving and civic responsibility

MAIN skill: Plan charitable giving, research charities, and understand the tax treatment of donations

Outcome FL.LIFE.109 · National topic: Spending · NJSLS 9.1.12: CFR, PB

Learning target: Plan charitable giving and evaluate charities, including tax treatment of donations

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Why and how people give (5 questions)
  - Why: Planning giving uses percents and knowledge of how charities work.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Giving plans are often a percent of income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Giving wisely (5 questions)

Practical skills beyond the standards: Researching a charity

Content status: time-sensitive

Source: IRS (Tax Exempt Organization Search) — Lists organizations eligible to receive tax-deductible charitable contributions. https://apps.irs.gov/app/eos/

Source: IRS (Charitable contribution deductions) — Charitable contributions are deductible only to qualified organizations; itemizers deduct them on Schedule A. https://www.irs.gov/charities-non-profits/charitable-organizations/charitable-contribution-deductions

Source: New Jersey Division of Consumer Affairs (Charities Registration) — Most charities that solicit in New Jersey must register with the state, and residents can look up registration status. https://www.njconsumeraffairs.gov/charities/

Source: FTC (How to donate wisely and avoid charity scams) — Research charities before giving, be wary of pressure and payment by gift card or wire, and watch for scams after disasters. https://consumer.ftc.gov/features/how-donate-wisely-and-avoid-charity-scams

Source: IRS (Working Families Tax Cuts) — Beginning in tax year 2026, taxpayers who do not itemize can deduct up to $1,000 ($2,000 married filing jointly) of eligible cash gifts to qualified charities. https://www.irs.gov/newsroom/working-families-tax-cuts

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 D, M-Q4 B, M-Q5 C, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 D, B1-Q5 B, F1-Q1 D, F1-Q2 C, F1-Q3 C, F1-Q4 B, F1-Q5 A

MAIN — Plan charitable giving, research charities, and understand the tax treatment of donations · Question 1 of 5

Learn: Many people plan giving as part of their budget, often as a percent of income. Giving time (volunteering) and skills also counts.

Nia wants to give 5% of her $2,400 monthly take-home pay to charity. How much is that each month?

A. $12
B. $120
C. $480
D. $1,200

CORRECT ANSWER

B. $120

Feedback (shown after answering)

$2,400 × 0.05 = $120.

Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

A: Uses 0.5%
C: Uses 20%
D: Uses 50%

Type: instruction

MAIN — Plan charitable giving, research charities, and understand the tax treatment of donations · Question 2 of 5

Learn: Research charities with the IRS Tax Exempt Organization Search, the charity's own reports, and charity evaluators. In New Jersey, most charities that ask for donations must register with the Division of Consumer Affairs.

Before donating to a charity she has never heard of, what should Nia check?

A. Its registration and how it uses money
B. Only the emotional story told in its ad
C. How fast the caller wants payment
D. Whether it accepts gift cards

CORRECT ANSWER

A. Its registration and how it uses money

Feedback (shown after answering)

Confirm the charity is real and see how it spends donations.

Why each other choice is wrong (misconception it represents)

B: Easy to fake
C: Pressure is a warning sign
D: A scam sign

Type: instruction · practical how-to

MAIN — Plan charitable giving, research charities, and understand the tax treatment of donations · Question 3 of 5

After a hurricane, a stranger texts asking for donations by wire transfer to a personal account. What is this most likely?

A. A normal disaster relief method
B. A verified disaster relief charity
C. A normal fundraiser by a local group
D. A charity scam

CORRECT ANSWER

D. A charity scam

Feedback (shown after answering)

Disaster scams use urgency and hard-to-trace payments.

Why each other choice is wrong (misconception it represents)

A: Real charities do not use personal wires
B: Ignores the warning signs
C: Ignores the personal-account red flag

Type: knowledge check

MAIN — Plan charitable giving, research charities, and understand the tax treatment of donations · Question 4 of 5

Learn: Starting with tax year 2026, people who take the standard deduction can also deduct cash gifts to qualified charities: up to $1,000 for single filers or $2,000 for married couples filing jointly. Itemizers deduct gifts under the itemized rules instead. A deduction lowers taxable income; it is not a dollar-for-dollar refund.

For tax year 2026, Nia files single and takes the standard deduction. She gave $1,440 in cash to qualified charities. Using the 2026 rule for people who do not itemize, how much can she deduct for those gifts?

A. $0
B. $1,000
C. $1,440
D. $2,000

CORRECT ANSWER

B. $1,000

Feedback (shown after answering)

Her $1,440 is above the $1,000 single cap, so $1,000 is deductible.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Uses the rule from before 2026, when non-itemizers got no charitable deduction
C: Ignores the $1,000 single-filer cap
D: Uses the married-filing-jointly cap

Type: instruction · rule as of Tax year 2026 rule for non-itemizers

MAIN — Plan charitable giving, research charities, and understand the tax treatment of donations · Question 5 of 5

Nia volunteers 4 hours a week at a food bank for 12 weeks. How many hours does she give?

A. 3
B. 16
C. 48
D. 480

CORRECT ANSWER

C. 48

Feedback (shown after answering)

4 × 12 = 48 hours.

Recomputed independently by the build: 48

Why each other choice is wrong (misconception it represents)

A: Divides
B: Adds
D: Adds a zero

Type: knowledge check

BACKWARD B1 · concept review — Why and how people give · Question 1 of 5

A nonprofit charity…

A. Must pay owners dividends
B. Cannot pay any employees
C. Uses money for a mission, not owner profit
D. Is run by the government

CORRECT ANSWER

C. Uses money for a mission, not owner profit

Feedback (shown after answering)

Charities serve a mission.

Why each other choice is wrong (misconception it represents)

A: For-profit trait
B: Misreads nonprofits
D: Confuses nonprofits with agencies

Type: knowledge check

BACKWARD B1 · concept review — Why and how people give · Question 2 of 5

10% of $1,800 is...

A. $18
B. $180
C. $1,620
D. $1,810

CORRECT ANSWER

B. $180

Feedback (shown after answering)

$1,800 × 0.10 = $180.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Gives the remainder
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Why and how people give · Question 3 of 5

Which is a way to give without money?

A. Volunteering time
B. Paying a utility bill
C. Buying a phone
D. Opening a CD

CORRECT ANSWER

A. Volunteering time

Feedback (shown after answering)

Time and skills are valuable gifts.

Why each other choice is wrong (misconception it represents)

B: Not giving
C: Not giving
D: Not giving

Type: knowledge check

BACKWARD B1 · concept review — Why and how people give · Question 4 of 5

A receipt for a donation is useful because...

A. It doubles the gift
B. It makes the gift a loan
C. It cancels the donation
D. It documents the gift

CORRECT ANSWER

D. It documents the gift

Feedback (shown after answering)

Receipts record donations.

Why each other choice is wrong (misconception it represents)

A: Misreads receipts
B: Misreads receipts
C: Misreads receipts

Type: knowledge check

BACKWARD B1 · concept review — Why and how people give · Question 5 of 5

Learn: Paying taxes and giving both support the community: taxes fund public services, while charity supports causes people choose.

Taxes help pay for…

A. Private vacations
B. Public schools and roads
C. Personal phone bills for families
D. Store profits

CORRECT ANSWER

B. Public schools and roads

Feedback (shown after answering)

Taxes fund public services.

Why each other choice is wrong (misconception it represents)

A: Confuses public and private
C: Confuses public and private
D: Confuses public and private

Type: instruction

GO DEEPER 1 — Giving wisely · Question 1 of 5

Learn: Charity reports show program spending versus fundraising and administration. Program share is one measure, along with results.

Charity A spends 85% of $200,000 on programs. How much goes to programs?

A. $17,000
B. $30,000
C. $85,000
D. $170,000

CORRECT ANSWER

D. $170,000

Feedback (shown after answering)

$200,000 × 0.85 = $170,000.

Recomputed independently by the build: 170000

Why each other choice is wrong (misconception it represents)

A: Drops a zero
B: Gives the other 15%
C: Uses $100,000

Type: instruction

GO DEEPER 1 — Giving wisely · Question 2 of 5

An employer matches donations dollar for dollar up to $500. Nia gives $300. What is the total gift?

A. $300
B. $500
C. $600
D. $800

CORRECT ANSWER

C. $600

Feedback (shown after answering)

$300 + $300 match = $600.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

A: Ignores the match
B: Uses the cap
D: Adds the cap

Type: knowledge check

GO DEEPER 1 — Giving wisely · Question 3 of 5

Which is a sign of a trustworthy charity request?

A. Pressure to give in the next 10 minutes
B. A request for gift card codes
C. A clear mission and public financial reports
D. A thank-you note for a gift you never actually made

CORRECT ANSWER

C. A clear mission and public financial reports

Feedback (shown after answering)

Transparency is a good sign.

Why each other choice is wrong (misconception it represents)

A: Scam sign
B: Scam sign
D: Scam tactic

Type: knowledge check

GO DEEPER 1 — Giving wisely · Question 4 of 5

A deduction of $1,000 for someone in the 12% bracket saves about how much tax?

A. $12
B. $120
C. $880
D. $1,000

CORRECT ANSWER

B. $120

Feedback (shown after answering)

$1,000 × 0.12 = $120.

Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

A: Uses 1.2%
C: Gives what remains
D: Treats it as a credit

Type: knowledge check

GO DEEPER 1 — Giving wisely · Question 5 of 5

Crowdfunding for a neighbor's medical bills is usually...

A. A personal gift, not a charity deduction
B. Always tax-deductible
C. A business expense
D. A loan the neighbor must repay

CORRECT ANSWER

A. A personal gift, not a charity deduction

Feedback (shown after answering)

Gifts to individuals generally are not deductible.

Why each other choice is wrong (misconception it represents)

B: Usually not
C: Misclassifies a gift
D: Misreads giving

Type: knowledge check

SET 110 · Integrated Financial Decisions

Your first full-time job: a money plan

MAIN skill: Set priorities for a first paycheck: benefits, emergency savings, debt, and retirement

Outcome FL.LIFE.110 · National topic: Earning Income · NJSLS 9.1.12: PB, FP

Learning target: Create a plan for a first full-time paycheck that balances benefits, savings, debt, and retirement

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Paycheck priorities (5 questions)
  - Why: A first-job plan builds on budgeting, saving, and benefits.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: A first-job plan combines percents, totals, and time to goals.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Raises and lifestyle (5 questions)

Practical skills beyond the standards: Choosing benefits at open enrollment; Getting the full employer match

Content status: stable

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 C, M-Q4 B, M-Q5 B, B1-Q1 B, B1-Q2 B, B1-Q3 C, B1-Q4 B, B1-Q5 C, F1-Q1 B, F1-Q2 B, F1-Q3 D, F1-Q4 A, F1-Q5 C

MAIN — Set priorities for a first paycheck: benefits, emergency savings, debt, and retirement · Question 1 of 5

Learn: An employer match is extra pay for saving. Contributing at least enough to get the full match is often a top priority.

Nia earns $40,000. Her employer matches 50% of what she contributes to her 401(k), up to 6% of pay. If she contributes 6%, how much is the match?

A. $600
B. $1,200
C. $2,400
D. $3,600

CORRECT ANSWER

B. $1,200

Feedback (shown after answering)

6% × $40,000 = $2,400; 50% match = $1,200.

Recomputed independently by the build: 1200

Why each other choice is wrong (misconception it represents)

A: Uses a 3% contribution
C: Gives her own 6%
D: Adds her part and the match

Type: instruction

MAIN — Set priorities for a first paycheck: benefits, emergency savings, debt, and retirement · Question 2 of 5

Which order of priorities is most often recommended for a first job?

A. Buy a new car first, then save whatever is left
B. Skip the match to pay a 3% loan faster
C. Invest everything before having any cash savings
D. Starter emergency fund, full match, high-interest debt, then more saving

CORRECT ANSWER

D. Starter emergency fund, full match, high-interest debt, then more saving

Feedback (shown after answering)

A small cushion, the free match, and high-interest debt come first.

Why each other choice is wrong (misconception it represents)

A: Adds debt first
B: Gives up free money
C: No cushion

Type: knowledge check · practical how-to

MAIN — Set priorities for a first paycheck: benefits, emergency savings, debt, and retirement · Question 3 of 5

Nia's essential costs are $1,900 a month. How much is a 3-month emergency fund?

A. $1,900
B. $3,800
C. $5,700
D. $11,400

CORRECT ANSWER

C. $5,700

Feedback (shown after answering)

3 × $1,900 = $5,700.

Recomputed independently by the build: 5700

Why each other choice is wrong (misconception it represents)

A: One month
B: Two months
D: Six months

Type: knowledge check

MAIN — Set priorities for a first paycheck: benefits, emergency savings, debt, and retirement · Question 4 of 5

Nia saves $250 a month toward her $5,700 goal and already has $1,200. How many months to reach it?

A. 5
B. 18
C. 23
D. 27

CORRECT ANSWER

B. 18

Feedback (shown after answering)

($5,700 − $1,200) ÷ $250 = 18 months.
Recomputed independently by the build: 18

Why each other choice is wrong (misconception it represents)

A: Divides $1,200 by $250
C: Ignores what she has
D: Adds what she has

Type: knowledge check

MAIN — Set priorities for a first paycheck: benefits, emergency savings, debt, and retirement · Question 5 of 5

Learn: New hires choose benefits such as health plans, retirement contributions, and insurance within a set window.

During open enrollment at her new job, what should Nia do?

A. Ignore it; benefits are automatic and fixed
B. Compare and choose her benefits
C. Sign up for every option without reading
D. Wait until she gets sick

CORRECT ANSWER

B. Compare and choose her benefits

Feedback (shown after answering)

Open enrollment is when benefit choices are made.

Why each other choice is wrong (misconception it represents)

A: Choices must be made
C: Wastes money
D: Too late to enroll

Type: instruction · practical how-to

BACKWARD B1 · concept review — Paycheck priorities · Question 1 of 5

6% of $40,000 is...

A. $240
B. $2,400
C. $4,000
D. $24,000

CORRECT ANSWER

B. $2,400

Feedback (shown after answering)

$40,000 × 0.06 = $2,400.

Recomputed independently by the build: 2400

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
C: Uses 10%
D: Uses 60%

Type: knowledge check

BACKWARD B1 · concept review — Paycheck priorities · Question 2 of 5

50% of $2,400 is...

A. $120
B. $1,200
C. $2,400
D. $4,800

CORRECT ANSWER

B. $1,200

Feedback (shown after answering)

$2,400 × 0.5 = $1,200.

Recomputed independently by the build: 1200

Why each other choice is wrong (misconception it represents)

A: Uses 5%
C: Uses 100%
D: Doubles

Type: knowledge check

BACKWARD B1 · concept review — Paycheck priorities · Question 3 of 5

An emergency fund is for…

A. Concert tickets
B. A vacation
C. Unexpected needs like a job loss
D. Daily coffee

CORRECT ANSWER

C. Unexpected needs like a job loss

Feedback (shown after answering)

Emergency funds cover unplanned necessities.

Why each other choice is wrong (misconception it represents)

A: Planned want
B: Planned want
D: Routine spending

Type: knowledge check

BACKWARD B1 · concept review — Paycheck priorities · Question 4 of 5

Why is a 401(k) match valuable?

A. It must be repaid when she leaves
B. It is extra money for saving
C. It is a loan
D. It is taxed at 100%

CORRECT ANSWER

B. It is extra money for saving

Feedback (shown after answering)

A match adds to your retirement savings.

Why each other choice is wrong (misconception it represents)

A: Confuses vesting with repayment
C: Confuses a match with a loan
D: Misreads taxes

Type: knowledge check

BACKWARD B1 · concept review — Paycheck priorities · Question 5 of 5

Which debt usually should be paid off fastest?

A. A 4% student loan
B. A 0% promotional plan within its term
C. A 24% credit card
D. A 6% car loan

CORRECT ANSWER

C. A 24% credit card

Feedback (shown after answering)

Highest-rate debt costs the most.

Why each other choice is wrong (misconception it represents)

A: Lower rate
B: No interest yet
D: Lower rate

Type: knowledge check

GO DEEPER 1 — Raises and lifestyle · Question 1 of 5

Nia gets a 4% raise on $40,000. How much more per year?

A. $400
B. $1,600
C. $4,000
D. $41,600

CORRECT ANSWER

B. $1,600

Feedback (shown after answering)

$40,000 × 0.04 = $1,600.

Recomputed independently by the build: 1600

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Uses 10%
D: Gives the new salary

Type: knowledge check

GO DEEPER 1 — Raises and lifestyle · Question 2 of 5

Learn: "Lifestyle creep" is when spending rises with every raise. Saving part of each raise grows wealth while still enjoying some of it.

Nia gets a $1,600-a-year raise and sends half of it to savings. How much more does she save each month?

A. $16.00
B. $66.67
C. $133.33
D. $800.00

CORRECT ANSWER

B. $66.67

Feedback (shown after answering)

$1,600 ÷ 2 = $800 a year; ÷ 12 = $66.67.

Recomputed independently by the build: 66.67

Why each other choice is wrong (misconception it represents)

A: Uses 1% of the raise
C: Uses the whole raise
D: Gives the yearly amount

Type: instruction

GO DEEPER 1 — Raises and lifestyle · Question 3 of 5

Nia turns on a 401(k) feature that automatically raises her contribution rate by one percentage point of salary each year. What is this called?

A. Lifestyle creep
B. Dollar-cost averaging
C. A catch-up contribution
D. Automatic escalation

CORRECT ANSWER

D. Automatic escalation

Feedback (shown after answering)

Automatic escalation raises the contribution rate on a set schedule.

Why each other choice is wrong (misconception it represents)

A: Confuses rising spending with rising saving
B: Confuses with investing on a schedule
C: Confuses with extra contributions at 50+

Type: knowledge check

GO DEEPER 1 — Raises and lifestyle · Question 4 of 5

Learn: A rollover moves retirement money without taxes when done correctly. Unvested employer match money may be forfeited.

If Nia leaves her job, what can she usually do with her 401(k)?

A. Roll it into an IRA or new plan
B. Lose it all automatically
C. Cash it out with no tax
D. Give it back to the employer when she leaves

CORRECT ANSWER

A. Roll it into an IRA or new plan

Feedback (shown after answering)

Roll over to keep savings growing tax-advantaged.

Why each other choice is wrong (misconception it represents)

B: Her contributions are hers
C: Taxes and penalties may apply
D: Misreads ownership

Type: instruction

GO DEEPER 1 — Raises and lifestyle · Question 5 of 5

Nia's employer match vests over 3 years. She leaves after 1 year. What may happen to the match money?

A. It is paid to her in cash
B. Her own contributions disappear as well
C. Part or all of it may be forfeited
D. It turns into a loan

CORRECT ANSWER

C. Part or all of it may be forfeited

Feedback (shown after answering)

Unvested match can be lost; her own contributions stay hers.

Why each other choice is wrong (misconception it represents)

A: Misreads vesting
B: Her money is always hers
D: Misreads vesting

Type: knowledge check

SET 111 · Integrated Financial Decisions

Moving out: the first-apartment budget

MAIN skill: Estimate move-in costs and a monthly budget for living on your own

Outcome FL.LIFE.111 · National topic: Spending · NJSLS 9.1.12: PB, CDM

Learning target: Estimate the costs of independent living and create a sustainable monthly budget

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Upfront and monthly costs (5 questions)
  - Why: Moving out combines one-time costs with a monthly budget.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: A moving-out budget adds and subtracts many amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Making the numbers work (5 questions)

Practical skills beyond the standards: Estimating move-in cash; Writing a roommate agreement

Content status: time-sensitive

Source: New Jersey Department of Community Affairs (Truth in Renting) — New Jersey limits residential security deposits to one and one-half months' rent. https://www.nj.gov/dca/codes/publications/pdf_lti/t_i_r.pdf

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 B, M-Q4 A, M-Q5 A, B1-Q1 C, B1-Q2 D, B1-Q3 B, B1-Q4 A, B1-Q5 B, F1-Q1 C, F1-Q2 B, F1-Q3 A, F1-Q4 B, F1-Q5 D

MAIN — Estimate move-in costs and a monthly budget for living on your own · Question 1 of 5

Learn: Move-in costs include the first month's rent, a security deposit (New Jersey caps it at 1.5 months' rent), moving costs, and often utility deposits and basic furniture.

Rent is $1,400. The landlord asks for the first month plus a security deposit of 1.5 months' rent, and moving costs $400. How much cash does Nia need to move in?

A. $1,800
B. $3,500
C. $3,900
D. $4,600

CORRECT ANSWER

C. $3,900

Feedback (shown after answering)

$1,400 + $2,100 + $400 = $3,900.

Recomputed independently by the build: 3900

Why each other choice is wrong (misconception it represents)

A: Leaves out the deposit
B: Leaves out moving costs
D: Uses a 2-month deposit

Type: instruction

MAIN — Estimate move-in costs and a monthly budget for living on your own · Question 2 of 5

A guideline says rent should be at most about 30% of gross income. Nia earns $54,000 a year. About what is her maximum monthly rent?

A. $1,350
B. $1,620
C. $4,500
D. $16,200

CORRECT ANSWER

A. $1,350

Feedback (shown after answering)

$54,000 ÷ 12 = $4,500; × 0.30 = $1,350.

Recomputed independently by the build: 1350

Why each other choice is wrong (misconception it represents)

B: Divides $54,000 by 12 and uses 36%
C: Gives monthly gross pay
D: Gives the yearly amount

Type: knowledge check

MAIN — Estimate move-in costs and a monthly budget for living on your own · Question 3 of 5

Nia and a roommate share a $2,100 two-bedroom plus $180 of utilities, splitting both rent and utilities equally. What is her monthly share?

A. $1,050
B. $1,140
C. $1,230
D. $2,280

CORRECT ANSWER

B. $1,140

Feedback (shown after answering)

($2,100 + $180) ÷ 2 = $1,140.

Recomputed independently by the build: 1140

Why each other choice is wrong (misconception it represents)

A: Leaves out utilities
C: Pays all utilities
D: Pays everything

Type: knowledge check

MAIN — Estimate move-in costs and a monthly budget for living on your own · Question 4 of 5

Nia's take-home pay is $3,400. Rent $1,140, utilities and internet $160, food $450, transportation $300, insurance $120, phone $50, debt payments $200. How much is left for savings and wants?

A. $980
B. $1,180
C. $2,260
D. $2,420

CORRECT ANSWER

A. $980

Feedback (shown after answering)

Expenses total $2,420; $3,400 − $2,420 = $980.
Recomputed independently by the build: 980

Why each other choice is wrong (misconception it represents)

B: Leaves out debt payments
C: Gives total expenses
D: Leaves out rent

Type: knowledge check

MAIN — Estimate move-in costs and a monthly budget for living on your own · Question 5 of 5

Which step before signing a lease protects Nia's deposit?

A. Document the apartment's condition with photos
B. Skip the walk-through to save time
C. Pay the whole deposit in cash and skip the receipt
D. Agree verbally to repairs

CORRECT ANSWER

A. Document the apartment's condition with photos

Feedback (shown after answering)

A dated condition record helps get the deposit back.

Why each other choice is wrong (misconception it represents)

B: No record
C: No proof
D: Not in writing

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Upfront and monthly costs · Question 1 of 5

1.5 × $1,200 = ?

A. $1,200
B. $1,201.50
C. $1,800
D. $2,400

CORRECT ANSWER

C. $1,800

Feedback (shown after answering)

1.5 × $1,200 = $1,800.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

A: Uses 1
B: Adds
D: Uses 2

Type: knowledge check

BACKWARD B1 · concept review — Upfront and monthly costs · Question 2 of 5

Which is a one-time moving-out cost?

A. Monthly rent
B. Groceries
C. Internet service bills
D. A security deposit

CORRECT ANSWER

D. A security deposit

Feedback (shown after answering)

Deposits are paid once at move-in.

Why each other choice is wrong (misconception it represents)

A: Recurring
B: Recurring
C: Recurring

Type: knowledge check

BACKWARD B1 · concept review — Upfront and monthly costs · Question 3 of 5

30% of $4,000 is...

A. $120
B. $1,200
C. $2,800
D. $4,030

CORRECT ANSWER

B. $1,200

Feedback (shown after answering)

$4,000 × 0.30 = $1,200.

Recomputed independently by the build: 1200

Why each other choice is wrong (misconception it represents)

A: Uses 3%
C: Gives the remainder
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Upfront and monthly costs · Question 4 of 5

$3,000 income minus $2,250 expenses leaves...

A. $750
B. $850
C. $2,250
D. $5,250

CORRECT ANSWER

A. $750

Feedback (shown after answering)

$3,000 − $2,250 = $750.

Recomputed independently by the build: 750

Why each other choice is wrong (misconception it represents)

B: Subtracts wrong
C: Gives expenses
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Upfront and monthly costs · Question 5 of 5

Renters insurance protects...

A. The landlord's whole building
B. Your belongings and liability
C. Your car
D. Your job

CORRECT ANSWER

B. Your belongings and liability

Feedback (shown after answering)

Renters insurance covers your things and liability.

Why each other choice is wrong (misconception it represents)

A: Landlord's policy
C: Auto policy
D: Not insurance

Type: knowledge check

GO DEEPER 1 — Making the numbers work · Question 1 of 5

Nia needs $3,900 to move in and can save $325 a month. How many months will it take?

A. 4
B. 10
C. 12
D. 13

CORRECT ANSWER

C. 12

Feedback (shown after answering)

$3,900 ÷ $325 = 12 months.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

A: Divides by $975
B: Uses $390
D: Rounds up wrongly

Type: knowledge check

GO DEEPER 1 — Making the numbers work · Question 2 of 5

Furniture: a bed $400, a desk $150, kitchen basics $120. Buying used saves 40%. What does she pay?

A. $268
B. $402
C. $630
D. $670

CORRECT ANSWER

B. $402

Feedback (shown after answering)

$670 × 0.60 = $402.

Recomputed independently by the build: 402

Why each other choice is wrong (misconception it represents)

A: Gives the savings
C: Subtracts $40
D: Pays full price

Type: knowledge check

GO DEEPER 1 — Making the numbers work · Question 3 of 5

Utilities are $110 in fall but $190 in summer. Why budget using an average?

A. It smooths bills that change by season
B. Bills never change
C. Averages lower the bill
D. Using the lowest month keeps the budget tight

CORRECT ANSWER

A. It smooths bills that change by season

Feedback (shown after answering)

Budgeting an average and saving in low months covers high months.

Why each other choice is wrong (misconception it represents)

B: Misreads variable bills
C: Confuses budgeting with cost
D: Underbudgets high months

Type: knowledge check

GO DEEPER 1 — Making the numbers work · Question 4 of 5

An apartment closer to work costs $150 more a month but saves $220 a month in commuting. What is the net monthly effect?

A. Costs $150
B. Saves $70
C. Saves $220
D. Costs $370

CORRECT ANSWER

B. Saves $70

Feedback (shown after answering)

$220 − $150 = $70 saved.

Recomputed independently by the build: 70

Why each other choice is wrong (misconception it represents)

A: Ignores commute savings
C: Ignores higher rent
D: Adds

Type: knowledge check

GO DEEPER 1 — Making the numbers work · Question 5 of 5

A roommate agreement should cover…

A. Only favorite foods
B. Nothing; it is unnecessary
C. Only the Wi-Fi password
D. Rent shares, bills, and move-out terms

CORRECT ANSWER

D. Rent shares, bills, and move-out terms

Feedback (shown after answering)

Written agreements prevent money conflicts.

Why each other choice is wrong (misconception it represents)

A: Incomplete
B: Risky
C: Incomplete

Type: knowledge check · practical how-to

SET 112 · Integrated Financial Decisions

Comparing big financial decisions

MAIN skill: Use total value, opportunity cost, and a decision matrix to compare major choices

Outcome FL.LIFE.112 · National topic: Spending · NJSLS 9.1.12: FP, PB

Learning target: Apply opportunity cost and systematic comparison to major financial decisions

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Choices and tradeoffs (5 questions)
  Why: Every choice gives up an alternative.
- B2 · Math link → G6-S44-M (Grade 6 6.EE.A.2.c): Evaluate expressions and formulas for given values
  Why: Decision matrices and growth formulas are evaluated with numbers.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Thinking in totals (5 questions)

Practical skills beyond the standards: Comparing job offers by total value; Using a decision matrix

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 C, M-Q4 D, M-Q5 D, B1-Q1 C, B1-Q2 B, B1-Q3 B, B1-Q4 C, B1-Q5 C, F1-Q1 A, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 B

MAIN — Use total value, opportunity cost, and a decision matrix to compare major choices · Question 1 of 5

Learn: Compare offers by total value: salary plus benefits (match, health coverage) minus job costs (commuting, required equipment).

Job A pays $50,000 with $3,000 of yearly commuting costs and no 401(k) match. Job B pays $47,000, is remote, and matches $1,410. Comparing pay − commute + match, which is worth more?

A. Job A, by $3,000
B. They are worth the same
C. Job B, by $1,410
D. Job B, by $4,410

CORRECT ANSWER

C. Job B, by $1,410

Feedback (shown after answering)

A: $50,000 − $3,000 = $47,000. B: $47,000 + $1,410 = $48,410. B is worth $1,410 more.

Recomputed independently by the build: 1410

Why each other choice is wrong (misconception it represents)

A: Compares salaries only
B: Ignores the match
D: Adds the commute twice

Type: instruction

MAIN — Use total value, opportunity cost, and a decision matrix to compare major choices · Question 2 of 5

Learn: Opportunity cost is the value of the next-best alternative you give up.

Nia spends $4,000 on a trip instead of investing it. What is the opportunity cost of the trip?

A. The investment she gave up: $4,000 and its possible growth
B. Nothing, since she enjoyed the trip
C. Only the sales tax
D. The airline's profit

CORRECT ANSWER

A. The investment she gave up: $4,000 and its possible growth

Feedback (shown after answering)

Her next-best choice was investing the $4,000, so the opportunity cost is that investment: the $4,000 and what it might have grown to.

Why each other choice is wrong (misconception it represents)

B: Ignores alternatives
C: Too narrow
D: Not hers

Type: instruction

MAIN — Use total value, opportunity cost, and a decision matrix to compare major choices · Question 3 of 5

Learn: A decision matrix scores each option on criteria and multiplies by how much each criterion matters (its weight). Highest total wins.

In a decision matrix, Option 1 scores 4 on cost (weight 3) and 2 on fun (weight 1). What is its weighted score?

A. 6
B. 10
C. 14
D. 24

CORRECT ANSWER

C. 14

Feedback (shown after answering)

4 × 3 + 2 × 1 = 14.

Recomputed independently by the build: 14

Why each other choice is wrong (misconception it represents)

A: Ignores weights
B: Adds the weights
D: Multiplies everything

Type: instruction

MAIN — Use total value, opportunity cost, and a decision matrix to compare major choices · Question 4 of 5

$4,000 invested at 7% a year for 30 years grows to about $4,000 × 7.61. About how much is that?

A. $4,280
B. $5,200
C. $12,400
D. $30,440

CORRECT ANSWER

D. $30,440

Feedback (shown after answering)

$4,000 × 7.61 = $30,440.

Recomputed independently by the build: 30440

Why each other choice is wrong (misconception it represents)

A: Uses one year
B: Uses 30% growth once
C: Uses simple interest

Type: knowledge check

MAIN — Use total value, opportunity cost, and a decision matrix to compare major choices · Question 5 of 5

Which habit leads to better big decisions?

A. Deciding fast under sales pressure
B. Choosing what friends choose
C. Looking only at the monthly payment
D. Waiting a day and comparing options in writing

CORRECT ANSWER

D. Waiting a day and comparing options in writing

Feedback (shown after answering)

Time and written comparison reduce impulse decisions.

Why each other choice is wrong (misconception it represents)

A: Pressure leads to mistakes
B: Ignores your situation
C: Hides total cost

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Choices and tradeoffs · Question 1 of 5

Opportunity cost is…

A. The price tag
B. The money spent
C. The next-best option given up
D. The total of all options

CORRECT ANSWER

C. The next-best option given up

Feedback (shown after answering)

Opportunity cost is what you give up.

Why each other choice is wrong (misconception it represents)

A: Too narrow
B: Confuses with price
D: Misreads the concept

Type: knowledge check

BACKWARD B1 · concept review — Choices and tradeoffs · Question 2 of 5

5 × 2 + 3 × 1 = ?

A. 11
B. 13
C. 16
D. 30

CORRECT ANSWER

B. 13

Feedback (shown after answering)

10 + 3 = 13.

Recomputed independently by the build: 13

Why each other choice is wrong (misconception it represents)

A: Adds all
C: Multiplies (5 + 3) × 2
D: Multiplies all

Type: knowledge check

BACKWARD B1 · concept review — Choices and tradeoffs · Question 3 of 5

Which job benefit adds employer money to your retirement savings?

A. A fancy job title
B. A 401(k) match
C. A company water bottle
D. A long commute

CORRECT ANSWER

B. A 401(k) match

Feedback (shown after answering)

A match adds employer dollars to your retirement account.

Why each other choice is wrong (misconception it represents)

A: No retirement contribution
C: Not a retirement contribution
D: A cost, not a benefit

Type: knowledge check

BACKWARD B1 · concept review — Choices and tradeoffs · Question 4 of 5

$48,000 + $1,200 = ?

A. $46,800
B. $48,120
C. $49,200
D. $60,000

CORRECT ANSWER

C. $49,200

Feedback (shown after answering)

$48,000 + $1,200 = $49,200.

Recomputed independently by the build: 49200

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Adds $120
D: Adds wrong

Type: knowledge check

BACKWARD B1 · concept review — Choices and tradeoffs · Question 5 of 5

A tradeoff means...

A. Getting everything at once
B. A choice with no downside
C. Getting one thing by giving up another
D. A type of loan

CORRECT ANSWER

C. Getting one thing by giving up another

Feedback (shown after answering)

Tradeoffs are part of every decision.

Why each other choice is wrong (misconception it represents)

A: Misreads tradeoffs
B: Misreads tradeoffs
D: Unrelated meaning

Type: knowledge check

GO DEEPER 1 — Thinking in totals · Question 1 of 5

Option 1: buy a $1,200 laptop now on a card at 24% and pay it off in 12 payments of $113.47 ($1,361.64 total). Option 2: save $100 a month and buy it in 12 months. How much does saving first avoid?

A. $161.64
B. $288.00
C. $1,200.00
D. $1,361.64

CORRECT ANSWER

A. $161.64

Feedback (shown after answering)

$1,361.64 − $1,200 = $161.64 of interest avoided.
Recomputed independently by the build: 161.64

Why each other choice is wrong (misconception it represents)

B: Uses 24% simple interest on the price
C: Gives the price
D: Gives the total

Type: knowledge check

GO DEEPER 1 — Thinking in totals · Question 2 of 5

A $30 weekly takeout habit costs how much a year?

A. $120
B. $360
C. $1,560
D. $3,000

CORRECT ANSWER

C. $1,560

Feedback (shown after answering)

$30 × 52 = $1,560.

Recomputed independently by the build: 1560

Why each other choice is wrong (misconception it represents)

A: One month
B: Uses 12 weeks
D: Uses 100 weeks

Type: knowledge check

GO DEEPER 1 — Thinking in totals · Question 3 of 5

Which question best tests a big purchase?

A. What will it cost in total, and what will I give up?
B. Will it impress people?
C. Is the monthly payment low?
D. Is it on sale today?

CORRECT ANSWER

A. What will it cost in total, and what will I give up?

Feedback (shown after answering)

Total cost and opportunity cost guide good decisions.

Why each other choice is wrong (misconception it represents)

B: Social pressure, not value
C: Hides total cost
D: Discount is not total value

Type: knowledge check

GO DEEPER 1 — Thinking in totals · Question 4 of 5

Option X scores 4, 3, 5 on criteria weighted 2, 1, 1. Option Y scores 3, 5, 4. Which wins?

A. Option Y, 15 to 16
B. Tie at 12
C. Option Y, 12 to 12
D. Option X, 16 to 15

CORRECT ANSWER

D. Option X, 16 to 15

Feedback (shown after answering)

X: 8 + 3 + 5 = 16. Y: 6 + 5 + 4 = 15.

Recomputed independently by the build: 16

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores weights
C: Ignores weights

Type: knowledge check

GO DEEPER 1 — Thinking in totals · Question 5 of 5

Why might a lower-paying job still be the better choice?

A. Lower pay always means more happiness at work
B. Better benefits, growth, or lower costs
C. Pay does not matter at all
D. Taxes are always zero on lower pay

CORRECT ANSWER

B. Better benefits, growth, or lower costs

Feedback (shown after answering)

Total value includes benefits, training, and costs.

Why each other choice is wrong (misconception it represents)

A: Overgeneralizes
C: Overstates
D: Invents a tax rule

Type: knowledge check

SET 113 · Integrated Financial Decisions

Capstone: a financial checkup

MAIN skill: Apply banking, credit, saving, investing, insurance, and tax knowledge to one person's situation

Outcome FL.LIFE.113 · National topic: Saving · NJSLS 9.1.12: PB, FP, RM

Learning target: Integrate earning, spending, saving, investing, credit, and risk decisions into one personal financial plan

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Connecting the topics (5 questions)
  - Why: A checkup uses ideas from every earlier unit.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: The checkup combines percents and differences across topics.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: A five-year plan (5 questions)

Practical skills beyond the standards: Running a personal financial checkup; Writing a five-year plan

Content status: stable

Answer key for this set: M-Q1 D, M-Q2 C, M-Q3 A, M-Q4 B, M-Q5 C, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 D, B1-Q5 B, F1-Q1 D, F1-Q2 B, F1-Q3 B, F1-Q4 B, F1-Q5 C

MAIN — Apply banking, credit, saving, investing, insurance, and tax knowledge to one person's situation · Question 1 of 5

Learn: Once essential bills, minimum payments, and a starter emergency fund are covered, many planners suggest capturing a full employer match next, then paying down high-interest debt. Priorities depend on each person's situation.

Nia's checkup: her bills and all debt minimums are paid, she has $900 in emergency savings as a starter cushion, she carries a $2,000 credit card balance at 24%, and she has enough left each month to contribute to her 401(k) but is not getting the full match. Which step should come first?

A. Pay off the credit card before any saving
B. Spend the savings on a vacation
C. Open three new credit cards
D. Contribute enough to get the full match

CORRECT ANSWER

D. Contribute enough to get the full match

Feedback (shown after answering)

With bills, minimums, and a starter cushion covered, the match is an immediate return; then attack the 24% card.

Why each other choice is wrong (misconception it represents)

A: Gives up free match money
B: Removes her cushion
C: Adds risk

Type: instruction

MAIN — Apply banking, credit, saving, investing, insurance, and tax knowledge to one person's situation · Question 2 of 5

Nia's credit card charges 24% APR. About how much interest builds in one month on $2,000?

A. $4
B. $24
C. $40
D. $480

CORRECT ANSWER

C. $40

Feedback (shown after answering)

24% ÷ 12 = 2% a month; 2% × $2,000 = $40.

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Uses 0.2%
B: Uses 1.2%
D: Uses a year

Type: knowledge check

MAIN — Apply banking, credit, saving, investing, insurance, and tax knowledge to one person's situation · Question 3 of 5

Which insurance is Nia, a renter with no dependents, most likely missing if she has only health and auto?

A. Renters insurance
B. Large whole life insurance
C. Flood insurance for a building she does not own
D. Mortgage insurance

CORRECT ANSWER

A. Renters insurance

Feedback (shown after answering)

Renters insurance protects her belongings and liability.

Why each other choice is wrong (misconception it represents)

B: No dependents
C: Landlord's
D: She rents

Type: knowledge check

MAIN — Apply banking, credit, saving, investing, insurance, and tax knowledge to one person's situation · Question 4 of 5

Nia invests $200 a month in a broadly diversified, low-cost index fund. What is the best description?

A. Gambling, since every single investment is just a coin flip
B. Regular investing that can build wealth, with losses possible
C. Saving with a guaranteed 7% return
D. Borrowing, because the account charges interest

CORRECT ANSWER

B. Regular investing that can build wealth, with losses possible

Feedback (shown after answering)

Regular investing in a diversified fund can help build wealth over time, but values can fall and returns are not guaranteed.

Why each other choice is wrong (misconception it represents)

A: Confuses investing with gambling
C: Returns are not guaranteed
D: Confuses investing with debt

Type: knowledge check

MAIN — Apply banking, credit, saving, investing, insurance, and tax knowledge to one person's situation · Question 5 of 5

Nia's W-2 shows $3,600 federal tax withheld; her tax owed is $3,150. What happens when she files?

A. She owes $450
B. She gets a $3,600 refund
C. She gets a $450 refund
D. She owes $3,150 more

CORRECT ANSWER

C. She gets a $450 refund

Feedback (shown after answering)

$3,600 − $3,150 = $450 refund.

Recomputed independently by the build: 450

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores tax owed
D: Ignores withholding

Type: knowledge check

BACKWARD B1 · concept review — Connecting the topics · Question 1 of 5

Which account is best for an emergency fund?

A. A stock fund
B. A 5-year CD
C. A high-yield savings account
D. A retirement account like a 401(k)

CORRECT ANSWER

C. A high-yield savings account

Feedback (shown after answering)

Emergency money should be safe and available.

Why each other choice is wrong (misconception it represents)

A: Can drop when needed
B: Penalty to withdraw
D: Penalties and taxes

Type: knowledge check

BACKWARD B1 · concept review — Connecting the topics · Question 2 of 5

24% ÷ 12 = ?

A. 0.5%
B. 2%
C. 12%
D. 288%

CORRECT ANSWER

B. 2%

Feedback (shown after answering)

24 ÷ 12 = 2.

Recomputed independently by the build: 2

Why each other choice is wrong (misconception it represents)

A: Divides by 48
C: Divides by 2
D: Multiplies

Type: knowledge check

BACKWARD B1 · concept review — Connecting the topics · Question 3 of 5

Withheld $1,000, owed $800. The result is...

A. A $200 refund
B. $200 owed
C. $1,800 refund
D. $800 refund

CORRECT ANSWER

A. A $200 refund

Feedback (shown after answering)

$1,000 − $800 = $200 back.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Adds
D: Gives tax owed

Type: knowledge check

BACKWARD B1 · concept review — Connecting the topics · Question 4 of 5

Which builds credit history responsibly?

A. Maxing out cards
B. Missing payments
C. Opening many cards at once
D. Paying every bill on time

CORRECT ANSWER

D. Paying every bill on time

Feedback (shown after answering)

On-time payment history matters most.

Why each other choice is wrong (misconception it represents)

A: Hurts scores
B: Hurts scores
C: Hurts scores

Type: knowledge check

BACKWARD B1 · concept review — Connecting the topics · Question 5 of 5

Diversification means...

A. Buying one stock
B. Spreading money across many investments
C. Keeping cash only
D. Borrowing to invest

CORRECT ANSWER

B. Spreading money across many investments

Feedback (shown after answering)

Spreading investments lowers risk.

Why each other choice is wrong (misconception it represents)

A: Concentrated
C: Not invested
D: Leverage

Type: knowledge check

GO DEEPER 1 — A five-year plan · Question 1 of 5

Nia sets 5-year goals: emergency fund $6,000, car fund $8,000, and $15,000 invested. What is the total she plans to set aside?

A. $14,000
B. $21,000
C. $23,000
D. $29,000

CORRECT ANSWER

D. $29,000

Feedback (shown after answering)

$6,000 + $8,000 + $15,000 = $29,000.
Recomputed independently by the build: 29000

Why each other choice is wrong (misconception it represents)

A: Leaves out investing
B: Leaves out the emergency fund
C: Leaves out the car fund

Type: knowledge check

GO DEEPER 1 — A five-year plan · Question 2 of 5

Spread evenly over 60 months, about how much a month is $29,000?

A. $290.00
B. $483.33
C. $580.00
D. $2,416.67

CORRECT ANSWER

B. $483.33

Feedback (shown after answering)

$29,000 ÷ 60 ≈ $483.33.

Recomputed independently by the build: 483.33

Why each other choice is wrong (misconception it represents)

A: Uses 100 months
C: Uses 50 months
D: Uses 12 months

Type: knowledge check

GO DEEPER 1 — A five-year plan · Question 3 of 5

Nia's take-home pay is $3,400 and she can save $480 a month. What percent is that, to the nearest whole percent?

A. 7%
B. 14%
C. 48%
D. 71%

CORRECT ANSWER

B. 14%

Feedback (shown after answering)

$480 ÷ $3,400 ≈ 14%.

Recomputed independently by the build: 14

Why each other choice is wrong (misconception it represents)

A: Divides by $6,800
C: Uses dollars
D: Divides $3,400 by $4,800

Type: knowledge check

GO DEEPER 1 — A five-year plan · Question 4 of 5

Which check-in habit keeps a five-year plan on track?

A. Setting goals once and never looking at them again
B. Reviewing goals and budget every few months
C. Changing goals every day
D. Hiding statements unopened

CORRECT ANSWER

B. Reviewing goals and budget every few months

Feedback (shown after answering)

Regular reviews let you adjust the plan when life changes.

Why each other choice is wrong (misconception it represents)

A: No feedback
C: No focus
D: Avoids reality

Type: knowledge check · practical how-to

GO DEEPER 1 — A five-year plan · Question 5 of 5

Nia's five-year plan includes an emergency fund, a car fund, a Roth IRA, and a monthly budget. She loses her job in year 2. Which part of her plan helps most right away?

A. The car fund she spends on a new car
B. A new credit card
C. The emergency fund
D. Her Roth IRA earnings

CORRECT ANSWER

C. The emergency fund

Feedback (shown after answering)

Emergency savings exist for exactly this.

Why each other choice is wrong (misconception it represents)

A: Spends reserves
B: Adds debt
D: Penalties may apply

Type: knowledge check